JanGyan — Learn Without Limits

MCQ Handbook: Financial Literacy & Digital Finance

Category: Financial Literacy & Digital Finance

500	200	200	100
TOTAL MCQS	EASY	MEDIUM	ADVANCED

> *"Every question here is a chance to turn what you've learned into something you can use with confidence."*

Question 1

A financial goal to build an emergency fund within the next 8 months is best classified as:

- **A.** A long-term goal
- **B.** A medium-term goal
- **C.** A short-term goal
- **D.** Not a financial goal at all

Correct Answer: Option (C)

Short Explanation: *Short-term goals are typically defined as those to be achieved within one year, making an 8-month emergency fund target a short-term goal.*

Question 2

Approximately how many NPS and Atal Pension Yojana subscribers did India have combined, as of July 2026?

- **A.** Around 1 crore
- **B.** Around 5 crore
- **C.** Around 10.11 crore
- **D.** Around 50 crore

Correct Answer: Option (C)

Short Explanation: *NPS and Atal Pension Yojana together had approximately 10.11 crore subscribers as of July 2026, with assets under management of about ₹18.14 lakh crore.*

Question 3

What is a "mutual fund"?

- **A.** A single company's stock
- **B.** A pooled investment that professionally manages money across stocks, bonds, or other assets
- **C.** A type of savings account offered only by post offices
- **D.** A government tax refund scheme

Correct Answer: Option (B)

Short Explanation: *A mutual fund pools money from many investors and invests it in a diversified mix of assets, managed by a professional fund manager.*

Question 4

Which of the following is an example of an unsecured loan?

- **A.** Home loan
- **B.** Gold loan
- **C.** Personal loan
- **D.** Car loan

Correct Answer: Option (C)

Short Explanation: *A personal loan is unsecured, meaning it requires no collateral, unlike home, gold, or car loans which are backed by an asset.*

Question 5

Which of these best illustrates "goal-based saving" applied practically?

- **A.** Saving money with no plan for its future use
- **B.** Opening a Recurring Deposit specifically earmarked for an upcoming wedding expense
- **C.** Spending all income immediately upon receipt
- **D.** Avoiding any form of bank deposit

Correct Answer: Option (B)

Short Explanation: *Opening a Recurring Deposit earmarked specifically for a wedding is a clear example of goal-based saving tied to a defined purpose.*

Question 6

What was the approximate EPF interest rate for FY 2025-26?

- **A.** 2%
- **B.** 8.25%
- **C.** 15%
- **D.** 25%

Correct Answer: Option (B)

Short Explanation: *EPF offered an interest rate of approximately 8.25% per annum for FY 2025-26, benefiting over 7 crore contributing members.*

Question 7

What is a common misconception about NPS returns?

- **A.** That NPS returns are fixed and guaranteed
- **B.** That NPS returns are always zero
- **C.** That NPS has no regulatory oversight
- **D.** That NPS is only for government employees

Correct Answer: Option (A)

Short Explanation: *A common misconception is that NPS returns are fixed and guaranteed, when in reality they are market-linked and depend on the investment choices made within the scheme.*

Question 8

Which of the following best describes the "A" in the JAM Trinity?

- **A.** Automated Teller Machine access
- **B.** Aadhaar, providing a unique verified identity for beneficiaries
- **C.** Asset ownership records
- **D.** Annual income declaration

Correct Answer: Option (B)

Short Explanation: *The "A" in the JAM Trinity stands for Aadhaar, which provides a unique, verified identity that supports accurate benefit delivery.*

Question 9

Which of the following best describes why "digital arrest" style scams (fraudsters posing as officials over video call demanding money) are always fraudulent?

- **A.** Indian law enforcement regularly makes arrests and collects fines over video calls
- **B.** No Indian law enforcement agency conducts arrests, investigations, or fine collection via video or phone call
- **C.** This type of scam is only fraudulent if the caller doesn't show a uniform
- **D.** This is a legitimate legal process reserved for serious crimes

Correct Answer: Option (B)

Short Explanation: *No Indian law enforcement agency conducts arrests, investigations, or fine collection via video or phone call — any such claim is always a scam.*

Question 10

A person receives a bonus and is unsure how to use it. What does a financially disciplined approach suggest?

- **A.** Spend the entire bonus immediately on wants
- **B.** Split it between a savings goal or emergency fund and some discretionary enjoyment
- **C.** Ignore the bonus and leave it unused indefinitely
- **D.** Use the entire bonus to make a high-risk, unverified investment

Correct Answer: Option (B)

Short Explanation: *A financially disciplined approach splits a bonus between savings/goals and some enjoyment, rather than spending it all at once or letting it sit idle.*

Question 11

A person avoids ever learning about budgeting because they believe "financial literacy is only for accountants." What is the risk of this belief?

- **A.** There is no risk; the belief is accurate
- **B.** They may make costly financial decisions due to lack of basic money management skills
- **C.** It guarantees they will never face financial difficulty
- **D.** It automatically qualifies them for government schemes

Correct Answer: Option (B)

Short Explanation: *Believing financial literacy is only for professionals can lead to costly mistakes, since everyday money management applies to everyone.*

Question 12

What is an "overdraft" facility?

- **A.** A facility allowing withdrawal beyond the account balance, up to an approved limit
- **B.** A type of insurance product
- **C.** A facility only available on Fixed Deposits
- **D.** A mandatory fee charged on every withdrawal

Correct Answer: Option (A)

Short Explanation: *An overdraft allows a customer to withdraw more than their account balance, up to a pre-approved limit, functioning like a short-term credit line.*

Question 13

A family delays reviewing its financial goals for several years despite major life changes like a new child. What risk does this create?

- **A.** No risk, as goals never need revisiting
- **B.** The financial plan may no longer match the family's actual needs and circumstances
- **C.** It automatically increases their credit score
- **D.** It has no bearing on financial planning

Correct Answer: Option (B)

Short Explanation: *Failing to revisit financial goals after major life changes risks a mismatch between the plan and the family's actual current needs.*

Question 14

What is the safest response to a message threatening legal action or account suspension unless immediate payment is made?

- **A.** Pay immediately to avoid the threatened consequence
- **B.** Pause, verify independently through official channels, and avoid acting out of panic
- **C.** Reply to the message asking for more details
- **D.** Forward the payment request to a friend for a second opinion before paying

Correct Answer: Option (B)

Short Explanation: *Urgency and fear-based threats are common fraud tactics; the safest response is to pause and verify independently through official channels rather than reacting immediately.*

Question 15

A 25-year-old starts contributing to a retirement scheme, while a 40-year-old starts with the same monthly amount. Why does the 25-year-old likely end up with a significantly larger corpus at retirement?

- **A.** Age has no bearing on the final retirement corpus
- **B.** The 25-year-old benefits from many more years of compounding on their contributions
- **C.** Younger contributors always receive higher interest rates
- **D.** Older contributors are legally required to contribute less

Correct Answer: Option (B)

Short Explanation: *Starting earlier gives contributions many more years to benefit from compounding, resulting in a significantly larger corpus even with the same contribution amount.*

Question 16

What is a "premium" in an insurance policy?

- **A.** The amount payable by the insurer upon a claim
- **B.** The amount paid, usually annually or monthly, to keep an insurance policy active
- **C.** A bonus given only to long-term policyholders
- **D.** The total value of an insured asset

Correct Answer: Option (B)

Short Explanation: *A premium is the regular amount paid, monthly or annually, to keep an insurance policy active and in force.*

Question 17

What does IRDAI regulate?

- **A.** Only life insurance companies
- **B.** All insurers in India, protecting policyholder interests across life and general insurance
- **C.** Only government-run insurance schemes
- **D.** Only vehicle insurance premiums

Correct Answer: Option (B)

Short Explanation: *IRDAI (Insurance Regulatory and Development Authority of India) regulates all insurers in India and protects policyholder interests broadly.*

Question 18

A person receives a missed call from an unknown number and worries their UPI account could be compromised. What is the accurate assessment?

- **A.** A missed call alone can steal UPI funds
- **B.** A missed call alone cannot access their account; money only moves after MPIN authorisation
- **C.** They must immediately delete their UPI app
- **D.** Missed calls always drain bank balances instantly

Correct Answer: Option (B)

Short Explanation: *A missed or blank call alone cannot access UPI funds — money only moves once the account holder authorises a transaction with their MPIN.*

Question 19

What is a "passbook" used for?

- **A.** Applying for a loan
- **B.** A record of all transactions in a savings account
- **C.** Filing income tax returns
- **D.** Making UPI payments

Correct Answer: Option (B)

Short Explanation: *A passbook is a physical or digital record of all transactions in a savings account, updated at a branch or via an app.*

Question 20

What percentage of Indian adults were found to be financially literate among women, according to the NCFE survey?

- **A.** Approximately 21%
- **B.** Approximately 45%
- **C.** Approximately 60%
- **D.** Approximately 90%

Correct Answer: Option (A)

Short Explanation: *The NCFE survey found financial literacy among women in India to be approximately 21%, compared to approximately 29% among men.*

Question 21

What is the Digital Rupee (e₹)?

- **A.** A cryptocurrency created by a private company
- **B.** A digital form of official currency issued directly by the RBI (Central Bank Digital Currency)
- **C.** A type of UPI-linked credit card
- **D.** A tax refund mechanism

Correct Answer: Option (B)

Short Explanation: *The Digital Rupee (e₹) is a Central Bank Digital Currency, a digital form of official currency issued directly by the RBI, distinct from UPI or private cryptocurrencies.*

Question 22

What is the meaning of "sum insured" in a health insurance policy?

- **A.** The monthly premium amount
- **B.** The maximum amount the insurer will pay for covered medical expenses in a policy year
- **C.** The hospital's registration number
- **D.** The number of family members covered

Correct Answer: Option (B)

Short Explanation: *The sum insured is the maximum amount an insurer will pay toward covered medical expenses within a policy year.*

Question 23

Who contributes to an individual's Employees' Provident Fund (EPF) account each month?

- **A.** Only the government
- **B.** Both the employer and the employee
- **C.** Only the employee
- **D.** Only the employer

Correct Answer: Option (B)

Short Explanation: *Both the employer and the employee contribute a fixed percentage of salary each month to an individual's EPF account.*

Question 24

A customer wants to send a very large payment and is asked by the bank to confirm cheque details electronically before it is processed. What system does this describe?

- **A.** NEFT batch processing
- **B.** Positive Pay System
- **C.** IMPS verification
- **D.** RuPay authentication

Correct Answer: Option (B)

Short Explanation: *The Positive Pay System requires the cheque issuer to confirm key details electronically before a high-value cheque is honoured, reducing fraud risk.*

Question 25

What is the main reason RBI mandates security measures like card tokenisation for online transactions?

- **A.** To make online payments more complicated for no reason
- **B.** To reduce the risk of card data theft if a merchant's systems are compromised
- **C.** To eliminate the need for OTPs entirely
- **D.** To increase transaction fees for consumers

Correct Answer: Option (B)

Short Explanation: *Tokenisation replaces stored card details with secure tokens, reducing the risk of card data theft if a merchant's systems are ever compromised.*

Question 26

According to reported data, investment scams account for approximately what share of India's total financial fraud losses?

- **A.** Around 5%
- **B.** Around 25%
- **C.** Around 76-77%
- **D.** Around 100%

Correct Answer: Option (C)

Short Explanation: *Investment scams account for approximately 76-77% of India's reported financial fraud losses, making them the single largest category of fraud by value.*

Question 27

According to the 50-30-20 rule, what share of income is generally allocated to "needs"?

- **A.** 20%
- **B.** 30%
- **C.** 50%
- **D.** 80%

Correct Answer: Option (C)

Short Explanation: *The 50-30-20 rule allocates roughly 50% of income to needs, 30% to wants, and 20% to savings and financial goals.*

Question 28

What is the safest way to obtain a company's or bank's customer care number?

- **A.** Searching for it via a general internet search engine
- **B.** Using the number listed on official documents, the back of your card, or the company's verified official website
- **C.** Using a number shared in an unsolicited SMS
- **D.** Asking social media followers to share numbers

Correct Answer: Option (B)

Short Explanation: *Using the number on official documents, your card, or the verified official website avoids fake customer care numbers often found through unofficial internet searches.*

Question 29

What is the recommended first step for a family wanting to access relevant government financial schemes?

- **A.** Immediately approach an unverified agent who claims to specialise in scheme applications
- **B.** Check eligibility criteria for relevant schemes and ensure the JAM Trinity (bank, Aadhaar, mobile) is properly linked
- **C.** Wait for the government to automatically enrol them without any action
- **D.** Assume none of the schemes apply to their situation without checking

Correct Answer: Option (B)

Short Explanation: *The recommended first step is to check eligibility for relevant schemes and ensure the JAM Trinity is properly linked, which supports smooth access to most government financial benefits.*

Question 30

What is the correct relationship between "financial inclusion" and "financial literacy," as covered across this category?

- **A.** They are identical concepts requiring no distinction
- **B.** Financial inclusion is about access to financial services, while financial literacy is about understanding and using them well — both are needed together
- **C.** Financial inclusion automatically guarantees financial literacy
- **D.** Financial literacy is only relevant for those without access to financial services

Correct Answer: Option (B)

Short Explanation: *Financial inclusion is about access to financial services, while financial literacy is about understanding and using them effectively — India's data shows access has grown faster than literacy, meaning both are needed together.*

Question 31

Who is eligible to open a Sukanya Samriddhi Yojana (SSY) account?

- **A.** Any adult citizen for their own savings
- **B.** A parent or guardian, on behalf of a girl child before she turns 10
- **C.** Only government employees
- **D.** Only NRIs

Correct Answer: Option (B)

Short Explanation: *SSY accounts are opened by a parent or guardian specifically for a girl child, and must be opened before she turns 10 years old.*

Question 32

What is "card skimming"?

- **A.** A method for increasing a credit limit
- **B.** Copying a card's data using a hidden device attached to an ATM or card reader
- **C.** A type of insurance claim process
- **D.** A legitimate bank security feature

Correct Answer: Option (B)

Short Explanation: *Card skimming involves a hidden device attached to a card reader or ATM that copies a card's data, later used to create a cloned card for fraud.*

Question 33

What is the key difference between "saving" and "financial planning"?

- **A.** They are exactly the same thing
- **B.** Saving is setting money aside; financial planning includes budgeting, saving, insurance, and goals together
- **C.** Financial planning only applies to businesses
- **D.** Saving requires a financial advisor

Correct Answer: Option (B)

Short Explanation: *Saving is one component, while financial planning is the broader, integrated process covering budgeting, saving, insurance, and long-term goals.*

Question 34

What is the primary risk of paying only the minimum amount due on a credit card each month?

- **A.** There is no risk if payments are made on time
- **B.** Interest continues to accumulate on the remaining balance, often at a high rate
- **C.** It automatically improves the credit score with no downside
- **D.** It eliminates the need to ever pay the full balance

Correct Answer: Option (B)

Short Explanation: *Paying only the minimum due lets interest accumulate on the remaining balance, often at a high rate, extending debt far longer than expected.*

Question 35

What consumer protection determines whether a bank or the customer bears liability for a fraudulent transaction?

- **A.** RBI's limited liability guidelines, which consider the circumstances of the fraud
- **B.** The customer is always fully liable regardless of circumstances
- **C.** The bank is always fully liable regardless of circumstances
- **D.** Liability is determined solely by the transaction amount

Correct Answer: Option (A)

Short Explanation: *RBI's limited liability guidelines determine liability based on the specific circumstances, such as whether the customer shared credentials themselves or reported promptly.*

Question 36

What does the Income Tax Act, 2025 represent?

- **A.** A minor amendment with no real changes
- **B.** India's updated income tax law, effective from April 1, 2026, replacing the 1961 Act
- **C.** A law that only applies to businesses, not individuals
- **D.** A temporary law valid for only one year

Correct Answer: Option (B)

Short Explanation: *The Income Tax Act, 2025 represents India's updated income tax law, effective from April 1, 2026, replacing the earlier 1961 Act.*

Question 37

What best supports sustained financial discipline, according to financial literacy principles?

- **A.** Relying purely on willpower without any system
- **B.** Automating savings and reviewing progress regularly
- **C.** Avoiding ever reviewing your budget
- **D.** Making all financial decisions impulsively

Correct Answer: Option (B)

Short Explanation: *Automating savings transfers and reviewing progress regularly make financial discipline far easier to sustain than relying on willpower alone.*

Question 38

Approximately what interest rate did the Public Provident Fund (PPF) offer for the July-September 2026 quarter?

- **A.** 3.5%
- **B.** 7.1%
- **C.** 12%
- **D.** 15%

Correct Answer: Option (B)

Short Explanation: *PPF offered an interest rate of approximately 7.1% per annum for the July-September 2026 quarter, as set by the government for small savings schemes.*

Question 39

What is the "protection gap" in the context of India's insurance sector?

- **A.** The percentage of the population that owns a vehicle
- **B.** The gap between the insurance coverage people need and what they actually have
- **C.** The difference between health and life insurance premiums
- **D.** A term used only for government schemes

Correct Answer: Option (B)

Short Explanation: *The protection gap refers to the difference between the insurance coverage a population needs and what they actually have, and IRDAI estimates India's gap at around 70-80%.*

Question 40

Which of the following best reflects "avoiding unnecessary debt"?

- **A.** Taking a mortgage to buy a home
- **B.** Relying on a credit card for routine, everyday expenses
- **C.** Taking an education loan for a degree program
- **D.** Taking a business loan to expand a viable business

Correct Answer: Option (B)

Short Explanation: *Relying on credit cards for everyday expenses is a form of unnecessary debt, unlike loans that build long-term value, such as a mortgage or education loan.*

Question 41

What CIBIL score range is generally considered "excellent," improving chances of loan approval at better rates?

- **A.** Below 300
- **B.** 400-500
- **C.** 750 and above
- **D.** Exactly 900 only

Correct Answer: Option (C)

Short Explanation: *A CIBIL score of 750 or above is generally considered excellent, improving the likelihood of loan approval and access to better interest rates.*

Question 42

An investor holds a well-diversified portfolio but panics and sells everything during a short-term market dip, only to see the market recover shortly after. What behavioural mistake does this illustrate?

- **A.** Disciplined long-term investing
- **B.** Emotional, reactive decision-making that undermines the benefits of staying invested through market cycles
- **C.** Effective use of diversification
- **D.** A textbook example of dollar-cost averaging

Correct Answer: Option (B)

Short Explanation: *Panic-selling during a short-term dip, only to miss the recovery, illustrates how emotional, reactive decisions can undermine long-term investment benefits like compounding.*

Question 43

What does "subsidy leakage" refer to, in the context of government welfare schemes?

- **A.** A technical term for scheme interest rates
- **B.** The loss of welfare funds to fraud, duplication, or inefficiency before reaching genuine beneficiaries
- **C.** A type of authorised bank charge
- **D.** A benefit exclusively for accredited investors

Correct Answer: Option (B)

Short Explanation: *Subsidy leakage refers to welfare funds lost to fraud, duplicate beneficiaries, or inefficiency before genuinely reaching intended recipients — a problem DBT aims to reduce.*

Question 44

Which best defines "financial discipline"?

- **A.** Punishing yourself for spending money
- **B.** Consistently following a budget and savings plan over time
- **C.** Avoiding all forms of investment
- **D.** Only saving money once a year

Correct Answer: Option (B)

Short Explanation: *Financial discipline means consistently sticking to a budget and savings plan over time, even when it requires effort.*

Question 45

What is the core idea behind treating a budget as something that creates "freedom" rather than "restriction"?

- **A.** A budget removes all ability to spend
- **B.** A budget clearly shows how much can be spent guilt-free, enabling confident spending within limits
- **C.** A budget is only useful for large corporations
- **D.** A budget eliminates the need for saving

Correct Answer: Option (B)

Short Explanation: *A well-made budget shows exactly how much can be spent without guilt, creating freedom and confidence rather than restriction.*

Question 46

What does "cash flow" refer to in personal finance?

- **A.** The total value of a person's assets
- **B.** The movement of money in and out of finances over a period
- **C.** A type of government subsidy
- **D.** The interest rate on a savings account

Correct Answer: Option (B)

Short Explanation: *Cash flow refers to the movement of money in and out of a person's finances over a given period, such as a month.*

Question 47

What is the minimum age requirement often associated with Atal Pension Yojana enrolment?

- **A.** There is no minimum or maximum age
- **B.** Enrolment is generally available to citizens within a specified working-age range, such as 18 to 40
- **C.** Only citizens above 60 can enrol
- **D.** Only citizens below 10 can enrol

Correct Answer: Option (B)

Short Explanation: *Atal Pension Yojana enrolment is generally available to citizens within a specified working-age range, commonly cited as 18 to 40 years old.*

Question 48

What is the correct first action after realising you have fallen victim to a financial fraud?

- **A.** Wait a few days to assess the situation before doing anything
- **B.** Immediately call the 1930 helpline and inform your bank
- **C.** Attempt to negotiate directly with the fraudster
- **D.** Change your email password only, and take no further action

Correct Answer: Option (B)

Short Explanation: *Immediately calling the 1930 helpline and informing your bank gives the best chance of freezing funds and beginning the recovery process.*

Question 49

Which of the following belongs on a "Monthly Budget Checklist"?

- **A.** Checking for unusual attachments on an ATM
- **B.** Applying the 50-30-20 rule and reviewing actual spending against the plan
- **C.** Verifying a nominee is listed on an insurance policy
- **D.** Confirming a loan's tenure and interest rate

Correct Answer: Option (B)

Short Explanation: *Applying a budgeting framework and reviewing spending against the plan is a core recurring monthly activity, distinct from insurance or loan-specific checks.*

Question 50

What does "EMI" stand for?

- **A.** Equated Monthly Instalment
- **B.** Extended Monthly Interest
- **C.** Estimated Mortgage Index
- **D.** Effective Money Investment

Correct Answer: Option (A)

Short Explanation: *EMI stands for Equated Monthly Instalment, a fixed monthly payment covering both principal and interest over a loan's tenure.*

Question 51

What is a simple daily habit that supports the "Protect" stage of the financial wellness cycle?

- **A.** Filing an annual income tax return
- **B.** Never sharing sensitive details like OTP, PIN, or CVV, and verifying unexpected calls or messages
- **C.** Reviewing a 15-year PPF maturity date
- **D.** Comparing insurance premiums across providers

Correct Answer: Option (B)

Short Explanation: *Guarding sensitive details daily and verifying unexpected communications are simple, ongoing habits that directly support the "Protect" stage of financial wellness.*

Question 52

Which of the following best belongs on a "Banking Security Checklist" alongside KYC and nominee checks?

- **A.** Comparing gold ETF performance
- **B.** Confirming that transaction alerts are enabled on the registered mobile number
- **C.** Reviewing an SIP's fund manager history
- **D.** Checking a GST invoice for accuracy

Correct Answer: Option (B)

Short Explanation: *Confirming transaction alerts are enabled is a core banking security habit that helps quickly detect unauthorised account activity.*

Question 53

A person buys a comprehensive vehicle policy but later discovers a specific type of damage is excluded under the policy's terms. What lesson does this best illustrate?

- **A.** All insurance policies cover every possible scenario without exception
- **B.** It's important to read policy documents fully, including exclusions, before relying on assumed coverage
- **C.** Exclusions are illegal and unenforceable
- **D.** Comprehensive policies never have any exclusions

Correct Answer: Option (B)

Short Explanation: *This illustrates the importance of reading policy documents fully, including exclusions, rather than assuming a policy (even a "comprehensive" one) covers every possible scenario.*

Question 54

What is the National Pension System (NPS)?

- **A.** A mandatory tax on all salaried employees
- **B.** A government-regulated, defined-contribution retirement savings scheme
- **C.** A type of health insurance policy
- **D.** A vehicle insurance scheme

Correct Answer: Option (B)

Short Explanation: *NPS is a government-regulated, defined-contribution retirement savings scheme where individuals contribute regularly to build a retirement corpus.*

Question 55

Two households have identical incomes, but one uses goal-based Recurring Deposits for every major expense while the other keeps all savings in one undesignated pool. Over several years, which is more likely to reach its stated goals, and why?

- **A.** The undesignated pool, since it offers more flexibility to redirect funds
- **B.** The goal-based approach, since tying savings to specific goals reduces the temptation to divert funds elsewhere
- **C.** Both are equally likely, since the total amount saved is what matters
- **D.** Neither, since goals require investments rather than savings

Correct Answer: Option (B)

Short Explanation: *Goal-based saving reduces the temptation to divert funds to unrelated spending, making it more likely that the specific, named goals are actually achieved.*

Question 56

What is the main function of NEFT in India's payment system?

- **A.** Instant, individually settled high-value transfers only
- **B.** Batch-processed transfers commonly used for regular, everyday payments
- **C.** A type of cheque clearing exclusive to RTGS
- **D.** A cryptocurrency exchange platform

Correct Answer: Option (B)

Short Explanation: *NEFT is used for batch-processed transfers throughout the day, commonly used for everyday and regular payments without a fixed minimum amount.*

Question 57

Which checklist would be most relevant to check before making a UPI payment to an unfamiliar payee?

- **A.** Insurance Checklist
- **B.** Digital Payment Safety Checklist, particularly verifying the payee's name before confirming
- **C.** Tax Readiness Checklist
- **D.** Financial Goal Tracker

Correct Answer: Option (B)

Short Explanation: *Verifying the payee's name before confirming a payment is a specific item under the Digital Payment Safety Checklist, directly relevant to this scenario.*

Question 58

Which best explains why this checklist module deliberately avoids introducing brand-new financial concepts not covered in the previous nine modules?

- **A.** Because new concepts are considered unimportant
- **B.** Because its role is to consolidate and apply existing concepts into actionable habits, not to teach new theory
- **C.** Because all financial concepts were already exhausted in Module 1 alone
- **D.** Because checklists cannot contain any educational content

Correct Answer: Option (B)

Short Explanation: *This module's role is to consolidate and operationalise concepts already taught in the previous nine modules into actionable, repeatable habits, rather than introducing new theory.*

Question 59

Which of the following best reflects why "starting early" is emphasised for retirement-related investing?

- **A.** Starting early has no measurable benefit
- **B.** Starting early gives compounding significantly more time to grow the invested amount
- **C.** Starting early always requires a larger initial investment
- **D.** Starting early only benefits investments in gold

Correct Answer: Option (B)

Short Explanation: *Starting early gives compounding far more time to work, meaning even modest early investments can grow substantially more than larger investments started later.*

Question 60

How does the risk profile of bonds generally compare to stocks?

- **A.** Bonds are generally riskier than stocks
- **B.** Bonds are generally considered lower-risk than stocks, offering more predictable but typically lower returns
- **C.** Bonds and stocks carry identical risk levels
- **D.** Bonds have no risk whatsoever

Correct Answer: Option (B)

Short Explanation: *Bonds are generally considered lower-risk than stocks, offering more predictable income but typically lower potential returns.*

Question 61

What is the purpose of a "grace period" in an insurance policy?

- **A.** A period during which no premium is ever required
- **B.** A short window after the due date during which a missed premium can still be paid without the policy lapsing
- **C.** The time it takes to process a new policy application
- **D.** The period during which claims cannot be filed

Correct Answer: Option (B)

Short Explanation: *A grace period is a short window after the premium due date during which payment can still be made without the policy lapsing.*

Question 62

What is an "expense ratio" in mutual funds?

- **A.** The percentage of an investor's total wealth
- **B.** The annual fee a mutual fund charges for managing the investor's money
- **C.** The interest rate on a fixed deposit
- **D.** A government tax on investment gains

Correct Answer: Option (B)

Short Explanation: *The expense ratio is the annual fee a mutual fund charges investors for professionally managing their money, deducted from the fund's returns.*

Question 63

What is the purpose of including a "Status" column (In progress / Complete) in a Financial Goal Tracker?

- **A.** It has no functional purpose
- **B.** It allows quick visual tracking of progress toward each listed financial goal
- **C.** It is used only for tax filing purposes
- **D.** It replaces the need to set a monthly contribution amount

Correct Answer: Option (B)

Short Explanation: *A status column allows for quick visual tracking of progress toward each financial goal, supporting regular review and accountability.*

Question 64

What is the "old" versus "new" tax regime choice primarily about?

- **A.** Choosing between two entirely different countries' tax systems
- **B.** Choosing between lower tax rates with fewer deductions (new) versus higher rates with more deductions available (old)
- **C.** The old regime is now completely abolished with no option to use it
- **D.** There is no meaningful difference between the two regimes

Correct Answer: Option (B)

Short Explanation: *Taxpayers can choose between the new regime (lower rates, fewer deductions) and the old regime (higher rates, more deductions), based on which results in lower tax liability for them.*

Question 65

What is a "secured loan"?

- **A.** A loan with no collateral requirement
- **B.** A loan backed by collateral, generally offering lower interest rates
- **C.** A loan available only to businesses
- **D.** A loan that never requires repayment

Correct Answer: Option (B)

Short Explanation: *A secured loan is backed by collateral (like property or gold), which generally allows lenders to offer lower interest rates due to reduced risk.*

Question 66

A young earner receives their first salary and wants to build good financial habits early. What is the most appropriate first step?

- **A.** Apply for the highest possible credit limit immediately
- **B.** Start applying a simple budgeting framework, like the 50-30-20 rule, from the very first paycheck
- **C.** Wait several years before considering any budget
- **D.** Spend the entire first salary to "celebrate" without any savings

Correct Answer: Option (B)

Short Explanation: *Starting with a simple budgeting framework from the very first paycheck helps build strong financial habits early, when they are easiest to establish.*

Question 67

What is the recommended approach when deciding whether to extend a loan's tenure for a lower EMI?

- **A.** Always choose the lowest possible EMI regardless of total cost
- **B.** Compare the total interest cost across tenure options, not just the monthly EMI amount
- **C.** Tenure has no impact on financial decision-making
- **D.** Always choose the shortest tenure regardless of monthly affordability

Correct Answer: Option (B)

Short Explanation: *A sound decision involves comparing the total interest cost across different tenure options, not focusing solely on the lower monthly EMI amount.*

Question 68

What is a "demat account" used for?

- **A.** Filing income tax returns
- **B.** Holding shares and securities in electronic form
- **C.** Making UPI payments
- **D.** Applying for a home loan

Correct Answer: Option (B)

Short Explanation: *A demat account holds shares and other securities in electronic form, required for trading and holding stocks in India.*

Question 69

Which of these best reflects a common myth about insurance and retirement planning?

- **A.** "Life insurance premiums increase with age" — this is generally true, not a myth
- **B.** "Nominating someone once is enough for life" — in fact, nominee details should be reviewed periodically
- **C.** "Health insurance requires disclosure of pre-existing conditions" — this is accurate, not a myth
- **D.** "IRDAI regulates insurers in India" — this is accurate, not a myth

Correct Answer: Option (B)

Short Explanation: *A common myth is that nominating someone once is sufficient forever; in reality, nominee details should be reviewed and updated after major life events.*

Question 70

What best describes the average share of fraud losses actually recovered by victims in India, based on reported data?

- **A.** Nearly 100%
- **B.** Around 50%
- **C.** Around 2.18%
- **D.** Around 75%

Correct Answer: Option (C)

Short Explanation: *Reported data indicates that on average, only around 2.18% of fraud losses are actually recovered by victims, underscoring the importance of prevention and rapid reporting.*

Question 71

What should a person do immediately after realising they've made an incorrect UPI transfer to the wrong person?

- **A.** Wait several weeks before taking any action
- **B.** Contact their bank promptly and use the UPI app's dispute or complaint process
- **C.** Assume the money cannot be recovered and do nothing
- **D.** Send another transfer to try to "cancel" the first one

Correct Answer: Option (B)

Short Explanation: *Contacting the bank promptly and using the UPI app's dispute process gives the best chance of resolving or recovering an incorrect transfer.*

Question 72

Which of the following is NOT typically a way to invest in gold in India?

- **A.** Physical jewellery or coins
- **B.** Sovereign Gold Bonds
- **C.** Gold ETFs
- **D.** A savings account fixed deposit

Correct Answer: Option (D)

Short Explanation: *A savings account fixed deposit is not a gold investment; physical gold, Sovereign Gold Bonds, and Gold ETFs are the common ways to invest in gold.*

Question 73

What type of bank account does PMJDY primarily provide?

- **A.** A high-minimum-balance current account
- **B.** A zero-balance savings account
- **C.** A fixed deposit account only
- **D.** A business loan account

Correct Answer: Option (B)

Short Explanation: *PMJDY primarily provides zero-balance savings accounts, removing a key barrier for previously unbanked citizens.*

Question 74

What is the correct action if you discover an unfamiliar attachment on an ATM's card slot before use?

- **A.** Use the ATM anyway, since the attachment is likely harmless
- **B.** Avoid using that ATM and report it to the bank
- **C.** Remove the attachment yourself and then use the ATM
- **D.** Ignore it, since ATMs are always safe regardless of appearance

Correct Answer: Option (B)

Short Explanation: *An unfamiliar attachment could be a skimming device; the safest response is to avoid using that ATM and report it to the bank rather than investigating it yourself.*

Question 75

Why can concentrating investments heavily in one's own employer's stock be particularly risky?

- **A.** It carries no additional risk compared to a diversified fund
- **B.** It ties both income (salary) and investment wealth to the same company's fortunes, reducing overall diversification
- **C.** Employer stock is always guaranteed to outperform the market
- **D.** This practice is illegal in all circumstances

Correct Answer: Option (B)

Short Explanation: *Concentrating investments in an employer's stock ties both your salary and investment wealth to the same company's fortunes, significantly reducing overall diversification.*

Question 76

Which type of bank account is primarily used by businesses with frequent transactions?

- **A.** Savings Account
- **B.** Current Account
- **C.** Recurring Deposit
- **D.** Fixed Deposit

Correct Answer: Option (B)

Short Explanation: *Current accounts are designed for businesses with frequent transactions and typically do not earn interest.*

Question 77

What is the National Strategy for Financial Education (NSFE)?

- **A.** A private company's marketing campaign
- **B.** A coordinated, multi-year roadmap by financial regulators to spread financial literacy across citizen groups
- **C.** A tax filing requirement
- **D.** A one-time government advertisement

Correct Answer: Option (B)

Short Explanation: *The NSFE is a coordinated, multi-year roadmap developed by India's financial regulators to spread financial literacy and awareness across all citizen groups.*

Question 78

Why are savings without a specific goal more vulnerable to being spent on non-essential purchases?

- **A.** Vague savings automatically earn less interest
- **B.** Without a clear purpose, it is psychologically easier to justify dipping into the funds
- **C.** Vague savings are illegal to maintain
- **D.** Banks do not allow savings without a stated purpose

Correct Answer: Option (B)

Short Explanation: *Savings without a specific, named purpose are more likely to be spent on non-essential purchases, since there's no clear goal to resist dipping into them for.*

Question 79

Which payment method processes transfers in batches throughout the day, rather than settling each one individually and immediately?

- **A.** RTGS
- **B.** NEFT
- **C.** IMPS
- **D.** UPI

Correct Answer: Option (B)

Short Explanation: *NEFT processes transfers in batches throughout the day, unlike RTGS, which settles each transfer individually and immediately.*

Question 80

What distinguishes a Recurring Deposit (RD) from a Fixed Deposit (FD)?

- **A.** An RD requires depositing a fixed amount every month, while an FD is a one-time lump sum deposit
- **B.** An RD has no interest at all
- **C.** An FD can only be opened by businesses
- **D.** An RD and FD are identical products

Correct Answer: Option (A)

Short Explanation: *An RD involves depositing a fixed amount monthly over a set tenure, while an FD is a one-time lump sum deposit for a fixed period.*

Question 81

Which best describes why insurance claim disputes often arise from inaccurate or incomplete information at the time of purchase?

- **A.** Inaccurate information at purchase has no bearing on future claims
- **B.** Insurers may reject claims later if they find undisclosed or inaccurate information provided when the policy was purchased
- **C.** Insurers are legally required to ignore any inaccuracies
- **D.** Claim disputes are entirely random and unrelated to disclosure

Correct Answer: Option (B)

Short Explanation: *Insurers may reject claims if they discover undisclosed or inaccurate information from the time of policy purchase, highlighting the importance of honest disclosure.*

Question 82

What is the significance of India's Financial Inclusion Index (FI-Index) reaching approximately 70.0 in March 2026?

- **A.** It indicates a decline in financial inclusion
- **B.** It reflects continued improvement in access, usage, and quality of financial services nationwide
- **C.** It measures only urban financial inclusion, excluding rural areas
- **D.** It has no connection to RBI's tracking efforts

Correct Answer: Option (B)

Short Explanation: *The FI-Index reaching approximately 70.0 in March 2026 reflects continued improvement in access, usage, and quality of financial services across the country.*

Question 83

What is the recommended first step before starting to invest, according to sound financial planning?

- **A.** Investing the entire monthly salary immediately
- **B.** Building a basic emergency fund first
- **C.** Taking a personal loan to invest more
- **D.** Avoiding any form of financial planning

Correct Answer: Option (B)

Short Explanation: *Building a basic emergency fund before investing is recommended, so that investments aren't disrupted by needing to withdraw funds during an unexpected crisis.*

Question 84

What is "insurable interest"?

- **A.** The interest rate charged on an insurance premium loan
- **B.** The requirement that you can only insure something you would suffer a genuine financial loss from losing
- **C.** A bonus paid for holding multiple policies
- **D.** A tax benefit exclusive to life insurance

Correct Answer: Option (B)

Short Explanation: *Insurable interest means you can only insure something (like your own life, health, or property) that you would suffer a genuine financial loss from losing.*

Question 85

What should a person verify before confirming any UPI payment?

- **A.** Only the transaction amount
- **B.** The payee's name displayed on screen, along with the amount
- **C.** Nothing; UPI payments are always automatically safe
- **D.** Only the time of day

Correct Answer: Option (B)

Short Explanation: *Verifying the payee's name displayed on screen before confirming is a key safety step to avoid sending money to the wrong or a fraudulent account.*

Question 86

What is the role of SEBI in India's investment ecosystem?

- **A.** SEBI regulates the stock market, mutual funds, and protects investor interests
- **B.** SEBI provides personal loans to citizens
- **C.** SEBI sets income tax rates
- **D.** SEBI manages India's currency printing

Correct Answer: Option (A)

Short Explanation: *SEBI (Securities and Exchange Board of India) regulates stock exchanges, mutual funds, and investment intermediaries, protecting investor interests.*

Question 87

What is the primary reason a person working in the unorganised sector, without employer-based retirement benefits, might consider Atal Pension Yojana?

- **A.** APY is exclusively for salaried government employees
- **B.** APY offers a guaranteed minimum pension option specifically suited to workers without employer-sponsored retirement plans
- **C.** APY provides free health insurance instead of a pension
- **D.** APY has no relevance to retirement planning

Correct Answer: Option (B)

Short Explanation: *APY is specifically designed to offer a guaranteed minimum pension option for workers in the unorganised sector who lack employer-sponsored retirement benefits like EPF.*

Question 88

Approximately how many PMJDY (Jan Dhan) accounts did India have as of March 2026?

- **A.** Around 5 crore
- **B.** Around 25 crore
- **C.** Around 57.71 crore
- **D.** Around 100 crore

Correct Answer: Option (C)

Short Explanation: *India had approximately 57.71 crore PMJDY accounts as of March 2026, making it one of the largest financial inclusion programmes in the world.*

Question 89

Which of the following best describes a Payments Bank or Small Finance Bank?

- **A.** A full-service bank with unlimited lending capacity
- **B.** A limited-service bank focused mainly on deposits, payments, and small-ticket lending
- **C.** A bank that can only serve government employees
- **D.** A type of insurance company

Correct Answer: Option (B)

Short Explanation: *Payments Banks and Small Finance Banks are limited-service institutions focused primarily on deposits, payments, and small-scale lending.*

Question 90

A customer notices repeated small charges on their statement due to falling below the minimum balance requirement. What should they do?

- **A.** Ignore it, since it has no cumulative effect
- **B.** Review their account usage and either maintain the minimum balance or consider a zero-balance account type
- **C.** Close all their bank accounts immediately
- **D.** Stop using banking services altogether

Correct Answer: Option (B)

Short Explanation: *Repeated minimum balance penalties quietly reduce savings over time; the customer should either maintain the balance or switch to a suitable zero-balance account.*

Question 91

Approximately what was India's overall insurance penetration (as a % of GDP) in FY 2024-25?

- **A.** Approximately 3.7%
- **B.** Approximately 15%
- **C.** Approximately 30%
- **D.** Approximately 50%

Correct Answer: Option (A)

Short Explanation: *India's overall insurance penetration stood at approximately 3.7% of GDP in FY 2024-25, roughly half the global average of about 7.3%.*

Question 92

Which of these best reflects appropriate loan document organisation?

- **A.** Keeping loan documents, EMI schedules, and repayment records organised and accessible
- **B.** Discarding loan documents immediately after disbursal
- **C.** Sharing loan documents publicly on social media
- **D.** Relying entirely on verbal agreements with no documentation

Correct Answer: Option (A)

Short Explanation: *Keeping loan documents, EMI schedules, and repayment records organised and accessible supports better financial tracking and dispute resolution if needed.*

Question 93

Which of these best reflects sound practice regarding insurance policy documents?

- **A.** Keeping them hidden from all family members
- **B.** Keeping them organised and accessible to family members, along with nominee details
- **C.** Discarding them once the first premium is paid
- **D.** Storing them only with the insurance agent, never with the family

Correct Answer: Option (B)

Short Explanation: *Keeping insurance documents organised and accessible to family members, along with clear nominee details, ensures a smoother claims process if needed.*

Question 94

Which of the following best reflects why filing taxes at the last minute is risky?

- **A.** There is no risk associated with last-minute filing
- **B.** It increases the likelihood of errors, missed deductions, or needing to file a revised return
- **C.** Last-minute filing always results in a lower tax liability
- **D.** The Income Tax Department only accepts last-minute filings

Correct Answer: Option (B)

Short Explanation: *Filing at the last minute increases the risk of errors, missed deductions, or needing to file a revised return due to rushed preparation.*

Question 95

Why does the Smart Financial Citizen framework describe financial wellness as a "repeating cycle" (Protect, Plan, Grow, Review) rather than a one-time achievement?

- **A.** Because financial security is achieved once and never requires further attention
- **B.** Because circumstances, goals, and risks change over time, requiring ongoing protection, planning, growth, and review
- **C.** Because the cycle only applies to businesses, not individuals
- **D.** Because reviewing finances has no real long-term benefit

Correct Answer: Option (B)

Short Explanation: *Financial wellness is described as a repeating cycle because circumstances, goals, and risks change over time, requiring ongoing attention rather than a single, one-time achievement.*

Question 96

What is the significance of cumulative DBT transfers exceeding ₹49.09 lakh crore, as reported in early 2026?

- **A.** It reflects the total value of India's stock market
- **B.** It reflects the scale of government subsidies and welfare payments delivered directly to beneficiaries' bank accounts over time
- **C.** It represents a single year's government budget
- **D.** It reflects total private sector investment in India

Correct Answer: Option (B)

Short Explanation: *The ₹49.09 lakh crore figure reflects the cumulative scale of government subsidies and welfare payments delivered directly to beneficiaries via DBT since the system's inception.*

Question 97

A person's savings earn 4% interest annually, while inflation runs at 6%. What is happening to the real value of their money?

- **A.** It is growing in real terms
- **B.** It is shrinking in real terms, despite the number on the passbook increasing
- **C.** It remains exactly the same in real terms
- **D.** Inflation has no effect on savings

Correct Answer: Option (B)

Short Explanation: *When the interest rate earned is lower than inflation, the real purchasing power of the money shrinks, even though the nominal amount increases.*

Question 98

Which government platform allows citizens to file a formal complaint about cybercrime or financial fraud?

- **A.** cybercrime.gov.in
- **B.** incometax.gov.in
- **C.** sebi.gov.in
- **D.** rbi.org.in

Correct Answer: Option (A)

Short Explanation: *The National Cyber Crime Reporting Portal, cybercrime.gov.in, allows citizens to file formal complaints about cybercrime and financial fraud.*

Question 99

Which of these is the most accurate statement about SIPs and market timing?

- **A.** SIPs require precise market timing to be effective
- **B.** SIPs reduce the need to time the market by investing fixed amounts at regular intervals regardless of price
- **C.** SIPs can only be started when markets are at their lowest point
- **D.** SIPs guarantee a fixed, non-market-linked return

Correct Answer: Option (B)

Short Explanation: *SIPs reduce the need to time the market since they invest a fixed amount at regular intervals regardless of the current price, averaging the purchase cost over time.*

Question 100

A person wants to start applying financial literacy concepts but feels overwhelmed by everything they've learned. What is the recommended first step?

- **A.** Attempt to apply every checklist perfectly all at once
- **B.** Start with small, repeatable habits, like a daily safety checklist and a monthly budget review
- **C.** Avoid any action until every concept is fully memorised
- **D.** Give up on applying financial literacy altogether

Correct Answer: Option (B)

Short Explanation: *Starting with small, repeatable habits builds momentum, rather than attempting to apply everything perfectly at once, which often leads to feeling overwhelmed.*

Question 101

Why does JanGyan emphasise that "awareness of common fraud patterns" is often more protective than any single technical safeguard?

- **A.** Technical safeguards are entirely unnecessary
- **B.** Most fraud succeeds through psychological manipulation, so recognising the underlying pattern helps prevent a wide range of specific scams
- **C.** Awareness has no measurable effect on fraud prevention
- **D.** Only technical safeguards can prevent fraud

Correct Answer: Option (B)

Short Explanation: *Since most fraud relies on similar psychological patterns (urgency, false authority, information requests), recognising these patterns helps prevent many different specific scam variations.*

Question 102

What is the primary regulatory body overseeing the National Pension System and Atal Pension Yojana?

- **A.** IRDAI
- **B.** PFRDA (Pension Fund Regulatory and Development Authority)
- **C.** SEBI
- **D.** RBI

Correct Answer: Option (B)

Short Explanation: *PFRDA (Pension Fund Regulatory and Development Authority) regulates the National Pension System and Atal Pension Yojana.*

Question 103

What is the correct understanding of GST's impact on consumers?

- **A.** GST only affects businesses, not individual consumers
- **B.** GST affects the price of most goods and services purchased by consumers, since it's an indirect tax passed through the supply chain
- **C.** GST is paid directly by the government to consumers
- **D.** GST has been entirely abolished in India

Correct Answer: Option (B)

Short Explanation: *As an indirect tax, GST affects the final price paid by consumers for most goods and services, even though businesses formally collect and remit it.*

Question 104

Which of these is a legitimate action a UPI app might ask you to do to send money?

- **A.** Enter your MPIN after reviewing the payee and amount
- **B.** Share your MPIN over a customer support call
- **C.** Enter your MPIN to "receive" a refund
- **D.** Share your MPIN via SMS to a "verification" number

Correct Answer: Option (A)

Short Explanation: *The only legitimate use of an MPIN is to authorise a payment you are sending, after reviewing the payee and amount within the app itself.*

Question 105

What percentage of GDP did India's mutual fund industry AUM represent in FY2026, according to recent data?

- **A.** Approximately 5%
- **B.** Approximately 21.3%
- **C.** Approximately 50%
- **D.** Approximately 80%

Correct Answer: Option (B)

Short Explanation: *Mutual fund AUM as a share of India's GDP rose to approximately 21.3% in FY2026, up from 15.9% in FY2021, reflecting growing investment penetration.*

Question 106

Why might someone with a lower income benefit more from financial literacy than someone with a very high income?

- **A.** Financial literacy is irrelevant to income level
- **B.** Every rupee needs careful management when income is limited, making financial literacy especially valuable
- **C.** Lower income automatically means better financial habits
- **D.** Financial literacy is legally required only for lower incomes

Correct Answer: Option (B)

Short Explanation: *When income is limited, careful management of every rupee becomes especially important, making financial literacy a valuable skill regardless of income level.*

Question 107

What is the recommended frequency for reviewing insurance, investments, and tax readiness together, according to the Smart Financial Citizen framework?

- **A.** Daily
- **B.** Quarterly or annually
- **C.** Only once in a lifetime
- **D.** Every five years at minimum

Correct Answer: Option (B)

Short Explanation: *Insurance, investment, and tax readiness are recommended to be reviewed quarterly or annually, reflecting their less frequent but still important nature compared to daily or monthly habits.*

Question 108

What is the purpose of a "nominee" on an insurance policy?

- **A.** To reduce the policy's premium
- **B.** To designate a person to receive the policy benefit if the policyholder passes away
- **C.** To increase the sum assured automatically
- **D.** To act as a co-signer for the policy

Correct Answer: Option (B)

Short Explanation: *A nominee is designated to receive the insurance policy's benefit if the policyholder passes away, simplifying the claims process for the family.*

Question 109

What is "volatility" in the context of investments?

- **A.** The guaranteed return of an investment
- **B.** How much and how quickly an investment's value fluctuates over time
- **C.** The tax rate applied to an investment
- **D.** The fixed interest rate of a bond

Correct Answer: Option (B)

Short Explanation: *Volatility refers to how much and how quickly an investment's value fluctuates, with higher volatility generally associated with higher risk.*

Question 110

A person wants to invest but has no knowledge of the stock market. What is the most suitable starting point?

- **A.** Directly buying individual stocks based on tips from social media
- **B.** Starting with a small SIP in a diversified mutual fund
- **C.** Avoiding all forms of investment permanently
- **D.** Taking a loan specifically to invest in high-risk stocks

Correct Answer: Option (B)

Short Explanation: *A small SIP in a diversified mutual fund is a suitable, lower-risk starting point for a beginner, offering professional management without needing deep market expertise.*

Question 111

Which of these is the clearest sign that a budget may be unrealistic and likely to be abandoned?

- **A.** It allocates a small amount to entertainment
- **B.** It allocates 0% to any discretionary spending, leaving no room for enjoyment at all
- **C.** It includes a line for emergency fund contributions
- **D.** It is reviewed and adjusted monthly

Correct Answer: Option (B)

Short Explanation: *A budget with zero room for any discretionary spending is often unsustainable and more likely to be abandoned than one with a small, realistic allowance for wants.*

Question 112

Which is considered an "asset" in personal finance?

- **A.** A credit card balance owed
- **B.** An unpaid personal loan
- **C.** Money invested in a fixed deposit
- **D.** A pending electricity bill

Correct Answer: Option (C)

Short Explanation: *An asset is something of value you own, such as money in a fixed deposit, while unpaid loans and bills are liabilities.*

Question 113

What is "collateral" in the context of a secured loan?

- **A.** The interest rate charged by the lender
- **B.** An asset pledged to secure a loan, which the lender can claim if the borrower defaults
- **C.** A government subsidy on loans
- **D.** The lender's annual profit

Correct Answer: Option (B)

Short Explanation: *Collateral is an asset pledged to secure a loan, such as a house or gold, which the lender can claim if the borrower fails to repay.*

Question 114

What is the main advantage for a taxpayer of reviewing Form 26AS or the Annual Information Statement (AIS) before filing taxes?

- **A.** These documents have no relevance to tax filing
- **B.** They help verify income and tax already deducted or paid, reducing the risk of filing errors
- **C.** They are used only by businesses, not individual taxpayers
- **D.** They replace the need to file an ITR altogether

Correct Answer: Option (B)

Short Explanation: *Reviewing Form 26AS or AIS helps verify income and taxes already deducted or paid, reducing the risk of errors or mismatches when filing an ITR.*

Question 115

Which regulatory body oversees the National Pension System (NPS) and Atal Pension Yojana (APY)?

- **A.** IRDAI
- **B.** SEBI
- **C.** PFRDA
- **D.** EPFO

Correct Answer: Option (C)

Short Explanation: *PFRDA (Pension Fund Regulatory and Development Authority) regulates both the National Pension System and Atal Pension Yojana.*

Question 116

According to the Smart Financial Citizen framework, how often should the Daily Financial Safety Checklist ideally be applied?

- **A.** Once a year
- **B.** As an ongoing daily habit
- **C.** Only once, when first learned
- **D.** Only during tax season

Correct Answer: Option (B)

Short Explanation: *The Daily Financial Safety Checklist is designed to be applied as an ongoing daily habit, unlike checklists suited to monthly, quarterly, or annual review.*

Question 117

What does "goal-based saving" mean?

- **A.** Saving money with no specific purpose
- **B.** Tying a specific savings amount to a specific, named purpose
- **C.** Saving only for retirement
- **D.** Avoiding all forms of saving

Correct Answer: Option (B)

Short Explanation: *Goal-based saving ties savings to a specific, named purpose (like a vacation or a down payment), making the goal concrete and easier to stay motivated about.*

Question 118

A person is asked to "authenticate a refund" by entering their UPI MPIN on a call with a supposed customer care agent. What is the correct response?

- **A.** Comply immediately since it is described as a "refund"
- **B.** Refuse and end the call — refunds never require entering an MPIN over a call
- **C.** Provide the MPIN only if the agent sounds professional
- **D.** Ask a family member to provide the MPIN instead

Correct Answer: Option (B)

Short Explanation: *Refunds never require entering an MPIN over a call; this is a common fraud pattern designed to trick victims into authorising an outgoing payment.*

Question 119

What is the primary purpose of the Atal Pension Yojana (APY)?

- **A.** To provide free health insurance
- **B.** To offer a guaranteed minimum pension, mainly for workers in the unorganised sector
- **C.** To fund higher education loans
- **D.** To provide vehicle insurance subsidies

Correct Answer: Option (B)

Short Explanation: *APY offers a guaranteed minimum monthly pension starting at age 60, designed mainly for workers in the unorganised sector who lack employer-based retirement plans.*

Question 120

A family's budget shows healthy savings on paper, but their credit card debt has also grown substantially over the same period. What does this scenario most likely indicate?

- **A.** The family's overall financial position is definitely improving
- **B.** Rising liabilities alongside savings can offset real financial progress, requiring a full picture rather than looking at savings alone
- **C.** Credit card debt has no bearing on overall financial health
- **D.** This combination is impossible in practice

Correct Answer: Option (B)

Short Explanation: *Rising liabilities like credit card debt can offset apparent savings progress, showing why a full financial picture — not savings alone — is needed to assess true financial health.*

Question 121

Why might relying solely on an employer's group health insurance be risky?

- **A.** Group cover always continues after leaving the job with no changes
- **B.** Group cover usually ends when employment ends, leaving a coverage gap without personal health insurance
- **C.** Group cover is illegal in India
- **D.** Group cover always offers better benefits than personal insurance

Correct Answer: Option (B)

Short Explanation: *Employer-provided group health cover typically ends when employment ends, so relying on it solely can leave a coverage gap without a personal health insurance policy.*

Question 122

Which of the following best supports long-term financial independence?

- **A.** Relying entirely on one source of active income with no savings
- **B.** Building diversified savings and investments over many years
- **C.** Avoiding any form of saving or investing
- **D.** Spending all income as soon as it is earned

Correct Answer: Option (B)

Short Explanation: *Financial independence is built gradually through diversified savings and investments accumulated over many years, not through one-time actions.*

Question 123

What is the key difference between a "sum assured" and a "premium"?

- **A.** They refer to the exact same amount
- **B.** Sum assured is the payout amount from the insurer; premium is the amount paid by the policyholder to maintain the policy
- **C.** Premium is always higher than the sum assured
- **D.** Sum assured is paid monthly, while premium is paid only once

Correct Answer: Option (B)

Short Explanation: *The sum assured is the amount payable by the insurer upon a covered event, while the premium is the recurring amount the policyholder pays to keep the policy active.*

Question 124

Which of the following best describes an "IFSC code"?

- **A.** A customer's personal identification number
- **B.** An 11-character code identifying a specific bank branch for electronic transfers
- **C.** A type of insurance policy number
- **D.** A code used only for international transfers

Correct Answer: Option (B)

Short Explanation: *The IFSC (Indian Financial System Code) is an 11-character code that identifies a specific bank branch, used for electronic fund transfers.*

Question 125

What is the recommended first step in building personal financial literacy, according to a structured financial plan?

- **A.** Immediately investing in high-risk assets
- **B.** Tracking income and expenses to understand your current financial position
- **C.** Applying for multiple credit cards
- **D.** Ignoring your bank statements

Correct Answer: Option (B)

Short Explanation: *Tracking income and expenses is the foundational first step, as it reveals your actual financial position before setting goals or budgets.*

Question 126

A person tracks every expense for one month and discovers frequent small purchases add up significantly. What financial concept does this illustrate?

- **A.** Financial independence
- **B.** The hidden impact of untracked variable/discretionary spending
- **C.** Compound interest
- **D.** Tax planning

Correct Answer: Option (B)

Short Explanation: *Tracking expenses often reveals that small, frequent purchases have a larger cumulative impact than expected, showing the value of expense tracking.*

Question 127

In NPS, what typically happens to the accumulated corpus at retirement?

- **A.** The entire amount must be withdrawn as a single lump sum with no other option
- **B.** A portion can be withdrawn, while the remainder is used to purchase an annuity for regular pension income
- **C.** The corpus is automatically forfeited
- **D.** NPS provides no retirement income at all

Correct Answer: Option (B)

Short Explanation: *At retirement, a portion of the NPS corpus can typically be withdrawn, while the remainder is used to purchase an annuity providing regular pension income.*

Question 128

What is the risk of using the same MPIN as an easily guessable number, like a birth date?

- **A.** There is no additional risk
- **B.** It makes unauthorised access to the UPI account easier if the MPIN is guessed or observed
- **C.** It automatically doubles transaction security
- **D.** Banks prohibit birth dates as MPINs entirely

Correct Answer: Option (B)

Short Explanation: *Using an easily guessable MPIN, like a birth date, increases the risk that someone could gain unauthorised access if they observe or guess it.*

Question 129

Which is the best example of "active income"?

- **A.** Dividend from a stock investment
- **B.** Rental income from a property
- **C.** Monthly salary from employment
- **D.** Interest earned on a fixed deposit

Correct Answer: Option (C)

Short Explanation: *Active income is earned directly through work, such as a salary, whereas rent, dividends, and interest are forms of passive income.*

Question 130

Which of the following is the safest practice regarding QR codes displayed at a shop?

- **A.** Assume every QR code is automatically safe to scan
- **B.** Periodically check that the displayed QR code hasn't been tampered with or replaced
- **C.** Never scan any QR code under any circumstances
- **D.** Only scan QR codes shown on paper, never on a screen

Correct Answer: Option (B)

Short Explanation: *QR codes can be tampered with or replaced by fraudsters; periodically checking that a displayed code is genuine is an important safety practice for merchants and customers alike.*

Question 131

What is the most effective habit for catching a lapsed nominee or outdated KYC detail before it causes a problem?

- **A.** Waiting for the bank to notice and inform you
- **B.** Periodically and proactively reviewing your account details, nominees, and KYC status
- **C.** Never checking account details after opening the account
- **D.** Assuming details never need to change once set

Correct Answer: Option (B)

Short Explanation: *Proactively and periodically reviewing account details, nominees, and KYC status is the most effective way to catch outdated information before it causes issues.*

Question 132

What is the safest way to confirm current, official income tax slab rates for a given financial year?

- **A.** Relying solely on social media posts
- **B.** Checking the official Income Tax Department website or verified government sources
- **C.** Asking an unverified online forum
- **D.** Assuming rates never change from year to year

Correct Answer: Option (B)

Short Explanation: *The safest way to confirm current tax slabs is to check the official Income Tax Department website or other verified government sources, since rates can change.*

Question 133

Which best describes why understanding both loans and taxation together is valuable for personal finance?

- **A.** They are entirely unrelated financial topics
- **B.** Loan interest and certain deductions can interact with tax liability, and both significantly affect monthly cash flow and long-term financial planning
- **C.** Only businesses need to understand both topics together
- **D.** Understanding one topic makes the other irrelevant

Correct Answer: Option (B)

Short Explanation: *Loan interest, certain deductions, and repayment obligations can interact with tax planning, and both loans and taxation significantly affect monthly cash flow and long-term financial planning.*

Question 134

What is the risk of using a credit card without understanding its billing cycle?

- **A.** There is no risk if the limit is high enough
- **B.** Missed due dates and avoidable interest charges
- **C.** It automatically improves your credit score regardless of behaviour
- **D.** It has no effect on financial standing

Correct Answer: Option (B)

Short Explanation: *Not understanding a credit card's billing cycle often leads to missed due dates, resulting in avoidable interest charges and potential credit score damage.*

Question 135

What is the core message behind the statement "the citizen who checks, reviews, and acts consistently is the one who stays financially secure"?

- **A.** Financial security depends entirely on income level, not behaviour
- **B.** Ongoing, consistent habits of checking and reviewing one's finances are central to lasting financial security
- **C.** A single financial decision, made once, guarantees lifelong security
- **D.** Reviewing finances has no real connection to financial security

Correct Answer: Option (B)

Short Explanation: *This statement emphasises that ongoing, consistent habits — not a single decision or income level alone — are central to achieving and maintaining lasting financial security.*

Question 136

What is the primary function of the GST Council?

- **A.** To regulate the stock market
- **B.** To decide GST rates and structure, comprising Union and State finance ministers
- **C.** To issue PAN cards to citizens
- **D.** To set the RBI's repo rate

Correct Answer: Option (B)

Short Explanation: *The GST Council, comprising Union and State finance ministers, decides GST rates and structure for the country.*

Question 137

During a market downturn, many investors are tempted to stop their SIP. Why is this often counterproductive?

- **A.** Stopping an SIP during a downturn has no real effect
- **B.** A downturn often means the fixed SIP amount buys more units at a lower price, which can benefit long-term returns
- **C.** SIPs automatically pause during downturns regardless of investor action
- **D.** Downturns always eliminate the value of a mutual fund entirely

Correct Answer: Option (B)

Short Explanation: *During a downturn, a fixed SIP amount buys more units at a lower price, which can enhance long-term returns once the market recovers — stopping the SIP forfeits this benefit.*

Question 138

Which of these best distinguishes a "fixed expense" from a "variable expense"?

- **A.** Fixed expenses change every month; variable expenses stay the same
- **B.** Fixed expenses stay roughly the same each month (like rent); variable expenses fluctuate (like groceries)
- **C.** Fixed and variable expenses are identical concepts
- **D.** Only businesses have fixed expenses

Correct Answer: Option (B)

Short Explanation: *Fixed expenses like rent stay roughly consistent each month, while variable expenses like groceries or entertainment fluctuate.*

Question 139

A borrower is comparing a 15-year and a 20-year home loan tenure for the same amount. What should guide their decision beyond just the monthly EMI?

- **A.** Only the lender's brand name
- **B.** The total interest paid over each tenure option and their own long-term repayment capacity
- **C.** The colour of the loan agreement document
- **D.** Only the size of the down payment

Correct Answer: Option (B)

Short Explanation: *Comparing the total interest paid over each tenure option, alongside personal long-term repayment capacity, is key to making an informed choice beyond just the monthly EMI.*

Question 140

What is India's national, 24x7 toll-free helpline number for reporting cybercrime and financial fraud?

- **A.** 100
- **B.** 1098
- **C.** 1930
- **D.** 181

Correct Answer: Option (C)

Short Explanation: *1930 is India's national, 24x7 toll-free helpline for reporting cybercrime and financial fraud, coordinated through the I4C.*

Question 141

Ravi's bank account has been inactive for over two years. What is likely to happen to the account?

- **A.** It is automatically closed with no recourse
- **B.** It may be marked dormant, requiring updated KYC to reactivate
- **C.** It earns double interest as a penalty
- **D.** Nothing changes at all

Correct Answer: Option (B)

Short Explanation: *Accounts unused for two years or more can be marked "dormant" or "inactive," typically requiring updated KYC documents to reactivate.*

Question 142

What should you do if you receive an email claiming to be from your bank, asking you to "confirm" your account details via a link?

- **A.** Click the link and enter the details as requested
- **B.** Avoid clicking the link and log in only through the bank's official app or website directly
- **C.** Reply to the email with your account number for verification
- **D.** Forward the email to friends to check if it's genuine

Correct Answer: Option (B)

Short Explanation: *Avoiding the link and accessing your account only through the bank's official app or website directly protects against phishing emails designed to steal login details.*

Question 143

Which of these is generally covered under a standard life insurance policy?

- **A.** Damage to a vehicle in an accident
- **B.** A payout to the nominee if the policyholder passes away during the policy term
- **C.** Reimbursement for a lost mobile phone
- **D.** Coverage for a home renovation

Correct Answer: Option (B)

Short Explanation: *A standard life insurance policy pays a sum to the nominee if the policyholder passes away during the policy term, its core purpose.*

Question 144

What is "expense tracking"?

- **A.** Recording every expense to understand spending patterns
- **B.** A type of loan repayment schedule
- **C.** A government tax filing requirement
- **D.** A method for calculating interest rates

Correct Answer: Option (A)

Short Explanation: *Expense tracking means recording every expense, big or small, to understand exactly where money is going each month.*

Question 145

What is the safest interpretation if a message claims "your SIM card will be deactivated unless you share this code immediately"?

- **A.** This is always a routine telecom procedure
- **B.** This is a common scam pattern; the "code" is likely an OTP being sought to gain unauthorised access
- **C.** SIM deactivation always requires sharing an OTP over SMS
- **D.** This is safe if the message includes the telecom provider's logo

Correct Answer: Option (B)

Short Explanation: *This is a common fraud pattern, where the "code" being requested is usually an OTP, and the urgency around SIM deactivation is used to pressure victims into sharing it.*

Question 146

Which of these best reflects why the "Learned But Not Applied" gap is considered a common real-life pattern?

- **A.** Because financial knowledge automatically becomes habit without any further effort
- **B.** Because many people understand financial concepts well but never turn them into a repeated routine, so results don't follow
- **C.** Because learning financial concepts is unnecessary if habits are strong
- **D.** Because this pattern only affects people with low financial literacy

Correct Answer: Option (B)

Short Explanation: *The "Learned But Not Applied" gap describes how understanding financial concepts alone, without turning them into repeated routines, often fails to produce real financial results.*

Question 147

A caller claims to be a "customs officer" and says a parcel in your name contains illegal items, demanding you stay on a video call for "verification." What is the correct assessment?

- **A.** This is a legitimate customs procedure requiring cooperation
- **B.** This matches the pattern of a "digital arrest" scam and should be disconnected immediately
- **C.** This is safe as long as the caller has some of your personal details
- **D.** You should transfer money to avoid legal consequences

Correct Answer: Option (B)

Short Explanation: *This matches the well-known "digital arrest" scam pattern; no genuine customs or law enforcement process involves demanding money or verification over a video call.*

Question 148

What is "term insurance"?

- **A.** A policy that combines insurance with market-linked investment
- **B.** Pure life protection offering high cover at low premium, with no maturity payout if the policyholder survives the term
- **C.** A type of health insurance for elderly citizens only
- **D.** A government pension scheme

Correct Answer: Option (B)

Short Explanation: *Term insurance provides pure life protection at a relatively low cost, offering high cover but no payout if the policyholder survives the policy term.*

Question 149

What is the correct interpretation of a "risk disclosure" statement on an investment product?

- **A.** It guarantees the investment will always be profitable
- **B.** It reminds investors that market-linked investments are subject to risk and may not guarantee returns
- **C.** It is a legal loophole with no real meaning
- **D.** It only applies to government bonds

Correct Answer: Option (B)

Short Explanation: *A risk disclosure statement reminds investors that market-linked investments carry risk and do not guarantee returns, an important reality check before investing.*

Question 150

A household's financial plan covers budgeting, saving, insurance, and retirement together rather than separately, adjusting each component as the others change. This integrated approach is best described as:

- **A.** Tax evasion
- **B.** Financial planning
- **C.** Financial independence
- **D.** Asset liquidation

Correct Answer: Option (B)

Short Explanation: *Financial planning is the process of setting goals and mapping out saving, insurance, investment, and retirement strategies together in a coordinated, evolving way.*

Question 151

Why might an investor with a long time horizon (e.g., 25 years to retirement) generally tolerate more investment risk than someone nearing retirement?

- **A.** Time horizon has no bearing on appropriate risk levels
- **B.** A longer time horizon allows more time to recover from short-term market downturns
- **C.** Longer time horizons always require avoiding all risk
- **D.** Only short time horizons benefit from taking on risk

Correct Answer: Option (B)

Short Explanation: *A longer time horizon allows more time to recover from short-term market downturns, generally supporting a higher tolerance for investment risk.*

Question 152

Which item is most appropriate for a "Banking Security Checklist"?

- **A.** Setting a long-term investment goal
- **B.** Confirming that KYC details and nominees are current on all bank accounts
- **C.** Comparing GST rates on a recent purchase
- **D.** Reviewing a health insurance waiting period

Correct Answer: Option (B)

Short Explanation: *Confirming current KYC and nominee details is a core banking security check, distinct from investment, tax, or insurance-specific items.*

Question 153

Which of these best reflects sound practice regarding investment groups on social media promoting high, consistent daily returns?

- **A.** Joining and investing quickly to avoid missing out
- **B.** Treating such promises with strong scepticism, since consistent guaranteed high returns are a common fraud indicator
- **C.** Assuming legitimacy since many other people have joined the group
- **D.** Investing a very small "test" amount is always completely safe

Correct Answer: Option (B)

Short Explanation: *Consistent guaranteed high returns promoted through social media groups are a common fraud indicator and should be treated with strong scepticism, regardless of group size.*

Question 154

What is the safest response to an offer for a loan that seems unusually easy to obtain with minimal verification?

- **A.** Accept it immediately, since easy approval is always a good sign
- **B.** Treat it with caution and verify the lender is a legitimate, RBI-regulated bank or NBFC
- **C.** Share personal banking details immediately to secure the offer
- **D.** Assume all loan offers are equally trustworthy

Correct Answer: Option (B)

Short Explanation: *Loans that seem unusually easy to obtain with minimal verification warrant caution; it's important to confirm the lender is a legitimate, RBI-regulated bank or NBFC.*

Question 155

Why does India's heavy reliance on UPI make personal safety habits especially important?

- **A.** UPI has no real safety risks to consider
- **B.** With such high transaction volumes, individual carelessness can be easily exploited by scammers targeting common patterns
- **C.** Safety habits only matter for large, one-time transactions
- **D.** UPI's scale has no bearing on individual risk

Correct Answer: Option (B)

Short Explanation: *With UPI's massive transaction volume, scammers frequently exploit common patterns of carelessness, making individual safety habits especially important at this scale.*

Question 156

What is the safest way to verify if a payment link received via SMS is genuine?

- **A.** Click it immediately since SMS links are always safe
- **B.** Avoid clicking unknown links and verify directly through the official app or company website
- **C.** Reply to the SMS asking for confirmation
- **D.** Forward it to family members for their opinion first

Correct Answer: Option (B)

Short Explanation: *Unknown payment links should never be clicked directly; verification should always happen independently through the official app or website.*

Question 157

Which of these best supports building a savings habit for a specific short-term goal?

- **A.** A Recurring Deposit tied to that goal
- **B.** Leaving cash at home
- **C.** An overdraft facility
- **D.** A current account

Correct Answer: Option (A)

Short Explanation: *A Recurring Deposit allows regular, disciplined monthly saving, which is well suited to working toward a specific short-term goal.*

Question 158

Someone claims you can "receive" a refund by scanning a QR code and entering your MPIN. What should you conclude?

- **A.** This is a normal, safe process
- **B.** This is a common fraud pattern, since entering an MPIN only ever sends money
- **C.** This only works for refunds above ₹500
- **D.** This is safe as long as the caller sounds polite

Correct Answer: Option (B)

Short Explanation: *Since entering an MPIN after scanning a QR code always sends money, any claim that it will help you "receive" money is a fraud pattern.*

Question 159

Why might a fraudster prefer requesting a "small test transaction" before a larger promised payout?

- **A.** Small test transactions have no strategic purpose for fraudsters
- **B.** It builds false trust and can also serve to verify the victim's willingness to transact before attempting a larger fraud
- **C.** This is a standard, legitimate verification process used by banks
- **D.** Test transactions guarantee the promised payout will follow

Correct Answer: Option (B)

Short Explanation: *Fraudsters may request a small "test" transaction to build false trust and confirm a victim's willingness to transact, before attempting to extract larger amounts.*

Question 160

A person receives a significant salary increase but deliberately keeps their spending the same as before, saving the entire increase. What financial principle does this best demonstrate?

- **A.** Lifestyle inflation
- **B.** Avoiding lifestyle inflation by keeping spending steady as income grows, boosting the savings rate
- **C.** Tax evasion
- **D.** Reducing net worth intentionally

Correct Answer: Option (B)

Short Explanation: *Keeping spending steady while income rises avoids "lifestyle inflation" and significantly increases the savings rate, accelerating progress toward financial goals.*

Question 161

What is a "UPI Autopay" mandate?

- **A.** A one-time cash withdrawal method
- **B.** A recurring, pre-authorised UPI payment for subscriptions or bills
- **C.** A method to reverse UPI transactions instantly
- **D.** A type of ATM card

Correct Answer: Option (B)

Short Explanation: *UPI Autopay allows recurring, pre-authorised payments (like subscriptions) to be automatically deducted from an account without manual approval each time.*

Question 162

What is an "emergency fund" primarily designed to cover?

- **A.** Planned vacation expenses
- **B.** Unexpected expenses or income loss
- **C.** Regular monthly grocery bills
- **D.** Long-term retirement needs

Correct Answer: Option (B)

Short Explanation: *An emergency fund is money set aside specifically for unplanned expenses, such as a medical emergency or sudden job loss.*

Question 163

What is the primary purpose of a budget?

- **A.** To eliminate all spending
- **B.** To plan how income will be spent, saved, and invested
- **C.** To increase taxes owed
- **D.** To replace the need for a bank account

Correct Answer: Option (B)

Short Explanation: *A budget is a plan for allocating income across spending, saving, and investing, giving control over where money goes.*

Question 164

Why is term insurance sometimes mistakenly considered a "waste of money" by some people?

- **A.** Because it truly offers no value at all
- **B.** Because there is no maturity payout if the policyholder survives, though its actual purpose is protection, not returns
- **C.** Because it has the highest premiums of any insurance type
- **D.** Because it cannot be renewed

Correct Answer: Option (B)

Short Explanation: *Term insurance's purpose is protection, not investment returns; the absence of a maturity payout for survival doesn't reduce its value as high-value, low-cost life protection.*

Question 165

What is the significance of tying the Financial Goal Tracker's "Emergency Fund" row to a "short-term" time horizon by default?

- **A.** Emergency funds are always considered long-term investments
- **B.** An emergency fund is meant to be quickly accessible, aligning with a short-term, liquid savings approach rather than a long-term investment
- **C.** The time horizon of an emergency fund has no practical significance
- **D.** This classification is incorrect and should be changed to "long-term"

Correct Answer: Option (B)

Short Explanation: *Classifying the emergency fund as short-term reflects its purpose — needing to be quickly accessible — rather than tied up in longer-term, less liquid investments.*

Question 166

Why should nominee details be reviewed and updated periodically?

- **A.** Nominee details never need to be updated once set
- **B.** Major life events like marriage or having children can make previous nominee details outdated
- **C.** Insurance companies automatically update nominees without being asked
- **D.** It has no effect on how a claim is processed

Correct Answer: Option (B)

Short Explanation: *Major life events, such as marriage or having children, can make earlier nominee details outdated, so reviewing and updating them periodically is important.*

Question 167

What does it mean that PPF allows "partial withdrawals and loans against the balance under specific conditions" before the 15-year maturity?

- **A.** PPF funds are completely inaccessible until maturity, with no exceptions
- **B.** While PPF is a long-term scheme, certain limited access options exist before full maturity under defined rules
- **C.** PPF allows unlimited withdrawals at any time with no restrictions
- **D.** This feature only applies to the Sukanya Samriddhi Yojana, not PPF

Correct Answer: Option (B)

Short Explanation: *While PPF is designed as a long-term, 15-year scheme, it does allow certain limited partial withdrawals and loans against the balance under specific defined conditions.*

Question 168

What is the primary role of the RBI's repo rate in relation to loans?

- **A.** It has no connection to loan interest rates
- **B.** It influences the cost of borrowing for banks, which in turn affects loan interest rates offered to customers
- **C.** It is a direct tax on loan repayments
- **D.** It only applies to government loans

Correct Answer: Option (B)

Short Explanation: *The repo rate influences banks' own cost of borrowing, which in turn affects the interest rates banks offer on loans to customers.*

Question 169

Which best describes the primary regulatory role the Reserve Bank of India plays over commercial banks?

- **A.** RBI has no authority over commercial banks
- **B.** RBI regulates and supervises banks, setting KYC, interest rate, and operational guidelines
- **C.** RBI only regulates cooperative banks
- **D.** RBI's role is limited to printing currency

Correct Answer: Option (B)

Short Explanation: *RBI regulates and supervises all commercial banks in India, setting guidelines on KYC, interest rates, and overall banking operations.*

Question 170

Why does JanGyan describe awareness, rather than eligibility, as often the biggest barrier to accessing government financial schemes?

- **A.** Because most citizens are actually ineligible for these schemes
- **B.** Because many citizens who do qualify are simply unaware such schemes exist or how to apply
- **C.** Because government schemes require no eligibility criteria at all
- **D.** Because awareness has no bearing on scheme usage

Correct Answer: Option (B)

Short Explanation: *Many citizens who genuinely qualify for schemes like PPF, SSY, or APY are simply unaware these schemes exist or don't know how to apply, making awareness the real barrier.*

Question 171

What does "liquidity" mean when evaluating an investment?

- **A.** The investment's expected annual return
- **B.** How quickly an investment can be converted into cash without a significant loss in value
- **C.** The investment's total market capitalisation
- **D.** The tax rate applied to the investment

Correct Answer: Option (B)

Short Explanation: *Liquidity refers to how quickly an investment can be converted into usable cash without a significant loss in value, an important factor alongside risk and return.*

Question 172

Which of the following best explains why banks require KYC updates periodically?

- **A.** To increase fees for the bank
- **B.** To keep customer identity and address information accurate and current for security and compliance
- **C.** To discourage customers from using their accounts
- **D.** KYC is a one-time requirement never repeated

Correct Answer: Option (B)

Short Explanation: *Periodic KYC updates ensure customer identity and address details remain accurate, supporting both account security and regulatory compliance.*

Question 173

Approximately how many UPI transactions did India process in August 2026 (monthly)?

- **A.** About 2.4 million
- **B.** About 240 million
- **C.** About 24.51 billion
- **D.** About 2.4 trillion

Correct Answer: Option (C)

Short Explanation: *UPI processed a record approximately 24.51 billion transactions in August 2026, reflecting the massive scale of India's digital payment adoption.*

Question 174

Why does the checklist module recommend involving family members in the annual Final Financial Wellness Checklist review?

- **A.** Family involvement is discouraged in financial matters
- **B.** It helps ensure shared visibility, catches blind spots, and builds collective accountability for household finances
- **C.** Only one family member should ever be aware of household finances
- **D.** Family involvement has no bearing on the review's effectiveness

Correct Answer: Option (B)

Short Explanation: *Involving family members in the annual review helps ensure shared visibility, catches blind spots, and builds collective accountability for household financial wellness.*

Question 175

A bank customer wants to send ₹6 lakh via cheque. Which RBI-mandated safeguard is likely to apply?

- **A.** NEFT holiday processing
- **B.** The Positive Pay System, requiring electronic confirmation of cheque details
- **C.** Automatic cheque rejection
- **D.** A mandatory 30-day hold with no exceptions

Correct Answer: Option (B)

Short Explanation: *For high-value cheques (typically ₹5 lakh and above), RBI mandates the Positive Pay System, where the issuer confirms cheque details electronically before payment.*

Question 176

What is a key limitation of gold as an investment, compared to stocks or bonds?

- **A.** Gold cannot be sold once purchased
- **B.** Gold does not generate regular income like dividends or interest
- **C.** Gold always loses value during economic uncertainty
- **D.** Gold cannot be held electronically in any form

Correct Answer: Option (B)

Short Explanation: *Unlike stocks (dividends) or bonds (interest), gold does not generate regular income, though it can still play a useful diversification role in a portfolio.*

Question 177

What is the "principal" in a loan?

- **A.** The interest rate charged
- **B.** The original amount of money borrowed, before interest
- **C.** The total repayment amount including interest
- **D.** The lender's profit margin

Correct Answer: Option (B)

Short Explanation: *The principal is the original amount borrowed, before any interest is added, distinct from the total repayment amount.*

Question 178

What is the first recommended step when filing an insurance claim?

- **A.** Wait several months before informing the insurer
- **B.** Inform the insurer as soon as possible after the event occurs
- **C.** Immediately approach a court for legal action
- **D.** Cancel the policy before filing

Correct Answer: Option (B)

Short Explanation: *Informing the insurer as soon as possible after the event occurs is the recommended first step in the claims process, helping avoid delays or complications.*

Question 179

What is a "post-dated cheque"?

- **A.** A cheque that has already expired
- **B.** A cheque carrying a future date that cannot be cashed before that date
- **C.** A cheque with no signature
- **D.** A cheque payable only in cash

Correct Answer: Option (B)

Short Explanation: *A post-dated cheque carries a future date and legally cannot be cashed or processed before that date arrives.*

Question 180

Which small savings scheme offered the highest interest rate among PPF, SSY, and NSC for the July-September 2026 quarter?

- **A.** PPF
- **B.** Sukanya Samriddhi Yojana (SSY)
- **C.** NSC
- **D.** All three offered identical rates

Correct Answer: Option (B)

Short Explanation: *Sukanya Samriddhi Yojana offered approximately 8.2% for the July-September 2026 quarter, the highest among PPF (7.1%) and NSC (7.7%).*

Question 181

Which type of vehicle insurance is legally mandatory in India for all vehicles on public roads?

- **A.** Comprehensive insurance
- **B.** Third-party insurance
- **C.** Travel insurance
- **D.** Home insurance

Correct Answer: Option (B)

Short Explanation: *Third-party vehicle insurance, covering liability for injury or damage to others, is the legally mandatory minimum for all vehicles on Indian public roads.*

Question 182

A person spends their entire salary on wants and needs each month, saving only if something happens to be left over. What financial habit does this reflect?

- **A.** Goal-based saving
- **B.** Save-first budgeting
- **C.** A "spend-first" pattern with inconsistent savings
- **D.** Financial independence

Correct Answer: Option (C)

Short Explanation: *Saving only what's "left over" is an inconsistent "spend-first" pattern that often results in little or no savings at all.*

Question 183

Which of these best reflects the risk of the "credit card minimum-payment cycle"?

- **A.** It has no long-term financial consequence
- **B.** Paying only the minimum lets interest compound on the remaining balance, extending debt far longer than expected
- **C.** It automatically pays off the balance faster than paying in full
- **D.** It guarantees a lower overall interest cost

Correct Answer: Option (B)

Short Explanation: *Paying only the minimum due allows interest to compound on the remaining balance, often extending the repayment period and total interest paid significantly.*

Question 184

What accident insurance and card benefit typically comes bundled with a PMJDY account?

- **A.** A gold loan and a fixed deposit
- **B.** A RuPay debit card along with accident insurance cover
- **C.** A free international credit card
- **D.** A free health insurance policy covering the entire family

Correct Answer: Option (B)

Short Explanation: *PMJDY accounts typically come with a RuPay debit card and an associated accident insurance cover, among other benefits.*

Question 185

Why is it recommended to buy health insurance while young and healthy, rather than waiting?

- **A.** There is no benefit to buying early
- **B.** Buying early usually means lower premiums and shorter waiting periods for future coverage
- **C.** Health insurance is unavailable to older individuals
- **D.** Premiums decrease automatically with age

Correct Answer: Option (B)

Short Explanation: *Buying health insurance while young and healthy typically results in lower premiums and shorter waiting periods compared to buying later in life.*

Question 186

What is the correct understanding of RTGS settlement compared to NEFT?

- **A.** RTGS settles transactions individually and immediately; NEFT settles in batches
- **B.** RTGS settles in batches; NEFT settles individually and immediately
- **C.** Both settle in exactly the same way
- **D.** Neither has any minimum transfer amount

Correct Answer: Option (A)

Short Explanation: *RTGS settles each transaction individually and immediately, while NEFT groups transactions into batches processed at intervals throughout the day.*

Question 187

What is the main reason financial goals are often grouped by time horizon (short, medium, long-term)?

- **A.** It has no practical benefit
- **B.** Different time horizons call for different saving or investment approaches
- **C.** It is required by tax law
- **D.** It only matters for retirement goals

Correct Answer: Option (B)

Short Explanation: *Different time horizons require different strategies — a short-term goal needs liquid savings, while a long-term goal can use growth-oriented investments.*

Question 188

Why is reviewing your bank passbook or statement regularly considered a best practice?

- **A.** It has no real benefit
- **B.** It helps catch unauthorised transactions early and track spending
- **C.** It automatically increases your credit score
- **D.** It is legally required every single day

Correct Answer: Option (B)

Short Explanation: *Regularly reviewing your passbook or statement is one of the simplest ways to catch unauthorised transactions early and stay on top of spending.*

Question 189

What is the general relationship between risk and return in investing?

- **A.** Higher potential returns generally come with higher risk
- **B.** Higher returns always come with zero risk
- **C.** Risk and return are completely unrelated
- **D.** Lower risk investments always outperform higher risk ones

Correct Answer: Option (A)

Short Explanation: *Generally, investments offering higher potential returns also carry higher risk, while safer investments tend to offer more modest returns.*

Question 190

What does it mean to "pay yourself first" in personal budgeting?

- **A.** Paying all bills before considering any savings
- **B.** Setting aside savings before spending on discretionary items
- **C.** Paying credit card interest before the principal
- **D.** Spending on entertainment before groceries

Correct Answer: Option (B)

Short Explanation: "*Paying yourself first*" *means setting aside savings as a priority before spending on discretionary wants, reversing the common "spend first" habit.*

Question 191

Why is "time in the market" often emphasised over "timing the market" in investment advice?

A. Because timing the market is easy and reliable for most investors
B. Because consistently predicting short-term market movements is very difficult, while staying invested longer allows compounding to work
C. Because time in the market guarantees a specific fixed return
D. Because short-term trading always outperforms long-term investing

Correct Answer: Option (B)
Short Explanation: *Consistently predicting short-term market movements is extremely difficult, so staying invested over a longer time allows compounding to work in an investor's favour.*

Question 192

Which of these best reflects a "Regional Rural Bank (RRB)"?

A. A bank serving only large metropolitan cities
B. A bank serving rural and semi-urban areas, sponsored by public sector banks
C. A private international bank
D. A digital-only bank with no physical branches

Correct Answer: Option (B)
Short Explanation: *Regional Rural Banks are specifically structured to serve rural and semi-urban areas, sponsored by public sector banks.*

Question 193

What is "Bima Sugam"?

A. A private health insurance company
B. IRDAI's official one-stop digital marketplace for comparing, buying, and managing insurance
C. A government pension scheme
D. A type of vehicle insurance discount

Correct Answer: Option (B)
Short Explanation: *Bima Sugam is IRDAI's official digital marketplace designed to let consumers compare, buy, and manage insurance policies and claims in one place.*

Question 194

What is an "education loan" typically used for?

A. Paying property taxes
B. Funding tuition and related expenses for higher education
C. Purchasing a vehicle
D. Covering everyday household groceries

Correct Answer: Option (B)
Short Explanation: *An education loan is specifically designed to fund tuition and related expenses for higher studies.*

Question 195

An investment platform promises a guaranteed 5% monthly return with "zero risk." What should this signal to a potential investor?

A. This is a normal, trustworthy investment opportunity
B. This is a major red flag, since no genuine market-linked investment can guarantee such high, fixed returns
C. This is a standard SIP offering
D. This is a government-backed guarantee

Correct Answer: Option (B)
Short Explanation: *No genuine, regulated investment can guarantee such high, fixed returns with zero risk — this is a classic warning sign of investment fraud.*

Question 196

Which best explains why home insurance remains significantly underused in India, despite being relatively affordable?

- **A.** Home insurance is not legally available in India
- **B.** A lack of awareness about its value relative to the property's worth
- **C.** Home insurance premiums are higher than the value of most homes
- **D.** Homes in India are never at risk of damage

Correct Answer: Option (B)

Short Explanation: *Home insurance remains underused largely due to a lack of awareness about its value and affordability relative to the significant worth of most family homes.*

Question 197

Why is "starting small" often recommended for building a savings habit?

- **A.** Because small amounts have no long-term impact
- **B.** Because the habit of saving matters more initially than the amount saved
- **C.** Because banks do not accept large deposits
- **D.** Because it avoids the need for a bank account

Correct Answer: Option (B)

Short Explanation: *Starting small helps build the habit and discipline of saving, which matters more early on than the actual amount being set aside.*

Question 198

Which of these is a key item on an "Investment Readiness Checklist"?

- **A.** Confirming a vehicle insurance policy is active
- **B.** Ensuring an emergency fund is in place before further investing
- **C.** Checking whether GST applies to a recent purchase
- **D.** Reviewing a bank's minimum balance requirement

Correct Answer: Option (B)

Short Explanation: *Ensuring a basic emergency fund is already in place is a foundational item on the Investment Readiness Checklist before pursuing further investments.*

Question 199

Which of the following best describes a "need" rather than a "want"?

- **A.** Dining out at a restaurant
- **B.** A monthly subscription to a premium streaming service
- **C.** Rent or home loan EMI payment
- **D.** The latest smartphone upgrade

Correct Answer: Option (C)

Short Explanation: *Rent or an EMI payment is essential for maintaining shelter, making it a need, while dining out and subscriptions are discretionary wants.*

Question 200

What is the correct assessment of a scheme promising "guaranteed 5% monthly returns with zero risk"?

- **A.** This is a normal investment product
- **B.** This is a major fraud red flag, since no genuine investment can guarantee such high, fixed, risk-free returns
- **C.** This is safe as long as it's promoted by a well-known social media influencer
- **D.** This is a standard government-backed savings scheme

Correct Answer: Option (B)

Short Explanation: *No genuine, regulated investment can guarantee such high, fixed, risk-free returns — this pattern is a classic sign of a fraudulent scheme.*

Question 201

A person's monthly variable expenses fluctuate significantly, making budgeting difficult. What is a reasonable approach?

- **A.** Ignore variable expenses entirely in the budget
- **B.** Estimate variable expenses based on past spending patterns and adjust the budget accordingly
- **C.** Assume variable expenses are always zero
- **D.** Treat variable expenses exactly like fixed expenses with no flexibility

Correct Answer: Option (B)

Short Explanation: *Estimating variable expenses based on past spending patterns, and adjusting as needed, is a practical way to budget despite month-to-month fluctuations.*

Question 202

What is the main benefit of building good financial habits, such as reviewing spending weekly?

- **A.** It guarantees a specific investment return
- **B.** Small, repeated actions compound into significant financial security over time
- **C.** It eliminates the need for insurance
- **D.** It replaces the need for a bank account

Correct Answer: Option (B)

Short Explanation: *Small, consistent financial habits compound over time into meaningful financial security, similar to how small investments compound into wealth.*

Question 203

What is a key benefit of maintaining an updated nominee across all bank accounts and deposits?

- **A.** It increases the account's interest rate
- **B.** It simplifies the process for family members to access funds if the account holder passes away
- **C.** It removes KYC requirements
- **D.** It automatically converts savings into investments

Correct Answer: Option (B)

Short Explanation: *An updated nominee ensures a smoother, faster process for family members to claim account funds if the account holder passes away.*

Question 204

What is the main advantage of NPCI operating a shared, regulated network for UPI apps like Google Pay, PhonePe, and BHIM?

- **A.** It creates unnecessary complexity for banks
- **B.** It ensures consistent security, regulation, and interoperability across all UPI apps
- **C.** It limits UPI usage to only government employees
- **D.** It has no meaningful advantage

Correct Answer: Option (B)

Short Explanation: *A shared, NPCI-regulated network ensures consistent security standards and interoperability, so users can trust any UPI app regardless of which one they choose.*

Question 205

What is a home loan generally secured against?

- **A.** The borrower's salary alone, with no asset involved
- **B.** The property being purchased or constructed
- **C.** The borrower's credit card limit
- **D.** A gold deposit only

Correct Answer: Option (B)

Short Explanation: *A home loan is a secured loan, backed by the property itself being purchased or constructed, which the lender can claim in case of default.*

Question 206

A person notices a small, recurring UPI debit for a subscription they no longer use. What should they do?

- **A.** Ignore it since it is a small amount
- **B.** Check the UPI app's "Mandates" or "Autopay" section and cancel the unused subscription
- **C.** Delete the UPI app entirely
- **D.** Change their bank account number

Correct Answer: Option (B)

Short Explanation: *Reviewing and cancelling unused Autopay mandates in the UPI app's settings is the correct way to stop unwanted recurring debits.*

Question 207

What is the primary function of the National Payments Corporation of India (NPCI)?

- **A.** Setting income tax rates
- **B.** Building and operating India's core retail payment infrastructure, like UPI, IMPS, and RuPay
- **C.** Regulating the stock market
- **D.** Issuing PAN cards

Correct Answer: Option (B)

Short Explanation: *NPCI builds and operates India's core retail payment infrastructure, including UPI, IMPS, and RuPay, under RBI's oversight.*

Question 208

A shopkeeper's QR code is scanned by a customer, who then enters their MPIN. What happens as a result?

- **A.** The shopkeeper's money is sent to the customer
- **B.** Money is sent out of the customer's account to the shopkeeper
- **C.** No money moves until 24 hours later
- **D.** The transaction requires a passbook update first

Correct Answer: Option (B)

Short Explanation: *Scanning a QR code and entering an MPIN always sends money out of the payer's account — it is never used to receive money.*

Question 209

How does a credit card fundamentally differ from a debit card?

- **A.** A credit card lets you borrow money up to a limit, repayable later, unlike a debit card which uses your own funds
- **B.** A credit card cannot be used for online purchases
- **C.** A credit card has no billing cycle
- **D.** A credit card is only for businesses

Correct Answer: Option (A)

Short Explanation: *A credit card allows borrowing up to an approved limit, to be repaid by a due date, while a debit card only spends money already in your account.*

Question 210

Under the new income tax regime for FY 2025-26/2026-27, income up to what amount is effectively tax-free for salaried individuals (with standard deduction)?

- **A.** ₹5 lakh
- **B.** ₹7 lakh
- **C.** ₹12.75 lakh
- **D.** ₹25 lakh

Correct Answer: Option (C)

Short Explanation: *Under the new regime, salaried individuals benefit from an enhanced rebate, making income up to approximately ₹12.75 lakh effectively tax-free after standard deduction.*

Question 211

What is an "MPIN" used for in digital payments?

- **A.** To unlock a smartphone screen
- **B.** A secret PIN used to authorise UPI transactions
- **C.** A code used to withdraw cash from an ATM
- **D.** A number used to check a credit score

Correct Answer: Option (B)

Short Explanation: *An MPIN is a secret PIN specifically used to authorise UPI transactions, separate from a debit card's ATM PIN.*

Question 212

Priya wants to buy a car in 3 years. Which category does this goal fall under?

- **A.** Short-term goal
- **B.** Medium-term goal
- **C.** Long-term goal
- **D.** Not a financial goal

Correct Answer: Option (B)

Short Explanation: *Medium-term goals typically span 1 to 5 years, and a 3-year timeline for a car purchase fits this category.*

Question 213

A newly-added social media investment group promises consistent high daily returns and pressures members to invest quickly. What red flags does this show?

- **A.** None; this is a standard, safe investment approach
- **B.** Guaranteed high returns and pressure to act quickly are both classic signs of a fraudulent scheme
- **C.** This is a typical, regulated SIP offering
- **D.** Social media groups are always reliable sources for investment advice

Correct Answer: Option (B)

Short Explanation: *Guaranteed high daily returns and pressure to invest quickly are classic red flags of an investment fraud, not features of a genuine, regulated opportunity.*

Question 214

What is "smart spending"?

- **A.** Spending as much as possible on wants
- **B.** Making conscious, value-driven spending choices rather than impulsive ones
- **C.** Avoiding all spending permanently
- **D.** Spending only in cash, never digitally

Correct Answer: Option (B)

Short Explanation: *Smart spending means making conscious, value-driven choices — like comparing prices and waiting before large purchases — rather than spending impulsively.*

Question 215

What is the main benefit of setting up SMS or app-based transaction alerts on a bank account?

- **A.** It increases the account's interest rate
- **B.** It helps detect unauthorised transactions quickly
- **C.** It removes the need for a passbook
- **D.** It guarantees free overdraft facilities

Correct Answer: Option (B)

Short Explanation: *Transaction alerts notify the account holder immediately of activity, helping catch unauthorised or fraudulent transactions early.*

Question 216

According to India's household savings data, what was the approximate household savings rate as a share of GDP in FY 2024-25?

- **A.** Around 5%
- **B.** Around 10%
- **C.** Around 21.7%
- **D.** Around 50%

Correct Answer: Option (C)

Short Explanation: *India's household savings rate rose to approximately 21.7% of GDP in FY 2024-25, up from about 20% in FY 2022-23.*

Question 217

A person's CIBIL report contains an error that is lowering their score unfairly. What is the correct course of action?

- **A.** Accept the error permanently with no recourse
- **B.** Dispute the error directly with the credit bureau to have it corrected
- **C.** Apply for more loans to offset the lower score
- **D.** Ignore credit reports entirely going forward

Correct Answer: Option (B)

Short Explanation: *Errors in a credit report can and should be disputed directly with the credit bureau, which is required to investigate and correct verified inaccuracies.*

Question 218

What is a reasonable guideline for determining how much life insurance cover a person needs?

- **A.** A fixed amount of ₹1 lakh regardless of circumstances
- **B.** Cover worth several times annual income, adjusted for the family's specific needs and debts
- **C.** No cover is ever necessary if a person is single
- **D.** The exact amount of the first month's premium

Correct Answer: Option (B)

Short Explanation: *A common guideline is life cover worth several times annual income, adjusted for the family's specific needs, debts, and dependents.*

Question 219

What is the primary reason financial literacy is described as a "life skill" rather than a technical subject?

- **A.** It only applies to finance professionals
- **B.** It affects everyday decisions that shape long-term financial wellbeing, similar to other essential life skills
- **C.** It is only taught in schools
- **D.** It has no practical application

Correct Answer: Option (B)

Short Explanation: *Financial literacy affects everyday decisions like spending, saving, and borrowing, making it a practical life skill relevant to everyone, not just professionals.*

Question 220

How does the Digital Rupee differ fundamentally from UPI?

- **A.** They are identical systems with different names
- **B.** UPI moves existing money between bank accounts, while the Digital Rupee is itself a form of central bank currency
- **C.** UPI is issued by the RBI, while the Digital Rupee is issued by NPCI
- **D.** The Digital Rupee cannot be used for any payments

Correct Answer: Option (B)

Short Explanation: *UPI is a payment system that moves money between existing bank accounts, while the Digital Rupee is itself a digital form of currency issued directly by the RBI.*

Question 221

Two people earn the same salary, but one tracks spending and saves consistently while the other doesn't track anything. After ten years, why are their financial positions likely very different?

- **A.** Only luck determines financial outcomes
- **B.** Their consistent habits around planning and saving compound differently over time
- **C.** Financial outcomes are identical regardless of habits
- **D.** Only their employer determines financial success

Correct Answer: Option (B)

Short Explanation: *Consistent financial habits like tracking spending and saving compound over time, leading to very different outcomes even with identical income.*

Question 222

A "liability" in personal finance refers to:

- **A.** Anything you own that has value
- **B.** Money you owe to someone else
- **C.** Your total monthly income
- **D.** A type of savings account

Correct Answer: Option (B)

Short Explanation: *A liability is money owed to someone else, such as a loan or credit card balance, as opposed to an asset which is something you own of value.*

Question 223

What does "variable expense" mean in a household budget?

- **A.** An expense that never changes
- **B.** An expense that changes from month to month, like groceries or entertainment
- **C.** An expense that is illegal
- **D.** An expense only businesses have

Correct Answer: Option (B)

Short Explanation: *Variable expenses fluctuate month to month, such as groceries, fuel, or entertainment, unlike fixed expenses like rent.*

Question 224

A UPI transaction fails, but the amount is shown as debited from the sender's account. What is the most reasonable next step?

- **A.** Immediately assume the money is permanently lost
- **B.** Wait and check if the amount is auto-reversed, and if not, raise a complaint with the bank or UPI app
- **C.** Send the same amount again immediately without checking
- **D.** Delete the UPI app to fix the problem

Correct Answer: Option (B)

Short Explanation: *Failed UPI transactions with a debited amount are usually auto-reversed within a short period; if not, a complaint should be raised with the bank or app.*

Question 225

What is the key difference between "simple interest" and "compound interest"?

- **A.** Simple interest is calculated on the principal plus previously earned interest; compound interest is only on the principal
- **B.** Compound interest is calculated on the principal plus previously earned interest, growing faster over time than simple interest
- **C.** They are identical in how they are calculated
- **D.** Simple interest is always higher than compound interest

Correct Answer: Option (B)

Short Explanation: *Compound interest grows faster because it is calculated on both the original principal and any interest already earned, unlike simple interest which is only on the principal.*

Question 226

Which term describes the routing of a UPI transaction request from an app to the relevant banks for verification and settlement?

- **A.** Tokenisation
- **B.** NPCI's network routing between the payer's and payee's banks
- **C.** Positive Pay System
- **D.** KYC verification

Correct Answer: Option (B)

Short Explanation: *NPCI's UPI network routes the transaction request between the payer's and payee's banks, which verify and settle the transfer within seconds.*

Question 227

What is "identity theft"?

- **A.** A legal process for changing one's name
- **B.** The unauthorised use of someone's personal information to commit fraud or impersonate them
- **C.** A type of insurance policy
- **D.** A government scheme for issuing new PAN cards

Correct Answer: Option (B)

Short Explanation: *Identity theft is the unauthorised use of someone's personal information (like Aadhaar or PAN) to commit fraud, open accounts, or impersonate the victim.*

Question 228

What should an investor do if approached with an investment opportunity that "cannot be explained clearly" by the person offering it?

- **A.** Invest anyway, trusting that complexity implies sophistication
- **B.** Be cautious and avoid investing until the opportunity and its risks are clearly understood
- **C.** Invest a small amount to "test" the opportunity regardless of understanding
- **D.** Assume all complex investments are automatically legitimate

Correct Answer: Option (B)

Short Explanation: *A genuine investment opportunity should be explainable in clear terms; caution and further verification are warranted if it cannot be clearly explained.*

Question 229

What type of bank account is specifically designed for Non-Resident Indians to manage foreign and Indian income separately?

- **A.** BSBDA
- **B.** NRE/NRO Accounts
- **C.** Current Account
- **D.** Salary Account

Correct Answer: Option (B)

Short Explanation: *NRE and NRO accounts allow Non-Resident Indians to manage foreign earnings and India-based income separately, under specific regulations.*

Question 230

Which of these best reflects the purpose of "risk tolerance" assessment before investing?

- **A.** It has no practical use in investment decisions
- **B.** It helps match an investor's comfort with potential losses to a suitable mix of investments
- **C.** It is only relevant for professional fund managers
- **D.** It guarantees a specific investment outcome

Correct Answer: Option (B)

Short Explanation: *Assessing risk tolerance helps match an individual's comfort with potential losses and their time horizon to a suitable investment strategy.*

Question 231

What is a "PSP (Payment Service Provider)" in the context of UPI?

- **A.** A government regulatory body
- **B.** An app like Google Pay or PhonePe that connects to UPI on your bank's behalf
- **C.** A type of bank branch
- **D.** A type of insurance provider

Correct Answer: Option (B)

Short Explanation: *A PSP is an app such as Google Pay or PhonePe that provides the user interface for accessing UPI, connecting to your bank in the background.*

Question 232

Which checklist item would help someone confirm they are not paying unnecessary bank charges?

- **A.** Reviewing whether the minimum balance requirement is being maintained
- **B.** Reviewing a mutual fund's past five-year performance
- **C.** Checking a vehicle insurance policy's exclusions
- **D.** Reviewing an Aadhaar-linked mobile number

Correct Answer: Option (A)

Short Explanation: *Reviewing whether the minimum balance requirement is maintained helps avoid unnecessary penalty charges, a relevant item on the Banking Security Checklist.*

Question 233

What is a common reason many eligible citizens never open accounts like PPF, SSY, or APY?

- **A.** These schemes are not actually available to most citizens
- **B.** A lack of awareness that such schemes exist or knowledge of how to access them
- **C.** The schemes require excessive documentation not available to any citizen
- **D.** These schemes have been discontinued

Correct Answer: Option (B)

Short Explanation: *A lack of awareness — not ineligibility — is often the biggest reason many citizens never open accounts like PPF, SSY, or APY despite qualifying for them.*

Question 234

What is the role of the Cyber Fraud Mitigation Centre (CFMC)?

- **A.** It has no real function in fraud prevention
- **B.** It is a joint response centre where banks, telecom providers, and law enforcement coordinate real-time action against fraud
- **C.** It exclusively handles income tax disputes
- **D.** It only operates during business hours on weekdays

Correct Answer: Option (B)

Short Explanation: *The CFMC is a joint response centre where banks, telecom providers, and law enforcement coordinate real-time action against cyber and financial fraud.*

Question 235

A person wants to apply the "Review" stage of the financial wellness cycle. What activity best fits this stage?

- **A.** Opening a new bank account for the first time
- **B.** Periodically checking progress against a budget, goals, and overall financial checklist items
- **C.** Buying insurance for the very first time
- **D.** Filing a police report for a lost card

Correct Answer: Option (B)

Short Explanation: *Periodically checking progress against a budget, goals, and checklist items reflects the "Review" stage of the Protect-Plan-Grow-Review cycle.*

Question 236

Which of these best describes "mobile banking" as distinct from UPI apps?

- **A.** Mobile banking refers only to SMS-based banking
- **B.** Mobile banking is a bank's own official app offering broader account services, sometimes including UPI
- **C.** Mobile banking cannot be used to check account balances
- **D.** Mobile banking is identical to internet banking with no differences

Correct Answer: Option (B)

Short Explanation: *Mobile banking refers to a bank's own official app, offering broader services like balance checks, fund transfers, and FD/RD management, sometimes including UPI too.*

Question 237

A person wants to assess their investment readiness but has not yet verified that their chosen investment platform is properly regulated. What should they check?

- **A.** Whether the platform is registered with SEBI
- **B.** Whether the platform has an attractive user interface
- **C.** Whether the platform is popular on social media
- **D.** Whether the platform requires a demat account

Correct Answer: Option (A)

Short Explanation: *Verifying SEBI registration is a core item on the Investment Readiness Checklist, helping ensure a platform is properly regulated before investing.*

Question 238

What is the broader significance of India's DBT system eliminating "fake and duplicate beneficiaries," resulting in savings of over ₹3.48 lakh crore?

- **A.** It has no real financial significance
- **B.** It demonstrates how direct, technology-enabled delivery can significantly reduce welfare leakage compared to older distribution methods
- **C.** It indicates that DBT has failed to achieve its intended goals
- **D.** It only benefits banks, not citizens or the government

Correct Answer: Option (B)

Short Explanation: *The reported savings of over ₹3.48 lakh crore demonstrate how direct, technology-enabled delivery through DBT can significantly reduce welfare leakage compared to older, less accountable distribution methods.*

Question 239

What is the main reason mutual funds are considered accessible to beginner investors compared to direct stock picking?

- **A.** Mutual funds require extensive personal stock analysis skills
- **B.** Mutual funds offer diversification and professional management without requiring the investor to pick individual stocks
- **C.** Mutual funds are riskier than picking individual stocks
- **D.** Mutual funds cannot be started with small amounts

Correct Answer: Option (B)

Short Explanation: *Mutual funds provide diversification and professional management, making them more accessible to beginners than researching and picking individual stocks directly.*

Question 240

What is the correct sequence of steps to make a safe UPI payment?

- **A.** Enter MPIN first, then check the payee name afterward
- **B.** Scan/select payee, verify the name and amount, then enter MPIN to authorise
- **C.** Skip verifying the payee if the amount is small
- **D.** Share the MPIN with the payee to confirm the transaction

Correct Answer: Option (B)

Short Explanation: *The safe sequence is to scan or select the payee, carefully verify the name and amount displayed, and only then enter the MPIN to authorise the payment.*

Question 241

What is the correct understanding of liability if a customer voluntarily shares their OTP with a fraudster who then completes an unauthorised transaction?

- **A.** The bank is always fully liable regardless of the customer's actions
- **B.** Liability may shift toward the customer, since sharing credentials voluntarily affects how liability is assessed
- **C.** The transaction is automatically reversed with no investigation
- **D.** RBI guidelines do not address this scenario at all

Correct Answer: Option (B)

Short Explanation: *When a customer voluntarily shares credentials like an OTP, this can affect how liability for the resulting unauthorised transaction is assessed under RBI's guidelines.*

Question 242

What is the key insight behind treating "saving" and "budgeting" as a connected cycle rather than separate activities?

- **A.** They have no meaningful connection
- **B.** A budget creates room for consistent saving, and saving strengthens progress toward the budget's goals
- **C.** Saving should always happen independently of any budget
- **D.** Budgeting eliminates the need for any savings goal

Correct Answer: Option (B)

Short Explanation: *Saving and budgeting work as a connected cycle — a budget creates the room for saving, while consistent saving reinforces and strengthens the budget's underlying goals.*

Question 243

Why are personal loans generally considered less suitable for routine, everyday expenses?

- **A.** Personal loans have no interest charges
- **B.** Being unsecured, personal loans generally carry higher interest rates, making them costly for everyday, recurring use
- **C.** Personal loans cannot legally be used for any purpose
- **D.** Personal loans require collateral, making them impractical for small amounts

Correct Answer: Option (B)

Short Explanation: *Personal loans, being unsecured, typically carry higher interest rates, making them a costly choice for routine or recurring everyday expenses.*

Question 244

What documents are typically required to open a bank account under KYC norms?

- **A.** Only a photograph
- **B.** Proof of identity and proof of address
- **C.** A university degree certificate
- **D.** A previous employer's letter only

Correct Answer: Option (B)

Short Explanation: *KYC requires proof of identity (like Aadhaar or PAN) and proof of address to verify a customer's identity before opening an account.*

Question 245

A joint bank account operated on an "either or survivor" basis allows what?

- **A.** Only one person can ever operate the account
- **B.** Either account holder can operate the account independently, and the survivor retains full access if the other passes away
- **C.** The account must be closed if either holder is unavailable
- **D.** Neither holder can withdraw funds without the other's signature

Correct Answer: Option (B)

Short Explanation: *An "either or survivor" joint account allows either holder to operate it independently, and the surviving holder retains full access if the other passes away.*

Question 246

What is the correct action if a policyholder's personal circumstances change significantly (e.g., marriage, a new child)?

- **A.** No action is needed, as policies never require adjustment
- **B.** Review and update insurance coverage and nominee details to reflect the new circumstances
- **C.** Cancel all existing policies immediately
- **D.** Wait until the policy naturally expires before making any changes

Correct Answer: Option (B)

Short Explanation: *Significant life changes, like marriage or having a child, should prompt a review and update of insurance coverage and nominee details to reflect new responsibilities.*

Question 247

What is the relationship between "financial discipline" and "financial literacy"?

- **A.** They are unrelated concepts
- **B.** Financial literacy provides the knowledge, while financial discipline is the consistent behaviour that applies that knowledge
- **C.** Financial discipline replaces the need for financial literacy
- **D.** Financial literacy only matters for people with high financial discipline already

Correct Answer: Option (B)

Short Explanation: *Financial literacy provides the underlying knowledge, while financial discipline is the consistent, ongoing behaviour needed to actually apply that knowledge effectively.*

Question 248

Why is it generally unwise to rely on a current account for personal savings?

- **A.** Current accounts are illegal for individuals
- **B.** Current accounts are designed for frequent business transactions and typically do not earn interest
- **C.** Current accounts have unlimited free ATM withdrawals only for savings
- **D.** Current accounts require government approval to open

Correct Answer: Option (B)

Short Explanation: *Current accounts are designed for businesses with frequent transactions and generally don't earn interest, making them unsuitable for personal savings goals.*

Question 249

Why should an investor verify that a platform or advisor is "SEBI-registered" before investing?

- **A.** SEBI registration has no real significance
- **B.** SEBI registration indicates the entity is regulated and subject to investor protection rules
- **C.** SEBI registration guarantees a fixed, high return
- **D.** SEBI registration is only relevant for banks, not investment platforms

Correct Answer: Option (B)

Short Explanation: *SEBI registration indicates that a platform or advisor is regulated and subject to investor protection rules, reducing the risk of dealing with an unverified or fraudulent entity.*

Question 250

Which of the following best describes the purpose of the Consumer Protection Act, 2019, in relation to financial fraud?

- **A.** It has no relevance to financial services
- **B.** It provides broader consumer rights and grievance redressal, including in financial services
- **C.** It only applies to physical goods, not services
- **D.** It replaces the need for banking regulations entirely

Correct Answer: Option (B)

Short Explanation: *The Consumer Protection Act, 2019 provides broader consumer rights and grievance redressal mechanisms that extend to financial services as well as physical goods.*

Question 251

Why is an emergency fund typically recommended to be kept in an easily accessible account rather than a long-term investment?

- **A.** Long-term investments always lose money
- **B.** The fund needs to be quickly available in a genuine emergency, which long-term investments may not allow
- **C.** Accessible accounts always offer the highest returns
- **D.** There is no particular reason for this recommendation

Correct Answer: Option (B)

Short Explanation: *An emergency fund must be quickly accessible in a crisis, so it is kept in liquid accounts rather than long-term investments that may be harder to access quickly.*

Question 252

Which government scheme is most associated with providing zero-balance bank accounts to unbanked citizens?

- **A.** Atal Pension Yojana
- **B.** Pradhan Mantri Jan Dhan Yojana (PMJDY)
- **C.** Sukanya Samriddhi Yojana
- **D.** National Pension System

Correct Answer: Option (B)

Short Explanation: *PMJDY is India's flagship scheme for providing zero-balance bank accounts to previously unbanked citizens, along with a RuPay card and accident cover.*

Question 253

A person wants to build the habit of saving consistently. What is the most effective first action recommended?

- **A.** Wait until income significantly increases
- **B.** Automate a fixed savings transfer right after each payday
- **C.** Save only when a large windfall is received
- **D.** Avoid setting any specific savings amount

Correct Answer: Option (B)

Short Explanation: *Automating a fixed savings transfer right after payday is the most effective way to build a consistent saving habit from the start.*

Question 254

Which best describes the risk of treating savings as having "no specific purpose"?

- **A.** Vague savings are more likely to be dipped into for non-essential spending than goal-tied savings
- **B.** Vague savings always grow faster
- **C.** Vague savings are legally protected from withdrawal
- **D.** Vague savings automatically become investments

Correct Answer: Option (A)

Short Explanation: *Savings without a specific goal are more likely to be spent on non-essential purchases, compared to savings clearly tied to a defined purpose.*

Question 255

Which statement best describes the relationship between financial literacy and access to banking in India?

- **A.** Access to banking automatically means high financial literacy
- **B.** Financial inclusion (access) is growing faster than financial literacy (understanding)
- **C.** Financial literacy is higher than financial inclusion nationwide
- **D.** The two concepts are identical

Correct Answer: Option (B)

Short Explanation: *While access to banking has expanded rapidly through schemes like PMJDY, financial literacy levels remain comparatively low, showing access and understanding are distinct.*

Question 256

What is "NAV" in the context of mutual funds?

- **A.** National Average Value
- **B.** Net Asset Value; the per-unit price of a mutual fund
- **C.** New Account Verification
- **D.** Net Annual Volume

Correct Answer: Option (B)

Short Explanation: *NAV (Net Asset Value) is the per-unit price of a mutual fund, used to calculate the value of units bought or sold.*

Question 257

What is the primary purpose of an OTP (One-Time Password) in digital transactions?

- **A.** To permanently unlock a bank account
- **B.** To verify and authorise a specific transaction or login
- **C.** To replace the need for a bank account
- **D.** To increase a UPI app's transaction limit permanently

Correct Answer: Option (B)

Short Explanation: *An OTP is a one-time code used to verify and authorise a specific transaction or login, adding a layer of security beyond a password.*

Question 258

What is "cashless treatment" in health insurance?

- **A.** A treatment paid entirely by the patient upfront with no reimbursement
- **B.** Hospital bills settled directly by the insurer at network hospitals, without the patient paying upfront
- **C.** A type of insurance exclusive to government employees
- **D.** A discount offered only for online payments

Correct Answer: Option (B)

Short Explanation: *Cashless treatment allows hospital bills to be settled directly by the insurer at network hospitals, so the patient doesn't need to pay the full amount upfront.*

Question 259

A small business owner wants to confirm a customer's UPI payment was successfully received. What is the most reliable method?

- **A.** Trusting the customer's verbal confirmation alone
- **B.** Checking the confirmation directly on their own banking or UPI app, not just the customer's screen
- **C.** Assuming payment succeeded if the customer scanned the code
- **D.** Waiting 30 days before checking

Correct Answer: Option (B)

Short Explanation: *Merchants should always confirm payment success on their own device or app, rather than relying solely on what the customer's screen shows.*

Question 260

A family cannot immediately save the full 20% suggested by the 50-30-20 rule. What is the recommended approach?

- **A.** Abandon budgeting altogether
- **B.** Start with whatever percentage is feasible and build the saving habit gradually
- **C.** Borrow money to make up the difference
- **D.** Only apply the rule once income doubles

Correct Answer: Option (B)

Short Explanation: *Starting with a feasible percentage and building the habit gradually is recommended, since consistency matters more than hitting an exact ratio immediately.*

Question 261

What is "credit utilisation," a factor affecting credit scores?

- **A.** The total number of loans a person has ever taken
- **B.** The share of available credit limit currently being used
- **C.** The interest rate charged on a credit card
- **D.** The number of bank branches visited in a year

Correct Answer: Option (B)

Short Explanation: *Credit utilisation refers to the proportion of available credit limit currently being used; keeping it low is generally favourable for a credit score.*

Question 262

Which government body specifically oversees policy for PMJDY and Direct Benefit Transfer at a national level?

- **A.** The Department of Financial Services, Ministry of Finance
- **B.** The Ministry of Defence
- **C.** The Ministry of External Affairs
- **D.** The Election Commission of India

Correct Answer: Option (A)

Short Explanation: *The Department of Financial Services under the Ministry of Finance oversees policy for PMJDY and Direct Benefit Transfer at the national level.*

Question 263

What is the main risk of signing a blank cheque and handing it to someone else?

- **A.** There is no risk involved
- **B.** The recipient could fill in any amount, creating financial and legal risk
- **C.** It guarantees faster processing
- **D.** It automatically limits the cheque to a small amount

Correct Answer: Option (B)

Short Explanation: *A blank, signed cheque can be filled in with any amount by the holder, creating significant financial and legal risk for the signer.*

Question 264

What best describes the relationship between "income" and "wealth"?

- **A.** They are identical concepts
- **B.** Income is money earned regularly; wealth reflects accumulated assets built over time from managing that income well
- **C.** Wealth only comes from inheritance
- **D.** Higher income always guarantees higher wealth

Correct Answer: Option (B)

Short Explanation: *Income is regular earnings, while wealth is accumulated net worth built through saving and investing income wisely over time — high income doesn't guarantee wealth.*

Question 265

What is required for a citizen to receive DBT payments smoothly?

- **A.** A verified passport only
- **B.** A bank account correctly linked with Aadhaar and an updated mobile number
- **C.** A demat account
- **D.** A registered business license

Correct Answer: Option (B)

Short Explanation: *Smooth DBT delivery requires a bank account correctly linked with Aadhaar and an updated, registered mobile number, forming the JAM Trinity.*

Question 266

A senior citizen is offered a higher FD interest rate than the standard rate. What does this reflect?

- **A.** A mistake by the bank
- **B.** Many banks offer preferential, higher FD interest rates specifically for senior citizens
- **C.** This is illegal and should be reported
- **D.** Senior citizens are charged extra fees, not given higher rates

Correct Answer: Option (B)

Short Explanation: *Many banks offer senior citizens a preferential (higher) FD interest rate compared to the standard rate offered to other customers.*

Question 267

A person notices they still have MPIN set to their birth date despite completing several other financial checklists. What does this indicate?

- **A.** This has no bearing on their overall financial safety
- **B.** A gap remains in their Digital Payment Safety Checklist that should be corrected promptly
- **C.** This is a recommended best practice
- **D.** This should only be addressed once a year

Correct Answer: Option (B)

Short Explanation: *Using an easily guessable MPIN like a birth date is a specific safety gap that should be corrected promptly as part of a Digital Payment Safety Checklist.*

Question 268

Which best describes why reviewing a budget "at month-end" is a recommended practice?

- **A.** It has no practical purpose
- **B.** It allows comparison of actual spending against the plan and informs adjustments for the next month
- **C.** It is only useful for businesses, not individuals
- **D.** It replaces the need to track expenses during the month

Correct Answer: Option (B)

Short Explanation: *A month-end review allows comparison of actual spending against the planned budget, helping refine and adjust the plan for the following month.*

Question 269

Which of these best reflects the purpose of a "credit mix" in determining a CIBIL score?

- **A.** Credit mix has no bearing on the score at all
- **B.** A healthy mix of secured and unsecured credit, managed responsibly, can positively influence the credit score
- **C.** Only unsecured credit affects the score
- **D.** Only secured credit affects the score

Correct Answer: Option (B)

Short Explanation: *A healthy mix of both secured (like a home loan) and unsecured (like a credit card) credit, managed responsibly, is one factor that can positively influence a CIBIL score.*

Question 270

Which of the following is a "crossed cheque"?

- **A.** A cheque payable to whoever holds it
- **B.** A cheque that must be deposited into a bank account, not cashed directly
- **C.** A cheque with a future date
- **D.** A cheque that has been cancelled

Correct Answer: Option (B)

Short Explanation: *A crossed cheque must be deposited into a bank account rather than cashed directly over the counter, adding a layer of safety.*

Question 271

Why should a bearer cheque be handled with particular caution?

- **A.** It can only be cashed by the original signer
- **B.** It is payable to whoever physically holds it, making it risky if lost or stolen
- **C.** It cannot be used for any transaction
- **D.** It requires biometric verification to cash

Correct Answer: Option (B)

Short Explanation: *A bearer cheque is payable to whoever holds it, so losing it or having it stolen creates a real risk that someone else could cash it.*

Question 272

Which of these best reflects the relationship between this checklist module and the other nine modules in the category?

- **A.** This module replaces the need to understand any of the other nine modules
- **B.** This module is a practical companion, applying concepts explained in depth across the other nine modules
- **C.** This module covers entirely unrelated topics
- **D.** This module should be studied before any of the other modules

Correct Answer: Option (B)

Short Explanation: *This checklist module acts as a practical companion to the other nine modules, applying and consolidating concepts explained in depth elsewhere in the category.*

Question 273

A family wants to maximise the long-term compounding benefit of a Sukanya Samriddhi account for their daughter. What should they do?

- **A.** Wait until she turns 9 to open the account
- **B.** Open the account as early as possible, ideally soon after birth
- **C.** Open the account only after she turns 15
- **D.** Timing has no effect on the scheme's benefit

Correct Answer: Option (B)

Short Explanation: *Opening an SSY account as early as possible maximises the number of years the deposit can benefit from compounding before the scheme's tenure ends.*

Question 274

What is required at a minimum to receive money via UPI?

- **A.** A UPI ID (VPA) or linked mobile number shared with the sender
- **B.** The sender's MPIN
- **C.** A physical bank branch visit
- **D.** A cheque book

Correct Answer: Option (A)

Short Explanation: *To receive money via UPI, you only need to share your UPI ID (VPA) or linked mobile number with the sender — no MPIN is needed to receive funds.*

Question 275

What is the typical per-transaction limit for IMPS (Immediate Payment Service)?

- **A.** No limit at all
- **B.** Up to ₹5 lakh, depending on the bank
- **C.** Exactly ₹500 only
- **D.** ₹2 lakh minimum required

Correct Answer: Option (B)

Short Explanation: *IMPS typically allows transfers up to ₹5 lakh per transaction, depending on the bank, and is available instantly, 24x7.*

Question 276

Which of the following best supports "avoiding unnecessary debt" as a long-term financial habit?

- **A.** Using a personal loan for a vacation every year
- **B.** Evaluating whether a purchase is a genuine need before considering credit
- **C.** Using multiple credit cards to maximise available credit
- **D.** Ignoring interest rates when borrowing

Correct Answer: Option (B)

Short Explanation: *Evaluating whether a purchase is genuinely necessary before considering credit helps avoid unnecessary debt accumulation over time.*

Question 277

Which statement about financial goals and planning is most accurate?

- **A.** Financial goals should never be written down or specific
- **B.** Financial goals should be specific, measurable, and tied to a realistic time horizon
- **C.** Only wealthy individuals need financial goals
- **D.** Financial goals should never change once set

Correct Answer: Option (B)

Short Explanation: *Effective financial goals are specific, measurable, and tied to a realistic time horizon, rather than vague or fixed forever.*

Question 278

What does "minimum balance" refer to in a savings account?

- **A.** The maximum amount that can be deposited
- **B.** The lowest amount the account must hold to avoid penalty charges
- **C.** The interest rate on the account
- **D.** The account's overdraft limit

Correct Answer: Option (B)

Short Explanation: *Minimum balance is the lowest amount an account must maintain; falling below it typically results in penalty charges.*

Question 279

What role does "two-factor authentication" play in UPI transactions?

- **A.** It has no role in UPI
- **B.** It adds a second verification step (like an MPIN), beyond simply opening the app, to authorise transactions
- **C.** It only applies to international payments
- **D.** It replaces the need for a bank account entirely

Correct Answer: Option (B)

Short Explanation: *Two-factor authentication in UPI requires a second step, such as the MPIN, beyond just opening the app, adding a critical layer of transaction security.*

Question 280

What is a "waiting period" in health insurance?

- **A.** The time it takes to receive a refund on a cancelled policy
- **B.** The time before certain health insurance benefits become claimable
- **C.** The time an insurer takes to register a new customer
- **D.** A mandatory period before any premium can be paid

Correct Answer: Option (B)

Short Explanation: *A waiting period is the time that must pass before certain health insurance benefits (such as coverage for pre-existing conditions) become claimable.*

Question 281

What is the recommended frequency for reviewing and adjusting a personal or family budget?

- **A.** Once every five years
- **B.** Monthly, or whenever circumstances change significantly
- **C.** Never, once it is first created
- **D.** Only when income decreases

Correct Answer: Option (B)

Short Explanation: *A budget should be reviewed monthly, or whenever circumstances change significantly, to keep it aligned with actual income and expenses.*

Question 282

Why is it recommended to compare both tax regimes each year before filing?

- **A.** Because the choice, once made, can never be changed again in any circumstance
- **B.** Because personal income and deductions can change year to year, affecting which regime results in lower tax
- **C.** Comparing regimes has no effect on the final tax amount
- **D.** Only businesses need to make this comparison

Correct Answer: Option (B)

Short Explanation: *Since income and eligible deductions can change from year to year, comparing both regimes annually helps ensure the lower-tax option is chosen each time.*

Question 283

What is the main risk of "underinsurance" for life insurance?

- **A.** There is no real risk associated with underinsurance
- **B.** In the event of the policyholder's death, the payout may be insufficient to replace lost income for dependents
- **C.** Underinsurance always results in higher premiums
- **D.** Underinsurance guarantees a larger payout than needed

Correct Answer: Option (B)

Short Explanation: *Underinsurance means the life cover may be insufficient to replace years of lost income for dependents if the policyholder passes away, undermining the policy's core purpose.*

Question 284

What is BHIM?

- **A.** A private international payment company
- **B.** NPCI's own official UPI app
- **C.** A type of credit card
- **D.** A cryptocurrency

Correct Answer: Option (B)

Short Explanation: *BHIM (Bharat Interface for Money) is NPCI's own official UPI app, built to make UPI accessible directly without relying on private third-party apps.*

Question 285

A person needs to transfer ₹3 lakh urgently for a property payment. Which method is best suited?

- **A.** RTGS, designed for high-value, time-sensitive transfers
- **B.** A post-dated cheque
- **C.** A passbook update
- **D.** A recurring deposit

Correct Answer: Option (A)

Short Explanation: *RTGS is specifically designed for high-value, time-sensitive transfers with no upper limit, making it ideal for a large, urgent payment like this.*

Question 286

Ramesh earns a steady salary but spends more than he earns every month, relying on credit to cover the gap. What is this pattern most likely to result in?

- **A.** Growing assets faster than liabilities
- **B.** Growing liabilities faster than assets
- **C.** Automatic financial independence
- **D.** A higher credit score with no risk

Correct Answer: Option (B)

Short Explanation: *Spending more than you earn consistently means liabilities (debts) grow faster than assets, quietly eroding financial security over time.*

Question 287

Which of these best reflects a consolidated financial mistake spanning multiple areas of personal finance?

- **A.** Reviewing a monthly budget consistently
- **B.** Spending before saving, rather than saving first, across both budgeting and investment contexts
- **C.** Verifying SEBI registration before investing
- **D.** Updating KYC details periodically

Correct Answer: Option (B)

Short Explanation: *Spending before saving, rather than saving first, is a mistake that spans across budgeting, saving, and investment behaviour throughout the category.*

Question 288

Which of the following is an example of passive income?

- **A.** Monthly salary from a job
- **B.** Rent received from a property
- **C.** A one-time bonus payment
- **D.** Cash gift from a relative

Correct Answer: Option (B)

Short Explanation: *Passive income is earned without active, ongoing work, such as rent from a property, unlike a salary which is active income.*

Question 289

What is the correct action if a DBT-linked subsidy payment is delayed or missing?

- **A.** Assume the scheme has been permanently discontinued
- **B.** Check that the bank account is correctly linked to Aadhaar and that KYC details are current
- **C.** Open a new bank account immediately at a different bank
- **D.** Contact only the scheme's private vendor, not the bank

Correct Answer: Option (B)

Short Explanation: *A delayed or missing DBT payment is often due to incorrect linkage or outdated KYC details, which should be checked and corrected first.*

Question 290

What is a CIBIL score?

- **A.** A measure of a person's annual income
- **B.** A three-digit score between 300 and 900 reflecting creditworthiness
- **C.** A government tax identification number
- **D.** The interest rate charged on a personal loan

Correct Answer: Option (B)

Short Explanation: *A CIBIL score is a three-digit number between 300 and 900 that reflects a person's creditworthiness, based on their credit history and behaviour.*

Question 291

What is the safest response if you receive a call from someone claiming to be "bank staff" asking for your debit card PIN?

- **A.** Share the PIN since they claim to be from the bank
- **B.** End the call and contact the bank directly using the number on your card or passbook
- **C.** Ask them to call back later
- **D.** Share only the last two digits of the PIN

Correct Answer: Option (B)

Short Explanation: *Genuine bank staff never ask for your PIN. The safest response is to end the call and verify independently using the official number on your card or passbook.*

Question 292

A customer is unsure whether to use NEFT or IMPS for a ₹40,000 transfer that needs to reach the recipient instantly. Which is more suitable?

- **A.** NEFT, since it processes only in batches
- **B.** IMPS, since it offers instant, 24x7 transfers within its per-transaction limit
- **C.** Neither method can handle this amount
- **D.** RTGS, since the amount exceeds ₹2 lakh

Correct Answer: Option (B)

Short Explanation: *IMPS offers instant, 24x7 transfers within its typical ₹5 lakh limit, making it more suitable than NEFT (batch-based) for an urgent ₹40,000 transfer.*

Question 293

What is the most accurate definition of financial literacy?

- **A.** The ability to earn a high income
- **B.** The ability to understand and apply financial skills to make informed money decisions
- **C.** The ability to avoid paying any taxes
- **D.** The ability to open multiple bank accounts

Correct Answer: Option (B)

Short Explanation: *Financial literacy is about understanding and applying skills like budgeting, saving, and investing to make informed decisions, not simply about income level.*

Question 294

In the recommended budgeting process, when should savings typically be set aside relative to discretionary spending?

- **A.** After all discretionary spending is completed
- **B.** Before discretionary spending, ideally right after income arrives
- **C.** Only at the very end of the year
- **D.** Savings should never be planned in advance

Correct Answer: Option (B)

Short Explanation: *Savings should be set aside before discretionary spending, ideally automated right after income arrives, to ensure consistency.*

Question 295

What is the primary role of the Reserve Bank of India (RBI) in relation to financial inclusion?

- **A.** RBI has no role in financial inclusion efforts
- **B.** RBI regulates banks, sets financial inclusion strategy, and tracks progress via the Financial Inclusion Index
- **C.** RBI only manages currency printing
- **D.** RBI's role is limited to setting GST rates

Correct Answer: Option (B)

Short Explanation: *RBI regulates banks, steers the national financial inclusion strategy, and tracks progress through tools like the annual Financial Inclusion Index (FI-Index).*

Question 296

Which of these is a "sinking fund"?

- **A.** Money saved gradually for a specific, planned future expense
- **B.** A type of loan default
- **C.** An account that only loses value over time
- **D.** A government tax penalty

Correct Answer: Option (A)

Short Explanation: *A sinking fund is money saved gradually for a specific, planned future expense, such as an annual insurance premium or a planned purchase.*

Question 297

A person wants to compare their spending against their budget mid-month. What is the most useful tool for this?

- **A.** Waiting until the end of the year to check
- **B.** An ongoing expense tracker updated throughout the month
- **C.** Relying purely on memory
- **D.** Checking only their FD maturity date

Correct Answer: Option (B)

Short Explanation: *An ongoing expense tracker updated throughout the month allows real-time comparison against the budget, rather than relying on memory or waiting until year-end.*

Question 298

A young earner starting their first job wants to apply this checklist module practically. What is the most reasonable starting point?

- **A.** Attempting to complete the Final Financial Wellness Checklist in full on day one
- **B.** Starting with the Daily Financial Safety and Monthly Budget checklists, and building toward the others over time
- **C.** Skipping all checklists until retirement age
- **D.** Only focusing on the Financial Goal Tracker, ignoring all other checklists

Correct Answer: Option (B)

Short Explanation: *Starting with the Daily Financial Safety and Monthly Budget checklists, and gradually building toward the others, is a more reasonable and sustainable starting point for a young earner.*

Question 299

What is the minimum transfer amount required to use RTGS (Real Time Gross Settlement)?

- **A.** No minimum
- **B.** ₹50,000
- **C.** ₹2 lakh
- **D.** ₹10 lakh

Correct Answer: Option (C)

Short Explanation: *RTGS has a minimum transfer amount of ₹2 lakh, with no upper limit, making it suitable for high-value, time-sensitive transfers.*

Question 300

Why is reviewing Form 26AS or the Annual Information Statement (AIS) included in tax readiness preparation?

- **A.** It has no practical relevance to tax filing
- **B.** It helps verify income and tax already deducted or paid, reducing errors before filing
- **C.** It replaces the need to file an income tax return
- **D.** It is only relevant for GST-registered businesses

Correct Answer: Option (B)

Short Explanation: *Reviewing Form 26AS or AIS helps verify income and tax already deducted, reducing the risk of errors or mismatches when filing an income tax return.*

Question 301

What is a common consequence of failing to disclose pre-existing health conditions when buying health insurance?

- **A.** There is no consequence; disclosure is optional
- **B.** The insurer may reject a related claim later due to non-disclosure
- **C.** The premium is automatically reduced
- **D.** The policy automatically becomes more comprehensive

Correct Answer: Option (B)

Short Explanation: *Failing to disclose pre-existing conditions can lead to a claim being rejected later, since insurance relies on honest disclosure at the time of purchase.*

Question 302

What does a debit card primarily allow you to do?

- **A.** Borrow money from the bank up to a credit limit
- **B.** Spend directly from your own account balance
- **C.** Avoid ever paying interest on any purchase
- **D.** Automatically increase your credit score

Correct Answer: Option (B)

Short Explanation: *A debit card is linked directly to your bank account, and any spending is deducted immediately from your own balance — it is not borrowed money.*

Question 303

Why is compounding often called one of the most powerful forces in investing?

- **A.** It has no real long-term impact
- **B.** The earlier you start investing, the more time your money has to grow on itself
- **C.** It only benefits investments held for less than a year
- **D.** It applies only to fixed deposits

Correct Answer: Option (B)

Short Explanation: *Compounding rewards time — starting earlier gives your money more time to grow on itself, making early investing especially powerful over long horizons.*

Question 304

Which of the following is a genuine reason a bank might call a customer?

- **A.** To ask for their debit card PIN over the phone
- **B.** To ask for their OTP to "verify" a suspicious transaction
- **C.** A bank would not ask for a PIN or OTP over any unsolicited call
- **D.** To request their CVV to "unblock" the card

Correct Answer: Option (C)

Short Explanation: *Banks never ask customers for their PIN, OTP, or CVV over a call, SMS, or email — any such request is a scam.*

Question 305

If a bank customer disputes an unauthorised transaction and the bank's internal resolution is unsatisfactory, what is their next recourse?

- **A.** They have no further recourse
- **B.** They can escalate the complaint to the Banking Ombudsman under RBI's grievance redressal scheme
- **C.** They must accept the bank's decision as final
- **D.** They can only resolve it through a civil court, with no other option

Correct Answer: Option (B)

Short Explanation: *If a bank's internal resolution is unsatisfactory, customers can escalate the complaint to the RBI's Banking Ombudsman Scheme for further redressal.*

Question 306

What is the Employees' Provident Fund (EPF)?

- **A.** A voluntary savings scheme with no employer involvement
- **B.** A mandatory retirement savings scheme for salaried employees, with both employer and employee contributing
- **C.** A government health insurance scheme
- **D.** A tax-free vehicle loan scheme

Correct Answer: Option (B)

Short Explanation: *EPF is a mandatory retirement savings scheme where both the employer and employee contribute a fixed percentage of salary each month, managed by EPFO.*

Question 307

A household wants to build a habit of reviewing their complete financial picture together as a family. What does this best reflect?

- **A.** An unnecessary and ineffective use of time
- **B.** The family-review advantage, where reviewing finances together helps catch blind spots one person might miss
- **C.** A practice that should only be done individually
- **D.** A practice with no connection to any part of this category

Correct Answer: Option (B)

Short Explanation: *Reviewing finances together as a family reflects the "family-review advantage," which helps catch blind spots that a single person managing finances alone might miss.*

Question 308

What is the correct understanding of "utmost good faith" as an insurance principle?

- **A.** Only the insurer needs to act honestly
- **B.** Both the insurer and policyholder must disclose all relevant facts honestly
- **C.** It only applies to health insurance policies
- **D.** It has no bearing on claim settlement

Correct Answer: Option (B)

Short Explanation: *"Utmost good faith" requires both the insurer and the policyholder to honestly disclose all relevant facts, forming the basis of a valid insurance contract.*

Question 309

Someone calls claiming to be a bank employee and asks for your OTP to "verify a suspicious transaction." What should you do?

- **A.** Share the OTP immediately since they claim to be from the bank
- **B.** Refuse and hang up — banks never ask for an OTP over a call
- **C.** Share only half of the OTP digits
- **D.** Ask them to call back in an hour before sharing it

Correct Answer: Option (B)

Short Explanation: *Banks never ask for an OTP, PIN, or CVV over a call, SMS, or email; this is a classic OTP scam pattern and should always be refused.*

Question 310

What is the primary difference between internet banking and a third-party UPI app?

- **A.** They are exactly the same service
- **B.** Internet banking is the bank's own browser-based service; a UPI app is typically a separate app connecting to UPI
- **C.** Internet banking cannot be used for any transfers
- **D.** UPI apps replace the need for a bank account

Correct Answer: Option (B)

Short Explanation: *Internet banking is a bank's own official web-based service, while UPI apps (even bank apps) provide a separate interface specifically for UPI-based payments.*

Question 311

Which of these is TRUE about UPI's availability compared to traditional banking transfer methods?

- **A.** UPI is only available during regular banking hours
- **B.** UPI operates 24x7, including weekends and holidays
- **C.** UPI is unavailable on Sundays
- **D.** UPI requires a physical branch visit each time

Correct Answer: Option (B)

Short Explanation: *Unlike older transfer methods historically limited to banking hours, UPI operates 24x7, including weekends and public holidays.*

Question 312

Which best explains why "chasing the best-performing investment" is often considered a mistake?

- **A.** Past performance guarantees identical future performance
- **B.** Past performance does not guarantee future results, and chasing trends can lead to poor timing and concentration risk
- **C.** The best-performing investment is always the safest choice
- **D.** This strategy always outperforms diversified investing

Correct Answer: Option (B)

Short Explanation: *Past performance does not guarantee future results; chasing top performers often leads to poor timing and excessive concentration in one area, increasing risk.*

Question 313

What is a "Bank Mitra" (business correspondent)?

- **A.** A senior bank executive
- **B.** An agent providing last-mile banking access in areas without a full bank branch
- **C.** A type of government bond
- **D.** A tax consultant hired by banks

Correct Answer: Option (B)

Short Explanation: *A Bank Mitra (business correspondent) provides last-mile banking access in areas lacking a full bank branch, extending financial services to underserved communities.*

Question 314

What is the main function of a bank's mobile or internet banking service, distinct from a third-party UPI app?

- **A.** It can only be used to view advertisements
- **B.** It provides direct access to the bank's own services, like FD/RD management and statements
- **C.** It is only available for business accounts
- **D.** It replaces the need for a bank account altogether

Correct Answer: Option (B)

Short Explanation: *A bank's own mobile or internet banking service provides direct access to account-specific services like managing FDs, RDs, and viewing statements.*

Question 315

Which of these best defines "financial independence"?

- **A.** Having no bank account
- **B.** Having enough income from savings or investments to cover living expenses without active employment
- **C.** Having a large social media following
- **D.** Having the highest possible credit limit

Correct Answer: Option (B)

Short Explanation: *Financial independence means having enough passive or investment income to cover expenses without relying on active employment.*

Question 316

What is the purpose of a "rebate" under India's income tax rules?

- **A.** A penalty for late tax filing
- **B.** A reduction in tax liability, which can bring it down to zero for eligible income levels
- **C.** An additional tax imposed on high earners
- **D.** A fee charged for filing an ITR

Correct Answer: Option (B)

Short Explanation: *A tax rebate reduces tax liability, and under current rules can bring it down to zero for taxpayers within specified income limits.*

Question 317

A person receives a call from an unknown number claiming to represent a government agency and demanding immediate payment to avoid arrest. What is the safest response?

- **A.** Pay immediately to avoid any risk of arrest
- **B.** Recognise this as a scam pattern, disconnect, and report it via the 1930 helpline
- **C.** Negotiate the amount with the caller
- **D.** Provide identification documents to "prove innocence" over the call

Correct Answer: Option (B)

Short Explanation: *Demanding immediate payment over a call to "avoid arrest" is a scam pattern; the safest response is to disconnect and report it via the 1930 helpline.*

Question 318

Why might a family delay opening an SSY account for their daughter, and what is the risk of this delay?

- **A.** There is no risk in delaying, since the scheme has no age limit
- **B.** Awareness gaps often cause delays, and delaying reduces the years available for compounding before the account must be opened by age 10
- **C.** Delaying always results in a higher interest rate
- **D.** SSY accounts cannot be opened after birth under any circumstance

Correct Answer: Option (B)

Short Explanation: *Awareness gaps are a common cause of delay, and delaying reduces the total years available for compounding, since the account must be opened before the daughter turns 10.*

Question 319

What is an "annuity"?

- **A.** A one-time lump sum payment with no future obligations
- **B.** A regular income stream purchased with a lump sum, often used at retirement
- **C.** A type of vehicle insurance add-on
- **D.** A government subsidy for farmers

Correct Answer: Option (B)

Short Explanation: *An annuity is a regular income stream purchased with a lump sum, commonly used to convert a retirement corpus into ongoing pension payments.*

Question 320

Which of the following is a genuine step in a legitimate loan application process?

- **A.** The lender demanding an upfront "processing fee" via personal UPI transfer before any documentation
- **B.** The lender verifying income and documents through a registered, transparent process
- **C.** The lender requiring access to all contacts and photos on your phone
- **D.** The lender promising loan approval with absolutely no verification at all

Correct Answer: Option (B)

Short Explanation: *A legitimate lender verifies income and documents through a transparent, registered process — unlike red flags such as upfront personal transfers or excessive app permissions.*

Question 321

Which of these best reflects the "golden hour" concept in fraud reporting?

- **A.** It refers to the one hour each day when banks process complaints
- **B.** It refers to the critical early window after a fraud when reporting is most likely to result in frozen or recovered funds
- **C.** It refers to a discount period for opening new bank accounts
- **D.** It has no real significance in fraud cases

Correct Answer: Option (B)

Short Explanation: *The "golden hour" refers to the critical early period after a fraud occurs, during which reporting is most likely to successfully freeze or recover the funds before they move further.*

Question 322

What is "phishing"?

- **A.** A method of investing in the stock market
- **B.** Tricking someone into revealing sensitive information by posing as a trustworthy entity
- **C.** A type of government tax scheme
- **D.** A method for improving a credit score

Correct Answer: Option (B)

Short Explanation: *Phishing is a fraud technique where scammers pose as trustworthy entities (like banks) to trick victims into revealing sensitive information.*

Question 323

A depositor holds ₹7 lakh combined across two savings accounts in the same bank. Under DICGC rules, how much of this is insured?

- **A.** The full ₹7 lakh
- **B.** Only ₹5 lakh, since the limit applies per depositor per bank, not per account
- **C.** Nothing, since multiple accounts void the insurance
- **D.** ₹10 lakh, doubled for two accounts

Correct Answer: Option (B)

Short Explanation: *DICGC insurance applies per depositor, per bank — not per account — so the combined balance across accounts at the same bank is insured only up to ₹5 lakh.*

Question 324

What is a "Virtual Payment Address (VPA)" in UPI?

- **A.** A physical bank branch address
- **B.** A unique UPI ID, like name@bank, used instead of a bank account number
- **C.** A type of ATM location code
- **D.** A password used only once

Correct Answer: Option (B)

Short Explanation: *A VPA (Virtual Payment Address) is a unique UPI ID such as name@bank, used to send or receive money without sharing account numbers.*

Question 325

Which of the following best reflects the idea that "a budget is not a restriction, but a plan that puts you in control"?

- **A.** A budget removes all ability to spend on anything enjoyable
- **B.** A budget clearly allocates room for needs, wants, and savings, enabling confident and intentional spending
- **C.** A budget only applies to people with very low incomes
- **D.** A budget eliminates the need to ever track expenses again

Correct Answer: Option (B)

Short Explanation: *A well-structured budget allocates clear room for needs, wants, and savings, allowing confident, intentional spending rather than restriction.*

Question 326

What is the correct relationship between a higher CIBIL score and loan terms typically offered?

- **A.** A higher score usually results in worse loan terms
- **B.** A higher score generally improves chances of approval and access to better interest rates
- **C.** CIBIL scores have no bearing on loan approval or rates
- **D.** Only businesses are affected by CIBIL scores

Correct Answer: Option (B)

Short Explanation: *A higher CIBIL score generally improves the likelihood of loan approval and access to more favourable interest rates from lenders.*

Question 327

Which best describes the purpose of distinguishing "needs" from "wants" in a budget?

- **A.** To eliminate all spending on wants permanently
- **B.** To make spending decisions more conscious and intentional
- **C.** To avoid ever tracking expenses
- **D.** To qualify for a business loan

Correct Answer: Option (B)

Short Explanation: *Distinguishing needs from wants helps make spending decisions more conscious and intentional, supporting better budgeting overall.*

Question 328

A retiree relies on a diversified mix of debt instruments and some equity for income, prioritising lower volatility. What principle does this reflect?

- **A.** Ignoring risk tolerance entirely
- **B.** Adjusting asset allocation to match a shorter time horizon and lower risk tolerance appropriate for retirement
- **C.** Retirees should always avoid any form of investment
- **D.** This approach applies only to very wealthy individuals

Correct Answer: Option (B)

Short Explanation: *Prioritising lower volatility through a debt-heavy mix reflects appropriately adjusting asset allocation to match a shorter time horizon and lower risk tolerance in retirement.*

Question 329

Which entity builds and operates India's UPI, IMPS, and RuPay infrastructure?

- **A.** SEBI
- **B.** NPCI (National Payments Corporation of India)
- **C.** IRDAI
- **D.** EPFO

Correct Answer: Option (B)

Short Explanation: *NPCI (National Payments Corporation of India) builds and operates UPI, IMPS, RuPay, and other core retail payment infrastructure under RBI's oversight.*

Question 330

What is the primary advantage of a Fixed Deposit (FD) over a regular savings account?

- **A.** FDs allow unlimited free withdrawals
- **B.** FDs typically offer a higher, fixed interest rate for a fixed tenure
- **C.** FDs have no risk of penalty for early withdrawal
- **D.** FDs require no minimum deposit

Correct Answer: Option (B)

Short Explanation: *FDs offer a higher, fixed interest rate than a regular savings account in exchange for committing the money for a fixed tenure.*

Question 331

Why does JanGyan recommend keeping insurance policy documents accessible to family members rather than only to the policyholder?

- **A.** It has no impact on the claims process
- **B.** In the event of the policyholder's death or incapacity, family members need access to file a claim smoothly
- **C.** It is a legal requirement enforced by IRDAI on every policyholder
- **D.** It only matters for vehicle insurance policies

Correct Answer: Option (B)

Short Explanation: *Keeping documents accessible ensures that family members can locate and use them to file a claim smoothly if the policyholder passes away or becomes incapacitated.*

Question 332

Which of the following best reflects a "smart spending" decision when facing an impulse purchase?

- **A.** Buying it immediately to avoid missing out
- **B.** Pausing, comparing the price, and asking if it's a need, want, or habit before deciding
- **C.** Ignoring the price entirely if the item looks appealing
- **D.** Always avoiding all purchases regardless of need

Correct Answer: Option (B)

Short Explanation: *Smart spending involves pausing to evaluate a potential purchase — comparing prices and questioning whether it's a genuine need — rather than acting on impulse.*

Question 333

Which of the following is commonly cited as a top "Common Financial Mistake to Avoid" across this entire category?

- **A.** Building an emergency fund early
- **B.** Sharing an OTP, PIN, or CVV with anyone, under any circumstance
- **C.** Comparing tax regimes annually
- **D.** Diversifying investments across asset classes

Correct Answer: Option (B)

Short Explanation: *Sharing an OTP, PIN, or CVV with anyone is consistently highlighted as a top financial mistake to avoid, given its direct link to financial fraud.*

Question 334

Which of the following is a common financial mistake highlighted in financial literacy education?

- **A.** Reviewing your budget every month
- **B.** Delaying saving and investing until "earning more"
- **C.** Setting a short-term and long-term goal
- **D.** Building an emergency fund early

Correct Answer: Option (B)

Short Explanation: *Delaying saving until income rises is a common mistake, since small consistent savings built early matter more than waiting for a larger income.*

Question 335

A person tracks their expenses for one month and is surprised by how much small, frequent purchases add up to. What does this most clearly demonstrate?

- **A.** Small purchases have no real financial impact
- **B.** Frequent small expenses can have a larger cumulative effect than expected
- **C.** Expense tracking is not useful for finding savings
- **D.** Only large purchases affect a budget

Correct Answer: Option (B)

Short Explanation: *Tracking expenses often reveals that small, frequent purchases add up to a larger amount than expected, showing the value of monitoring all spending.*

Question 336

Which best reflects why "awareness of common fraud patterns" appears as a recurring theme across multiple checklists (daily safety, digital payment safety, banking security)?

- **A.** Fraud prevention is only relevant to one specific checklist
- **B.** Fraud risks intersect with everyday banking and digital payment activity, making awareness relevant across several checklist areas simultaneously
- **C.** This repetition indicates an error in the checklist design
- **D.** Fraud awareness has no practical connection to banking or digital payments

Correct Answer: Option (B)

Short Explanation: *Because fraud risks intersect with everyday banking and digital payment behaviour, awareness of common fraud patterns appropriately recurs across multiple related checklists.*

Question 337

A person wants a zero-balance account under a financial inclusion scheme. Which account type suits this best?

- **A.** Current Account
- **B.** Basic Savings Bank Deposit Account (BSBDA)
- **C.** NRE Account
- **D.** Overdraft Account

Correct Answer: Option (B)

Short Explanation: *BSBDA accounts are specifically designed as zero-balance accounts for financial inclusion, used under schemes like PMJDY.*

Question 338

What happened to reported financial fraud losses in India between 2021 and 2024, based on official data?

- **A.** They decreased significantly
- **B.** They remained exactly the same
- **C.** They increased by approximately 41 times
- **D.** They increased by only 2 times

Correct Answer: Option (C)

Short Explanation: *Reported financial fraud losses rose from approximately ₹551 crore in 2021 to approximately ₹22,848 crore in 2024 — a roughly 41-fold increase.*

Question 339

What is the most accurate description of "portfolio" in personal finance?

- **A.** A single stock holding
- **B.** The complete collection of investments an individual holds
- **C.** A type of bank account
- **D.** A government tax document

Correct Answer: Option (B)

Short Explanation: *A portfolio refers to the complete collection of investments — across stocks, bonds, mutual funds, gold, etc. — that an individual holds.*

Question 340

A family completes their Insurance Checklist and realises their nominee details haven't been updated since before their child was born. What should they do?

- **A.** Ignore it, since nominee details rarely matter in practice
- **B.** Update the nominee details promptly to reflect their current family situation
- **C.** Cancel all their insurance policies immediately
- **D.** Wait until the next policy renewal cycle to make any changes

Correct Answer: Option (B)

Short Explanation: *Nominee details should be updated promptly after major life events like having a child, rather than waiting or ignoring the outdated information.*

Question 341

Which of the following is generally considered a "fixed expense"?

- **A.** Grocery shopping
- **B.** Entertainment spending
- **C.** Monthly rent
- **D.** Impulse online purchases

Correct Answer: Option (C)

Short Explanation: *Rent is a fixed expense because it stays roughly the same each month, unlike variable expenses like groceries or entertainment.*

Question 342

A person wants to set a personal safety habit for UPI usage. Which of these is most effective?

- **A.** Setting a UPI transaction limit matching typical usage and enabling app-lock
- **B.** Sharing the MPIN with a family member for convenience
- **C.** Disabling all transaction alerts to reduce notifications
- **D.** Using the same MPIN as their ATM PIN

Correct Answer: Option (A)

Short Explanation: *Setting a personal UPI transaction limit and enabling app-lock or biometric lock are effective, practical safety habits for everyday UPI usage.*

Question 343

Which of these best reflects the goal of India's broader "financial inclusion initiatives," beyond individual named schemes?

- **A.** To restrict financial services to select population groups only
- **B.** To bring every citizen, regardless of income or location, into the formal financial system
- **C.** To eliminate the need for banks altogether
- **D.** To focus exclusively on urban financial services

Correct Answer: Option (B)

Short Explanation: *Broader financial inclusion initiatives aim to bring every citizen — regardless of income or location — into the formal financial system through banking, credit, insurance, and pensions.*

Question 344

What is a "bond" in simple terms?

- **A.** A type of company ownership share
- **B.** A loan given to a government or company that pays regular interest and returns the principal at maturity
- **C.** A form of gold investment
- **D.** A type of insurance policy

Correct Answer: Option (B)

Short Explanation: *A bond is essentially a loan you give to a government or company, which pays regular interest and returns the principal amount at maturity.*

Question 345

Which of these best reflects the value of retirement planning tools like NPS for someone in their 20s?

- **A.** Retirement planning is irrelevant until the final years before retirement
- **B.** Starting early allows small, consistent contributions to grow substantially through decades of compounding
- **C.** NPS contributions made early have no advantage over those made later
- **D.** Retirement planning tools are only available to government employees

Correct Answer: Option (B)

Short Explanation: *Starting retirement contributions early, even with modest amounts, allows decades of compounding to work in the investor's favour, unlike delaying until later years.*

Question 346

If a health insurance claim is unfairly rejected, what is an appropriate escalation path?

- **A.** There is no recourse available to the policyholder
- **B.** Escalate through the insurer's grievance cell, and then to IRDAI if unresolved
- **C.** Immediately cancel all other insurance policies
- **D.** Accept the rejection as final in all cases

Correct Answer: Option (B)

Short Explanation: *An unfairly rejected claim can be escalated through the insurer's grievance cell, and further to IRDAI's grievance system if the issue remains unresolved.*

Question 347

Why does JanGyan describe financial literacy fundamentals as foundational to its entire Financial Literacy & Digital Finance learning path?

- **A.** Because it has no connection to later topics
- **B.** Because concepts like budgeting, goals, and planning underpin banking, investing, insurance, and other later topics
- **C.** Because it is the only topic worth studying
- **D.** Because it replaces the need for banking knowledge

Correct Answer: Option (B)

Short Explanation: *Fundamentals like budgeting, financial goals, and planning form the foundation that later topics on banking, investing, and insurance build upon.*

Question 348

According to the NCFE Financial Literacy and Inclusion Survey, which of the following best reflects India's overall financial literacy rate?

- **A.** Approximately 27%
- **B.** Approximately 55%
- **C.** Approximately 75%
- **D.** Approximately 10%

Correct Answer: Option (A)

Short Explanation: *The NCFE survey places India's overall financial literacy rate at approximately 27%, with urban areas at about 33% and rural areas at about 24%.*

Question 349

What is a "KYC scam"?

- **A.** A legitimate government process for verifying identity
- **B.** A scam involving fake messages or calls demanding urgent "KYC updates," often through malicious links or shared OTPs
- **C.** A method used by banks to reward loyal customers
- **D.** A tax refund process

Correct Answer: Option (B)

Short Explanation: *A KYC scam involves fraudulent messages or calls creating panic about account suspension, tricking victims into clicking malicious links or sharing OTPs under the guise of "updating KYC."*

Question 350

Approximately what share of the world's real-time payment transaction volume did India account for, based on recent data?

- **A.** About 5%
- **B.** About 20%
- **C.** About 49%
- **D.** About 90%

Correct Answer: Option (C)

Short Explanation: *India accounts for approximately 49% of the world's real-time payment transaction volume, more than any other country.*

Question 351

What best describes an endowment or savings-linked life insurance plan?

- **A.** It offers pure protection only, with no savings component
- **B.** It combines insurance protection with a savings component, paid out at maturity or on death
- **C.** It is identical to term insurance in every respect
- **D.** It is only available to senior citizens

Correct Answer: Option (B)

Short Explanation: *An endowment plan combines life insurance protection with a savings component, providing a payout either at maturity or in the event of the policyholder's death.*

Question 352

What is a common consequence of applying for multiple loans or credit cards within a short period?

- **A.** It has no effect on the credit score
- **B.** It can lower the credit score due to multiple "hard enquiries" being recorded
- **C.** It automatically improves the credit score
- **D.** It guarantees approval for all applications

Correct Answer: Option (B)

Short Explanation: *Multiple loan or card applications in a short period trigger repeated hard enquiries, which can lower the credit score.*

Question 353

A person completes their Final Financial Wellness Checklist and realises several items remain incomplete after a full year. What is the most constructive response?

- **A.** Conclude that financial planning is not achievable and abandon the effort entirely
- **B.** Identify the incomplete items and prioritise addressing them in the coming months, rather than treating the checklist as pass/fail
- **C.** Ignore the incomplete items permanently
- **D.** Redo the entire checklist from scratch every single day

Correct Answer: Option (B)

Short Explanation: *Identifying and prioritising incomplete items for the coming months is more constructive than abandoning the effort or treating the checklist as strictly pass/fail.*

Question 354

What does SIP stand for in the context of mutual fund investing?

- **A.** Simple Interest Plan
- **B.** Systematic Investment Plan
- **C.** Secured Insurance Policy
- **D.** Stock Index Portfolio

Correct Answer: Option (B)

Short Explanation: *SIP stands for Systematic Investment Plan, allowing regular, fixed investments into a mutual fund rather than a single lump sum.*

Question 355

Why might a self-employed individual with fluctuating income find it especially important to compare tax regimes and plan taxes proactively each year?

- **A.** Self-employed individuals are exempt from filing any tax return
- **B.** Fluctuating income can shift which regime and deductions are most beneficial from year to year, making annual review valuable
- **C.** Tax rules only apply to salaried employees, not the self-employed
- **D.** Proactive tax planning has no relevance for variable incomes

Correct Answer: Option (B)

Short Explanation: *Fluctuating income can change which tax regime and deductions are most advantageous each year, making proactive, annual tax planning especially valuable for self-employed individuals.*

Question 356

What is the relationship between a loan's "tenure" and its total interest cost, all else being equal?

- **A.** Tenure has no relationship to total interest cost
- **B.** A longer tenure generally results in a higher total interest cost, even though the EMI is lower
- **C.** A longer tenure always reduces total interest paid
- **D.** Only the interest rate matters, not the tenure

Correct Answer: Option (B)

Short Explanation: *All else being equal, a longer loan tenure generally results in a higher total interest cost over the life of the loan, even though the monthly EMI is lower.*

Question 357

Which of the following is NOT one of UPI's core building blocks, as operated within India's digital payment ecosystem?

- **A.** NPCI
- **B.** Banks
- **C.** Payment Service Provider (PSP) apps
- **D.** Foreign stock exchanges

Correct Answer: Option (D)

Short Explanation: *UPI's ecosystem consists of NPCI, banks, and PSP apps like Google Pay or PhonePe — foreign stock exchanges play no role in this system.*

Question 358

Which of these is an example of a "fixed" tax deduction or feature under the new income tax regime?

- **A.** Deductions for a wide range of investments and expenses
- **B.** A standard deduction for salaried individuals
- **C.** No deductions of any kind are permitted
- **D.** Unlimited deductions for any expense

Correct Answer: Option (B)

Short Explanation: *The new tax regime offers a standard deduction for salaried individuals, though it generally allows fewer other deductions compared to the old regime.*

Question 359

Which best reflects safe behaviour for family members, especially children and senior citizens, regarding financial fraud?

- **A.** Assuming they already understand all fraud risks without discussion
- **B.** Openly discussing common scam patterns and agreeing that no one shares OTPs, even with each other, over a call
- **C.** Sharing OTPs freely within the family since trust is assumed
- **D.** Avoiding any conversation about fraud to prevent unnecessary worry

Correct Answer: Option (B)

Short Explanation: *Openly discussing common scam patterns as a family, and agreeing that OTPs are never shared even internally over a call, builds a consistent, protective habit for everyone.*

Question 360

What is "family budget planning"?

- **A.** A budget made in isolation by one family member without input from others
- **B.** A shared household plan that brings all earners and major financial decisions together
- **C.** A type of government tax scheme
- **D.** A budgeting method exclusive to businesses

Correct Answer: Option (B)

Short Explanation: *Family budget planning is a shared, transparent household plan involving all earners and major financial decisions, rather than one person planning alone.*

Question 361

What is a "Suspect Registry" in the context of fraud prevention?

- **A.** A public list of customer PAN numbers
- **B.** A shared national database of accounts flagged for suspected fraud, helping banks block suspicious transfers
- **C.** A government tax database
- **D.** A list of approved investment platforms

Correct Answer: Option (B)

Short Explanation: *The Suspect Registry is a shared database of accounts flagged for suspected fraud, helping banks across the system identify and block suspicious transfers.*

Question 362

Which of these is generally NOT required to open a savings account?

- **A.** Proof of identity
- **B.** Proof of address
- **C.** A registered company or business license
- **D.** A recent photograph

Correct Answer: Option (C)

Short Explanation: *A business license is required for a current or business account, not for a standard individual savings account, which only needs personal KYC documents.*

Question 363

Which of these best reflects the purpose of linking each checklist item to a specific earlier module (1-9) in this handbook?

- **A.** To make the checklist unnecessarily complicated
- **B.** To allow quick reference back to a detailed explanation whenever a checklist item feels unclear
- **C.** To discourage the use of the checklist independently
- **D.** To ensure users only ever read the checklist module and skip all others

Correct Answer: Option (B)

Short Explanation: *Linking checklist items back to specific earlier modules allows for quick reference to a detailed explanation whenever a particular item feels unclear.*

Question 364

Which item belongs on a "Digital Payment Safety Checklist"?

- **A.** Reviewing an emergency fund's total value
- **B.** Reviewing and cancelling unused UPI Autopay mandates
- **C.** Comparing PPF and SSY interest rates
- **D.** Verifying a vehicle insurance policy's validity

Correct Answer: Option (B)

Short Explanation: *Reviewing and cancelling unused UPI Autopay mandates is a specific digital payment safety habit, distinct from insurance or savings scheme checks.*

Question 365

Which of the following best reflects how the "Protect" stage of the financial wellness cycle connects to earlier modules in this category?

- **A.** It has no connection to any other module
- **B.** It connects to fraud prevention, banking security, and insurance coverage covered in earlier modules
- **C.** It only relates to the taxation module
- **D.** It only relates to investment fundamentals

Correct Answer: Option (B)

Short Explanation: *The "Protect" stage draws directly on fraud prevention, banking security, and insurance coverage — all covered in earlier modules — forming a practical link across the category.*

Question 366

What is the most accurate description of how this final module fits into the overall ten-part Financial Literacy & Digital Finance learning path?

- **A.** It introduces entirely new topics unrelated to the previous nine modules
- **B.** It consolidates and operationalises the concepts from the previous nine modules into practical, repeatable checklists
- **C.** It is an optional module that can be skipped without any loss of practical value
- **D.** It replaces the need to ever revisit any of the earlier modules

Correct Answer: Option (B)

Short Explanation: *This final module consolidates and operationalises concepts from the previous nine modules into practical, repeatable checklists, rather than introducing unrelated new topics.*

Question 367

Why is it important to periodically review an investment portfolio, rather than checking it daily or never at all?

- **A.** Daily checking is the most effective long-term strategy
- **B.** Periodic review allows meaningful adjustments without reacting emotionally to short-term market noise
- **C.** Portfolios never need any review once created
- **D.** Reviewing has no bearing on long-term investment outcomes

Correct Answer: Option (B)

Short Explanation: *Periodic (rather than daily or non-existent) review allows for meaningful adjustments based on real changes in goals or circumstances, without reacting emotionally to short-term market noise.*

Question 368

A person has several financial goals but has never tracked progress toward any of them formally. What is the most likely consequence?

- **A.** Goals are always achieved regardless of tracking
- **B.** Without tracking, it becomes harder to know whether progress is on pace or falling behind
- **C.** Tracking has no bearing on whether a goal is achieved
- **D.** Financial goals do not require any form of monitoring

Correct Answer: Option (B)

Short Explanation: *Without formal tracking, it becomes difficult to assess whether progress toward a goal is on pace, increasing the risk of drifting away from the intended target.*

Question 369

What is the meaning of "asset class" in investing?

- **A.** A single company's annual report
- **B.** A category of investment, such as equity, debt, or gold
- **C.** A type of bank loan
- **D.** A government tax bracket

Correct Answer: Option (B)

Short Explanation: *An asset class is a broad category of investment, such as equity (stocks), debt (bonds), or gold, each with different risk and return characteristics.*

Question 370

What is a "smart financial citizen," as described in a comprehensive financial wellness framework?

- **A.** Someone who only understands financial concepts theoretically
- **B.** Someone who consistently applies financial literacy through regular, repeated habits
- **C.** Someone who avoids all forms of banking
- **D.** Someone who only invests in gold

Correct Answer: Option (B)

Short Explanation: *A smart financial citizen consistently applies financial literacy through regular habits and reviews, not just theoretical understanding.*

Question 371

What is GST?

- **A.** A direct tax on personal income
- **B.** An indirect tax applied to the sale of goods and services
- **C.** A tax exclusively on property ownership
- **D.** A one-time registration fee for businesses

Correct Answer: Option (B)

Short Explanation: *GST (Goods and Services Tax) is an indirect tax on the sale of goods and services, ultimately paid by the end consumer.*

Question 372

A senior citizen is advised to focus especially on the Insurance and Banking Security checklists as part of their financial review. What is the most likely reason for this specific emphasis?

- **A.** These checklists are irrelevant to senior citizens
- **B.** These areas often involve higher-stakes risks (health costs, account security) that are especially relevant at this life stage
- **C.** Senior citizens are legally required to only use these two checklists
- **D.** All other checklists are only relevant to younger individuals

Correct Answer: Option (B)

Short Explanation: *Insurance (especially health-related) and banking security often carry higher-stakes risks that are especially relevant for senior citizens, justifying this specific emphasis.*

Question 373

A person receives an SMS claiming their account will be blocked unless they click a link to "update KYC" immediately. What should they do?

- **A.** Click the link immediately to avoid losing account access
- **B.** Ignore the link and verify through the bank's official app or branch instead
- **C.** Share their OTP to confirm their identity
- **D.** Forward the message to friends for advice

Correct Answer: Option (B)

Short Explanation: *This is a classic KYC scam pattern; genuine KYC updates should always be verified and completed through official bank channels, never via unsolicited links.*

Question 374

Which of these best summarises the intended use of the entire Smart Financial Citizen Checklist module?

- **A.** A document to be read once and never referenced again
- **B.** A living, practical reference to be revisited regularly — daily, monthly, quarterly, and annually — alongside the other modules
- **C.** A replacement for professional financial or legal advice in all circumstances
- **D.** A document relevant only to businesses, not individual citizens

Correct Answer: Option (B)

Short Explanation: *The module is designed as a living, practical reference to be revisited regularly at different frequencies, working alongside the detailed content in the other nine modules.*

Question 375

Which organisation is responsible for administering the Employees' Provident Fund in India?

- **A.** SEBI
- **B.** EPFO (Employees' Provident Fund Organisation)
- **C.** IRDAI
- **D.** NPCI

Correct Answer: Option (B)

Short Explanation: *The Employees' Provident Fund Organisation (EPFO) administers the EPF scheme and related pension benefits for salaried employees.*

Question 376

Under the DICGC scheme, deposit insurance covers up to what amount per depositor, per bank?

- **A.** ₹1 lakh
- **B.** ₹2 lakh
- **C.** ₹5 lakh
- **D.** ₹10 lakh

Correct Answer: Option (C)

Short Explanation: *DICGC insures deposits up to ₹5 lakh per depositor, per bank (principal plus interest combined), even if the depositor holds multiple accounts there.*

Question 377

What is "vishing"?

- **A.** A type of investment scheme
- **B.** Voice-call-based phishing, often impersonating officials or bank staff
- **C.** A method of secure video verification
- **D.** A type of insurance fraud only

Correct Answer: Option (B)

Short Explanation: *Vishing is voice-call-based phishing, where scammers impersonate officials, bank staff, or other trusted figures over a phone call.*

Question 378

A student begins tracking a small allowance and saving a portion of it regularly. What long-term benefit does this early habit provide?

- **A.** It has no lasting benefit
- **B.** It builds financial discipline and habits that carry into adulthood
- **C.** It guarantees a specific career outcome
- **D.** It eliminates the need for future financial planning

Correct Answer: Option (B)

Short Explanation: *Building saving and tracking habits early, even with small amounts, develops financial discipline that carries forward into adulthood.*

Question 379

Which best illustrates the "Earn-Save-Grow" approach to financial literacy?

- **A.** Earning money, spending all of it, then borrowing to save
- **B.** Earning income, setting aside part of it as savings, and growing that saved money through safe investment
- **C.** Earning money and immediately investing all of it with no savings
- **D.** Avoiding income altogether to reduce risk

Correct Answer: Option (B)

Short Explanation: *The Earn-Save-Grow approach involves generating income, setting part of it aside as savings, and then growing those savings through investment.*

Question 380

Through which of the following is "internet banking" typically accessed?

- **A.** A physical passbook only
- **B.** A bank's official website using a login ID and password
- **C.** A QR code scanner only
- **D.** A cheque book

Correct Answer: Option (B)

Short Explanation: *Internet banking is accessed through a bank's official website using a login ID and password, typically from a computer or browser.*

Question 381

What does "net worth" measure?

- **A.** Total income earned in a year
- **B.** Total assets minus total liabilities
- **C.** Total expenses in a month
- **D.** Total tax paid in a year

Correct Answer: Option (B)

Short Explanation: *Net worth is calculated as the total value of everything you own (assets) minus everything you owe (liabilities).*

Question 382

What is the primary purpose of a "Financial Goal Tracker"?

- **A.** To calculate income tax liability
- **B.** To list financial goals, their time horizons, and track progress toward them
- **C.** To record insurance claim history
- **D.** To monitor daily UPI transaction limits

Correct Answer: Option (B)

Short Explanation: *A Financial Goal Tracker is designed to list financial goals, their time horizons, and monthly contributions, helping track progress toward each one.*

Question 383

What best describes the appropriate order of financial priorities before beginning to invest, per sound financial planning?

- **A.** Invest first, then consider an emergency fund later
- **B.** Build an emergency fund, define goals and risk tolerance, then begin investing, ideally via SIP
- **C.** Skip goal-setting and invest randomly across all available options
- **D.** Avoid emergency funds entirely if investing

Correct Answer: Option (B)

Short Explanation: *Sound financial planning recommends building an emergency fund, defining goals and risk tolerance, and only then beginning to invest, often starting with a modest SIP.*

Question 384

What is the primary purpose of home insurance?

- **A.** To cover damage to a vehicle
- **B.** To cover damage to a house and belongings from risks like fire, theft, or natural disasters
- **C.** To provide life cover for the homeowner
- **D.** To fund retirement savings

Correct Answer: Option (B)

Short Explanation: *Home insurance covers damage to a house and its belongings from risks such as fire, theft, or natural disasters.*

Question 385

What is the primary function of AMFI (Association of Mutual Funds in India)?

- **A.** AMFI regulates the stock market directly
- **B.** AMFI is an industry body that promotes mutual fund awareness and publishes industry data
- **C.** AMFI issues personal loans to mutual fund investors
- **D.** AMFI sets India's interest rates

Correct Answer: Option (B)

Short Explanation: *AMFI is the mutual fund industry body that promotes awareness and publishes monthly data on the mutual fund industry, distinct from SEBI's regulatory role.*

Question 386

How does choosing a longer loan tenure typically affect the EMI and total interest paid?

- **A.** It lowers both the EMI and the total interest paid
- **B.** It lowers the EMI but usually increases the total interest paid over the loan's life
- **C.** It has no effect on either the EMI or total interest
- **D.** It increases the EMI but decreases total interest paid

Correct Answer: Option (B)

Short Explanation: *A longer tenure spreads repayment over more months, lowering the EMI, but usually results in more total interest paid over the life of the loan.*

Question 387

What is the CFCFRMS (Citizen Financial Cyber Fraud Reporting and Management System) primarily designed to do?

- **A.** Provide personal loans to fraud victims
- **B.** Enable rapid fund-freezing across banks and payment providers when fraud is reported quickly
- **C.** Replace the need for the 1930 helpline
- **D.** Regulate the stock market

Correct Answer: Option (B)

Short Explanation: *CFCFRMS enables rapid fund-freezing across hundreds of banks and payment providers when a fraud is reported quickly, helping recover funds before they're withdrawn.*

Question 388

What best describes the purpose of an Income Tax Return (ITR)?

- **A.** A one-time registration document required only once in a lifetime
- **B.** An annual filing declaring income earned and tax paid or owed for that financial year
- **C.** A document required only for GST-registered businesses
- **D.** A loan application form

Correct Answer: Option (B)

Short Explanation: *An ITR is an annual filing in which a taxpayer declares their income earned and tax paid or owed for that financial year.*

Question 389

Why is speed considered critical when reporting a financial fraud?

- **A.** Speed has no bearing on the outcome
- **B.** Reporting quickly, within the "golden hour," significantly increases the chance of freezing or recovering funds
- **C.** Fraud complaints are only accepted within the first hour, after which they are rejected
- **D.** Faster reporting guarantees full recovery of funds in all cases

Correct Answer: Option (B)

Short Explanation: *Reporting fraud quickly, within the critical early "golden hour," significantly increases the chances of freezing the funds before they move through multiple accounts.*

Question 390

Does checking your own CIBIL score lower it?

- **A.** Yes, checking your own score always lowers it significantly
- **B.** No, checking your own score is a "soft enquiry" and does not affect your credit score
- **C.** Yes, but only if checked more than once a year
- **D.** It depends on which bank is checked

Correct Answer: Option (B)

Short Explanation: *Checking your own credit score is a "soft enquiry" and has no negative impact, unlike "hard enquiries" triggered by lenders when you apply for credit.*

Question 391

What is the tenure of a standard Sukanya Samriddhi Yojana account, from opening until maturity?

- **A.** 1 year
- **B.** 21 years
- **C.** 50 years
- **D.** There is no fixed tenure

Correct Answer: Option (B)

Short Explanation: *A Sukanya Samriddhi Yojana account has a tenure of 21 years from the date of opening, or until the girl's marriage after age 18, whichever is earlier.*

Question 392

What is the most likely long-term outcome for a person who treats this checklist module as a one-time read rather than a recurring reference?

- **A.** They will automatically retain and apply every habit perfectly forever
- **B.** They risk falling back into the "Learned But Not Applied" gap, where knowledge doesn't translate into consistent action
- **C.** There is no meaningful long-term difference in outcomes
- **D.** A one-time read is explicitly the intended and sufficient use of this module

Correct Answer: Option (B)

Short Explanation: *Treating this module as a one-time read risks falling into the "Learned But Not Applied" gap, since consistent financial security depends on revisiting and applying these habits regularly.*

Question 393

What does KYC stand for in banking?

- **A.** Keep Your Cash
- **B.** Know Your Customer
- **C.** Key Yield Calculation
- **D.** Know Your Credit

Correct Answer: Option (B)

Short Explanation: *KYC (Know Your Customer) is the identity and address verification process banks use before opening or operating an account.*

Question 394

Which of these best distinguishes a "vehicle loan" from a "personal loan"?

- **A.** They are identical in every respect
- **B.** A vehicle loan is secured against the vehicle being purchased, while a personal loan is typically unsecured
- **C.** A personal loan always has a lower interest rate than a vehicle loan
- **D.** A vehicle loan cannot be used to purchase a car

Correct Answer: Option (B)

Short Explanation: *A vehicle loan is secured against the vehicle itself, generally offering lower rates, while a personal loan is typically unsecured and carries higher interest.*

Question 395

What is the correct first step recommended when building a monthly budget?

- **A.** Immediately apply the 50-30-20 rule without any other information
- **B.** List all sources of income for the month
- **C.** Apply for a personal loan
- **D.** Open a new credit card

Correct Answer: Option (B)

Short Explanation: *The first step in building a monthly budget is to list all sources of income, which forms the basis for allocating spending and savings.*

Question 396

What is the primary difference between a "fixed" and a "floating" interest rate on a loan?

- **A.** A fixed rate changes with the RBI's repo rate; a floating rate never changes
- **B.** A fixed rate remains unchanged for the loan term; a floating rate can change based on a benchmark like the repo rate
- **C.** They are exactly the same in practice
- **D.** Floating rates are only available for personal loans

Correct Answer: Option (B)

Short Explanation: *A fixed interest rate stays the same for the loan term, while a floating rate can rise or fall based on a benchmark rate, such as RBI's repo rate.*

Question 397

Which is an accurate statement about UPI app market share in India as of 2026?

- **A.** BHIM holds over 90% of all UPI transactions
- **B.** PhonePe and Google Pay together hold the large majority of UPI transaction volume
- **C.** Paytm holds the largest market share of all apps
- **D.** Market share is evenly split among all apps

Correct Answer: Option (B)

Short Explanation: *PhonePe and Google Pay together hold the large majority of UPI transaction volume in India, with other apps making up the remaining share.*

Question 398

What is the "JAM Trinity"?

- **A.** A private banking consortium
- **B.** The combination of Jan Dhan accounts, Aadhaar, and Mobile numbers powering India's welfare delivery system
- **C.** A type of mutual fund
- **D.** A government tax filing portal

Correct Answer: Option (B)

Short Explanation: *The JAM Trinity refers to Jan Dhan accounts, Aadhaar, and Mobile numbers together, forming the foundation of India's direct welfare delivery system.*

Question 399

What is a "moratorium" period, commonly associated with education loans?

- **A.** A period during which the interest rate doubles
- **B.** A period during which loan repayment is paused or not required
- **C.** A mandatory extra fee charged at loan disbursal
- **D.** The period during which the loan application is processed

Correct Answer: Option (B)

Short Explanation: *A moratorium is a period during which loan repayment is paused, often used in education loans until after the course ends and employment begins.*

Question 400

What does "tokenisation" refer to in digital payment security?

- **A.** Converting cash into digital tokens for barter
- **B.** Replacing stored card details with a secure digital token for safer online payments
- **C.** A method of transferring money between UPI apps only
- **D.** A way to bypass OTP verification

Correct Answer: Option (B)

Short Explanation: *Tokenisation replaces stored card numbers with a secure digital token, reducing the risk if a merchant's systems are ever compromised.*

Question 401

What does PMJDY stand for?

- **A.** Pradhan Mantri Jan Dhan Yojana
- **B.** Pradhan Mantri Jeevan Dhan Yojana
- **C.** Public Ministry Jan Dhan Yojana
- **D.** Pradhan Mantri Job Development Yojana

Correct Answer: Option (A)

Short Explanation: *PMJDY stands for Pradhan Mantri Jan Dhan Yojana, India's flagship scheme for providing zero-balance bank accounts to unbanked citizens.*

Question 402

Which of the following best reflects responsible credit card use?

- **A.** Paying only the minimum amount due every month
- **B.** Paying the full bill on time each month to avoid interest charges
- **C.** Using the card for its maximum limit every month regardless of repayment ability
- **D.** Ignoring the billing cycle entirely

Correct Answer: Option (B)

Short Explanation: *Paying the full credit card bill on time avoids interest charges entirely, while paying only the minimum lets interest accumulate on the remaining balance.*

Question 403

What is the purpose of RBI's "Centres for Financial Literacy (CFL)"?

- **A.** To provide free loans without any documentation
- **B.** To offer community-level, free financial education, including on budgeting and saving
- **C.** To regulate the stock market at a local level
- **D.** To issue PAN cards in rural areas

Correct Answer: Option (B)

Short Explanation: *RBI's Centres for Financial Literacy offer community-level, free financial education, including guidance on budgeting, saving, and other basic financial concepts.*

Question 404

Which of these best reflects a responsible approach to building credit history as a young earner?

- **A.** Avoiding any form of credit indefinitely
- **B.** Using a small credit card or loan responsibly, with consistent, on-time repayment
- **C.** Applying for the maximum credit limit immediately upon starting work
- **D.** Never checking one's own credit report

Correct Answer: Option (B)

Short Explanation: *Using a small credit card or loan responsibly, with consistent on-time repayment, is a practical way for a young earner to build a healthy credit history.*

Question 405

RBI's Financial Inclusion Index (FI-Index) for March 2026 was reported at approximately what value (out of 100)?

- **A.** 40.0
- **B.** 55.5
- **C.** 70.0
- **D.** 95.0

Correct Answer: Option (C)

Short Explanation: *RBI's FI-Index reached approximately 70.0 in March 2026, reflecting continued growth in financial inclusion across access, usage, and quality.*

Question 406

Which of these best reflects a common financial mistake related to comparison spending?

- **A.** Setting a budget based on personal goals
- **B.** Making spending decisions based on comparing lifestyles with others rather than personal financial goals
- **C.** Reviewing your own budget monthly
- **D.** Saving a fixed percentage of income

Correct Answer: Option (B)

Short Explanation: *Making decisions based on social comparison rather than personal financial goals is a common mistake that can derail budgeting and saving plans.*

Question 407

Why might completing only "partial progress" on a checklist consistently be more valuable than attempting to complete everything perfectly just once?

- **A.** Partial progress has no real value compared to a single perfect attempt
- **B.** Consistent, partial progress sustained over time tends to build stronger habits than a one-time, all-at-once effort
- **C.** Checklists are designed to be completed only once in a lifetime
- **D.** There is no meaningful difference between the two approaches

Correct Answer: Option (B)

Short Explanation: *Consistent, partial progress sustained over time tends to build stronger, more durable habits than attempting a single, all-at-once "perfect" effort that isn't repeated.*

Question 408

What is the primary purpose of comparing interest rates across lenders before taking a loan?

- **A.** It has no real impact on the total cost of borrowing
- **B.** Even small differences in interest rates can significantly affect the total repayment amount over the loan's tenure
- **C.** All lenders are required by law to offer identical rates
- **D.** Comparing rates is only useful for very large loans

Correct Answer: Option (B)

Short Explanation: *Even small interest rate differences can significantly affect the total amount repaid over a loan's tenure, making comparison across lenders a valuable step.*

Question 409

Which of these is the clearest example of investment diversification?

- **A.** Investing 100% of savings in one company's stock
- **B.** Splitting investments across equity mutual funds, bonds, and gold
- **C.** Keeping all money in a single savings account
- **D.** Investing only in one sector of the stock market

Correct Answer: Option (B)

Short Explanation: *Splitting investments across different asset classes like equity, bonds, and gold is a clear example of diversification, reducing reliance on any single asset's performance.*

Question 410

What is the primary reason financial experts recommend building an emergency fund before pursuing other investment goals?

- **A.** Investments always lose value initially
- **B.** An emergency fund provides a buffer against needing to break other investments or take on debt during a crisis
- **C.** Emergency funds earn higher returns than any investment
- **D.** There is no particular reason for this order

Correct Answer: Option (B)

Short Explanation: *An emergency fund protects other investments and savings from being disrupted or liquidated at a loss during an unexpected crisis.*

Question 411

What is the purpose of enabling transaction alerts on a bank account?

- **A.** To increase the account's interest rate
- **B.** To help detect unauthorised or suspicious transactions quickly
- **C.** To automatically block all fraud without any customer action
- **D.** To replace the need for an ATM card

Correct Answer: Option (B)

Short Explanation: *Transaction alerts notify the account holder immediately of any activity, helping detect unauthorised or suspicious transactions quickly so action can be taken.*

Question 412

What is the main reason experts recommend involving all income-earning family members in budget planning?

- **A.** It has no practical benefit
- **B.** It ensures the budget reflects the household's full financial picture and shared priorities
- **C.** It always increases household spending
- **D.** Only one person should ever be involved in financial decisions

Correct Answer: Option (B)

Short Explanation: *Involving all income-earning family members ensures the budget reflects the household's complete financial picture and shared priorities, not just one person's view.*

Question 413

Why does a family budget work best when it includes "shared goals" rather than only individual spending limits?

- **A.** Shared goals have no real benefit
- **B.** It builds alignment and motivation among all family members toward common financial outcomes
- **C.** Individual spending limits are always more effective
- **D.** Shared goals eliminate the need for tracking expenses

Correct Answer: Option (B)

Short Explanation: *Including shared goals builds alignment and motivation among family members, making the household budget more effective than isolated individual limits.*

Question 414

What is "smishing"?

- **A.** A type of biometric authentication
- **B.** SMS-based phishing using fraudulent links or messages
- **C.** A method of secure card payment
- **D.** A government tax filing process

Correct Answer: Option (B)

Short Explanation: *Smishing is SMS-based phishing, where fraudulent text messages contain malicious links or false claims designed to trick recipients.*

Question 415

Which of the following best distinguishes a "budget" from a "financial goal"?

- **A.** They are exactly the same thing
- **B.** A budget plans how income is spent and saved; a goal is a specific target that budget helps achieve
- **C.** A financial goal only applies to businesses
- **D.** A budget cannot include any savings

Correct Answer: Option (B)

Short Explanation: *A budget is the plan for allocating income, while a financial goal is the specific target (like an amount and deadline) that the budget is designed to help reach.*

Question 416

How does automating savings help overcome inconsistent saving habits?

- **A.** It removes the need for any financial planning
- **B.** It ensures savings happen by default, without relying on willpower each month
- **C.** It guarantees a fixed rate of investment return
- **D.** It has no meaningful effect on saving consistency

Correct Answer: Option (B)

Short Explanation: *Automating savings ensures that saving happens by default each month, removing the reliance on willpower or remembering to do it manually.*

Question 417

What does "inflation" refer to?

- **A.** An increase in the value of money over time
- **B.** The gradual rise in prices that reduces the purchasing power of money
- **C.** A type of investment product
- **D.** A government tax on savings accounts

Correct Answer: Option (B)

Short Explanation: *Inflation is the gradual rise in prices over time, which reduces how much your money can actually buy in the future.*

Question 418

Why is the "M" (Mobile) component of the JAM Trinity important for DBT delivery?

- **A.** Mobile numbers have no functional role in DBT
- **B.** Mobile connectivity supports verification, alerts, and access to digital banking services tied to DBT payments
- **C.** Mobile numbers are only used for opening bank accounts, not for DBT
- **D.** The "M" refers to "Money," not "Mobile"

Correct Answer: Option (B)

Short Explanation: *Mobile connectivity supports verification, transaction alerts, and access to digital banking services, all of which are important for delivering and confirming DBT payments.*

Question 419

Which best describes the Banking Ombudsman Scheme?

- **A.** A paid legal service for suing banks
- **B.** A free, RBI-run grievance redressal mechanism for unresolved banking complaints
- **C.** A scheme only for business account holders
- **D.** An investment product offered by RBI

Correct Answer: Option (B)

Short Explanation: *The Banking Ombudsman Scheme is a free, RBI-run mechanism to resolve customer complaints that couldn't be settled directly with the bank.*

Question 420

Should you ever share your bank PIN or CVV with someone who calls claiming to be bank staff?

- **A.** Yes, always, since they represent the bank
- **B.** No, banks never ask for a PIN or CVV over a call, SMS, or email
- **C.** Only if they know your account number
- **D.** Only for amounts under ₹1,000

Correct Answer: Option (B)

Short Explanation: *Banks never ask customers for their PIN or CVV over a call, SMS, or email — any such request is always a scam attempt.*

Question 421

What does UPI stand for?

- **A.** Unified Payments Interface
- **B.** Universal Payment Identity
- **C.** United Public Investment
- **D.** Unique Personal Index

Correct Answer: Option (A)

Short Explanation: *UPI stands for Unified Payments Interface, NPCI's real-time payment system for instant bank-to-bank transfers.*

Question 422

What is the correct action regarding an unexpected friend request or message from an unknown person on a matrimonial or social platform who quickly suggests an "investment opportunity"?

- **A.** Trust the person since they seem friendly
- **B.** Treat this with caution, since it matches a known romance/investment fraud pattern
- **C.** Immediately invest a small amount to test the opportunity
- **D.** Share personal banking details to build trust

Correct Answer: Option (B)

Short Explanation: *A stranger on a social or matrimonial platform quickly suggesting an investment opportunity matches a known fraud pattern and should be treated with significant caution.*

Question 423

A person has a lump sum to invest but is worried about investing it all at a market peak. What is a reasonable strategy?

- **A.** Invest the entire amount immediately regardless of market conditions
- **B.** Spread the lump sum out over several months, similar to an SIP approach
- **C.** Avoid investing the money at all, indefinitely
- **D.** Convert the entire amount to cash and keep it at home

Correct Answer: Option (B)

Short Explanation: *Spreading a lump sum out over several months (a form of SIP) reduces the risk of investing everything at a single, potentially unfavourable market point.*

Question 424

What is the primary risk of investing all your money in a single stock rather than a diversified mutual fund?

- **A.** There is no additional risk compared to a mutual fund
- **B.** A single stock's performance is far more concentrated and volatile than a diversified basket of holdings
- **C.** Single stocks are always safer than mutual funds
- **D.** Diversified funds cannot legally be purchased by individuals

Correct Answer: Option (B)

Short Explanation: *A single stock's fortunes are tied to one company, making it far more volatile and risky than a diversified mutual fund spread across many holdings.*

Question 425

A taxpayer with significant eligible deductions (like home loan interest and specified investments) is comparing the old and new tax regimes. What is the most likely outcome?

- **A.** The new regime will always result in lower tax regardless of deductions
- **B.** The old regime may result in lower tax liability for them, since it allows more deductions, despite higher slab rates
- **C.** Deductions have no bearing on which regime is more beneficial
- **D.** Both regimes will always produce identical tax liability

Correct Answer: Option (B)

Short Explanation: *For taxpayers with significant eligible deductions, the old regime's higher rates can sometimes be offset by those deductions, potentially resulting in lower overall tax than the new regime.*

Question 426

What is "ULIP" (Unit Linked Insurance Plan)?

- **A.** A plan that provides only pure life protection with no investment component
- **B.** A plan that combines insurance with market-linked investment
- **C.** A government-only pension scheme
- **D.** A type of vehicle insurance

Correct Answer: Option (B)

Short Explanation: *A ULIP combines life insurance protection with a market-linked investment component, meaning its value fluctuates based on market performance.*

Question 427

What is a PAN card primarily used for?

- **A.** Only for filing income tax returns
- **B.** As a unique identifier linking financial transactions, loans, investments, and tax filings
- **C.** As a replacement for a driving license
- **D.** Only for opening a savings account

Correct Answer: Option (B)

Short Explanation: *PAN serves as a unique identifier linking a wide range of financial transactions — including loans, investments, and tax filings — under one number.*

Question 428

Why is it recommended to use strong, unique passwords for banking and financial apps rather than reusing the same password everywhere?

- **A.** Reusing passwords has no security implications
- **B.** If one account is compromised, reused passwords put all other accounts using the same password at risk too
- **C.** Banks require identical passwords across all apps
- **D.** Strong passwords are only necessary for social media accounts

Correct Answer: Option (B)

Short Explanation: *Reusing the same password across accounts means that if one is compromised, all other accounts using that same password become vulnerable too.*

Question 429

What is the primary reason retirement planning is described as something that "benefits from starting as early as possible"?

- **A.** Early retirement planning has no measurable advantage
- **B.** Compounding rewards time, so early contributions grow more than the same amount contributed later
- **C.** Retirement planning tools are unavailable after a certain age
- **D.** Early contributions always require government approval

Correct Answer: Option (B)

Short Explanation: *Because compounding rewards time, contributions made early in a career have far more time to grow than the same contributions made later, benefiting the final retirement corpus.*

Question 430

What is a distinguishing feature of Payments Banks and Small Finance Banks compared to full-service commercial banks?

- **A.** They offer unlimited lending with no restrictions
- **B.** They are limited-service institutions focused mainly on deposits, payments, and small-ticket lending
- **C.** They can only serve government employees
- **D.** They are not regulated by the RBI

Correct Answer: Option (B)

Short Explanation: *Payments Banks and Small Finance Banks are limited-service institutions, focused primarily on deposits, payments, and small-scale lending, unlike full-service commercial banks.*

Question 431

Which of the following best reflects a safe practice for downloading a lending or investment app?

- **A.** Downloading from a link received via an unsolicited SMS
- **B.** Downloading only from official app stores and verifying the developer/regulatory registration
- **C.** Downloading any app with a high number of installs, regardless of source
- **D.** Downloading based solely on a friend's casual recommendation with no further verification

Correct Answer: Option (B)

Short Explanation: *Downloading apps only from official app stores and verifying the developer or regulatory registration reduces the risk of installing a fraudulent lending or investment app.*

Question 432

Why is UPI available 24x7, including holidays, considered a significant advantage?

- **A.** It has no advantage over traditional banking hours
- **B.** It allows instant transfers at any time, unlike older systems limited to banking hours
- **C.** It only works on weekends
- **D.** It replaces the need for any bank account

Correct Answer: Option (B)

Short Explanation: *UPI's 24x7 availability, including holidays, allows instant transfers at any time, a major improvement over systems historically limited to banking hours.*

Question 433

Which simple precaution helps prevent card skimming at an ATM?

- **A.** Using the ATM only at night
- **B.** Covering the keypad while entering the PIN and checking for unusual attachments
- **C.** Using the same PIN across all cards
- **D.** Withdrawing only large amounts to reduce visits

Correct Answer: Option (B)

Short Explanation: *Covering the keypad while entering the PIN and inspecting the ATM for unusual attachments are simple, effective ways to reduce the risk of card skimming.*

Question 434

Why might a family budget review meeting be more effective than one person managing finances alone?

- **A.** It has no advantage over individual management
- **B.** It helps catch blind spots and builds shared accountability for financial goals
- **C.** It always increases household expenses
- **D.** It eliminates the need for any budget at all

Correct Answer: Option (B)

Short Explanation: *A shared family budget review helps catch blind spots that one person might miss and builds shared accountability toward financial goals.*

Question 435

A person is told that scanning a QR code and entering their MPIN will help them "receive" a refund. What is the accurate assessment?

- **A.** This is a legitimate way to receive money via UPI
- **B.** This is a fraud pattern, since entering an MPIN after scanning a QR code always sends money, never receives it
- **C.** This only works for refunds under ₹100
- **D.** This is safe if the QR code looks official

Correct Answer: Option (B)

Short Explanation: *Entering an MPIN after scanning a QR code always authorises an outgoing payment; any claim that it helps "receive" money is a fraud pattern.*

Question 436

What is "video KYC" as offered by many banks today?

- **A.** A method to physically inspect a bank branch
- **B.** A remote, app-based way to complete identity verification without visiting a branch
- **C.** A way to bypass all KYC requirements
- **D.** A type of cheque verification

Correct Answer: Option (B)

Short Explanation: *Video KYC allows customers to complete identity verification remotely through a bank's app, reducing the need for a physical branch visit.*

Question 437

What happens if a policyholder misses a premium payment beyond the grace period?

- **A.** Nothing changes; coverage continues indefinitely
- **B.** The policy may lapse, ending the coverage
- **C.** The insurer automatically pays the premium on the policyholder's behalf
- **D.** The sum assured automatically doubles

Correct Answer: Option (B)

Short Explanation: *Missing a premium payment beyond the grace period can cause the policy to lapse, ending coverage exactly when it might be needed most.*

Question 438

What is the primary purpose of investing, as distinct from saving?

- **A.** To keep money completely risk-free at all times
- **B.** To grow money faster than inflation over time by accepting some risk
- **C.** To avoid ever paying taxes
- **D.** To eliminate the need for a bank account

Correct Answer: Option (B)

Short Explanation: *Investing accepts some degree of risk in exchange for the potential of growing money faster than inflation, unlike saving which prioritises safety and access.*

Question 439

What is Direct Benefit Transfer (DBT)?

- **A.** A method for filing income tax returns
- **B.** A system that transfers government subsidies and welfare payments directly into a beneficiary's bank account
- **C.** A type of private bank loan
- **D.** A stock market trading platform

Correct Answer: Option (B)

Short Explanation: *DBT transfers government subsidies and welfare payments directly into beneficiaries' bank accounts, reducing middlemen and leakages.*

Question 440

What does "comprehensive" vehicle insurance cover, in addition to third-party liability?

- **A.** Nothing beyond third-party liability
- **B.** Damage to the policyholder's own vehicle
- **C.** Only theft of the vehicle
- **D.** Only fire-related damage

Correct Answer: Option (B)

Short Explanation: *Comprehensive vehicle insurance covers third-party liability plus damage to the policyholder's own vehicle, offering broader protection than third-party-only cover.*

Question 441

Why is travel insurance especially important for international travel?

- **A.** It is never necessary for international trips
- **B.** Medical costs abroad can be extremely high and are usually not covered by domestic health insurance
- **C.** It replaces the need for a passport
- **D.** It guarantees a full refund for any trip cancellation regardless of reason

Correct Answer: Option (B)

Short Explanation: *Medical costs abroad can be very high and are typically not covered by domestic health insurance, making travel insurance especially important for international trips.*

Question 442

What is the primary purpose of "nomination" on a bank account?

- **A.** To increase the account's interest rate
- **B.** To designate a person to receive the account balance if the account holder passes away
- **C.** To allow unlimited overdrafts
- **D.** To waive minimum balance requirements

Correct Answer: Option (B)

Short Explanation: *Nomination allows a designated person to receive the account balance in the event of the account holder's death, simplifying the process for the family.*

Question 443

Which of the following best reflects a disciplined response to a temporary market downturn for a long-term SIP investor?

- **A.** Immediately stopping all investments and withdrawing existing funds
- **B.** Continuing the SIP as planned, since downturns are a normal part of long-term investing cycles
- **C.** Doubling all spending to compensate for the downturn
- **D.** Switching investment goals entirely due to short-term price movement

Correct Answer: Option (B)

Short Explanation: *Continuing a long-term SIP through a temporary downturn is generally the disciplined approach, since downturns are a normal, expected part of long-term investing cycles.*

Question 444

A person changes jobs and loses employer-provided health insurance. What is the recommended action?

- **A.** Remain uninsured until the next job provides coverage
- **B.** Consider purchasing a personal health insurance policy to avoid a coverage gap
- **C.** Assume health insurance is unnecessary between jobs
- **D.** Rely solely on family members' policies without any personal cover

Correct Answer: Option (B)

Short Explanation: *Purchasing a personal health insurance policy helps avoid a coverage gap when transitioning between jobs and losing employer-provided health cover.*

Question 445

A person cannot remember which module explains a specific banking security concept referenced in a checklist item. What is the recommended approach?

- **A.** Give up on understanding the concept entirely
- **B.** Refer to the course recap table linking checklist items back to the relevant module for a deeper explanation
- **C.** Assume the concept is unimportant since it appears only in a checklist
- **D.** Only ask a bank employee, since course materials cannot help

Correct Answer: Option (B)

Short Explanation: *The course recap table is specifically designed to link checklist items back to the relevant module, providing an easy way to find a deeper explanation when needed.*

Question 446

What role does an investor's "time horizon" play in choosing between equity and debt investments?

- **A.** Time horizon plays no role in this decision
- **B.** A longer time horizon can generally support a larger allocation to equity, while a shorter horizon favours safer debt instruments
- **C.** A shorter time horizon always favours equity investments
- **D.** Time horizon only matters for gold investments

Correct Answer: Option (B)

Short Explanation: *A longer time horizon can generally support a larger allocation to equity due to more time to ride out volatility, while shorter horizons favour safer, more stable debt instruments.*

Question 447

What is a common red flag of a fraudulent loan app?

- **A.** It is listed by an RBI-regulated bank or NBFC
- **B.** It demands excessive phone permissions, like access to contacts and photos, for a small loan
- **C.** It charges clearly disclosed, reasonable interest rates
- **D.** It provides a transparent repayment schedule

Correct Answer: Option (B)

Short Explanation: *Demanding excessive permissions, such as access to contacts and photos, for a small loan is a major red flag commonly seen in fraudulent loan apps.*

Question 448

A person wants to download a UPI app for the first time. What is the safest approach?

- **A.** Download it via a link shared on WhatsApp
- **B.** Download it only from the official Google Play Store or Apple App Store
- **C.** Download it from any website that appears in a search result
- **D.** Ask a stranger to share the app file directly

Correct Answer: Option (B)

Short Explanation: *UPI and banking apps should only be downloaded from official app stores to avoid fake or malicious app installations.*

Question 449

What is the primary benefit of the Public Provident Fund (PPF) under its "EEE" tax status?

- **A.** Only the deposit is tax-free
- **B.** The deposit, interest earned, and maturity amount are all exempt from tax
- **C.** Only the maturity amount is tax-free
- **D.** PPF offers no tax benefits at all

Correct Answer: Option (B)

Short Explanation: *PPF's EEE (Exempt-Exempt-Exempt) status means the deposit, the interest earned, and the maturity amount are all exempt from tax.*

Question 450

What is the purpose of "overdraft eligibility" linked to a well-used PMJDY account?

- **A.** It provides an unlimited, interest-free loan
- **B.** It offers a small credit facility for account holders who use their account regularly over time
- **C.** It is available immediately upon account opening with no conditions
- **D.** It replaces the need for any other loan product

Correct Answer: Option (B)

Short Explanation: *PMJDY accounts can become eligible for a small overdraft facility after a period of regular use, offering limited credit access to account holders.*

Question 451

What best explains why "educated professionals" are also frequently targeted by financial scams, not just less tech-savvy individuals?

- **A.** Scams only succeed against people with low education levels
- **B.** Scams exploit psychological factors like urgency and fear, which can affect anyone regardless of education level
- **C.** Educated professionals are legally exempt from being scammed
- **D.** Financial scams are entirely random and unrelated to psychology

Correct Answer: Option (B)

Short Explanation: *Financial scams primarily exploit psychological factors like urgency, fear, and trust — factors that can affect anyone, regardless of education level or tech familiarity.*

Question 452

A message claims your bank account will be blocked within hours unless you click a link to "update KYC" immediately. What is the most likely explanation?

- **A.** This is a standard, official bank procedure
- **B.** This is a common KYC scam pattern designed to create panic and urgency
- **C.** This message should always be trusted if it includes the bank's logo
- **D.** KYC updates always require clicking links from SMS

Correct Answer: Option (B)

Short Explanation: *Urgent deadline-based KYC messages are a common scam pattern; genuine KYC updates are done through official bank channels, never via unsolicited links.*

Question 453

What is the primary purpose of setting a financial goal?

- **A.** To impress others with wealth
- **B.** To give a specific, measurable target for saving or planning
- **C.** To avoid ever spending money
- **D.** To qualify for a larger loan

Correct Answer: Option (B)

Short Explanation: *A financial goal provides a specific, measurable target, such as an amount and timeframe, that guides saving and planning efforts.*

Question 454

What is the benefit of scheduling a fixed day each month (e.g., the 1st) for a personal financial review?

- **A.** It has no meaningful benefit over reviewing finances randomly
- **B.** A fixed, recurring schedule builds consistency and reduces the likelihood of skipping the review
- **C.** It guarantees a specific investment return
- **D.** It replaces the need for any other financial checklist

Correct Answer: Option (B)

Short Explanation: *Scheduling a fixed, recurring day for financial review builds consistency and reduces the likelihood of the review being skipped or forgotten.*

Question 455

Regardless of which UPI app (BHIM, Google Pay, PhonePe, Paytm) a person uses, what remains the same in every transaction?

- **A.** The interest rate applied
- **B.** The transaction is processed through the same NPCI-run UPI network and the user's own bank
- **C.** The apps operate entirely independent, unregulated networks
- **D.** Only BHIM transactions are actually processed by NPCI

Correct Answer: Option (B)

Short Explanation: *Regardless of the app used, every UPI transaction is processed through the same NPCI-run network and the user's own bank account.*

Question 456

Which of the following best reflects a comprehensive "Insurance Checklist" item?

- **A.** Reviewing a mutual fund's expense ratio
- **B.** Confirming that life and health cover are adequate and that nominee details are updated
- **C.** Checking a UPI app's Autopay mandates
- **D.** Comparing NEFT and RTGS transfer limits

Correct Answer: Option (B)

Short Explanation: *Confirming adequate life and health cover, along with updated nominee details, is a core Insurance Checklist item distinct from investment or payment-related checks.*

Question 457

Which of the following is an accurate comparison between IMPS and UPI?

- **A.** IMPS requires only a UPI ID; UPI requires an account number and IFSC code
- **B.** IMPS can use an account number/IFSC or a linked mobile number; UPI primarily uses a UPI ID/VPA or QR code
- **C.** IMPS and UPI are exactly the same system with different names
- **D.** IMPS is only available once a week

Correct Answer: Option (B)

Short Explanation: *IMPS typically uses an account number and IFSC code (or a linked mobile number), while UPI primarily relies on a UPI ID (VPA) or QR code for transactions.*

Question 458

What is "foreclosure" of a loan?

- **A.** A legal penalty for missing an EMI
- **B.** Repaying a loan in full before its scheduled tenure ends
- **C.** The bank seizing collateral without notice
- **D.** A type of interest rate adjustment

Correct Answer: Option (B)

Short Explanation: *Foreclosure refers to repaying a loan in full before its scheduled tenure ends, often subject to specific terms or charges depending on the lender.*

Question 459

Which of these is most appropriate to include under "Common Financial Mistakes to Avoid" from across this entire category?

- **A.** Reviewing a budget every month
- **B.** Letting an insurance policy lapse due to a missed premium payment
- **C.** Verifying a lender is RBI-regulated before borrowing
- **D.** Diversifying investments across multiple asset classes

Correct Answer: Option (B)

Short Explanation: *Letting an insurance policy lapse due to a missed premium is a consolidated mistake drawn from the insurance module, relevant to this checklist summary.*

Question 460

What is a key feature that makes RuPay distinct as a card network?

- **A.** It is a card network developed and operated by NPCI, India's own domestic payment network
- **B.** It is a card network exclusive to international transactions
- **C.** It can only be used with the Digital Rupee
- **D.** It has no connection to NPCI or Indian payment infrastructure

Correct Answer: Option (A)

Short Explanation: *RuPay is a domestic card network developed and operated by NPCI, commonly issued along with PMJDY accounts and widely used across India.*

Question 461

What is the fundamental trade-off an investor accepts when choosing equity mutual funds over a fixed deposit?

- **A.** No trade-off exists between the two options
- **B.** Potentially higher long-term returns in exchange for greater short-term volatility and risk
- **C.** Guaranteed higher returns with zero additional risk
- **D.** Equity funds always underperform fixed deposits

Correct Answer: Option (B)

Short Explanation: *Equity mutual funds offer potentially higher long-term returns than a fixed deposit, but come with greater short-term volatility and risk of loss.*

Question 462

Following the GST 2.0 reform effective September 2025, what are the primary GST slabs?

- **A.** 5%, 12%, 18%, 28%
- **B.** 0%, 5%, 18%, and 40%
- **C.** A single flat rate of 10%
- **D.** 2%, 8%, 15%, 25%

Correct Answer: Option (B)

Short Explanation: *The GST 2.0 reform simplified India's GST structure to primarily four slabs: 0%, 5%, 18%, and 40%, removing the earlier 12% and 28% slabs.*

Question 463

Which of these best describes why UPI does not require sharing a bank account number for a payment?

- **A.** UPI does not use bank accounts at all
- **B.** A UPI ID (VPA) serves as a proxy for the account, removing the need to share account numbers or IFSC codes
- **C.** UPI transactions are anonymous and untraceable
- **D.** UPI only works with cash equivalents

Correct Answer: Option (B)

Short Explanation: *A UPI ID (VPA) acts as a proxy for the bank account, allowing payments without directly sharing account numbers or IFSC codes.*

Question 464

A household increases its savings rate significantly by cutting back on discretionary dining and subscriptions. What budgeting principle does this reflect?

- **A.** Ignoring variable expenses entirely
- **B.** Adjusting discretionary (wants) spending to increase the savings allocation
- **C.** Increasing fixed expenses to reduce savings
- **D.** Avoiding any tracking of expenses

Correct Answer: Option (B)

Short Explanation: *Reducing discretionary spending (wants) to increase savings reflects the flexible adjustment central to effective budgeting, unlike fixed expenses which are harder to change quickly.*

Question 465

A person diligently completes daily and monthly checklists but has never once completed a full annual financial wellness review. What gap does this reflect?

- **A.** No gap exists, since daily and monthly habits are sufficient on their own
- **B.** A gap in longer-term review, since certain issues (like lapsed insurance or outdated nominees) may only surface during a comprehensive annual check
- **C.** Daily and monthly checklists always reveal every possible financial issue
- **D.** Annual reviews are redundant if daily habits are strong

Correct Answer: Option (B)

Short Explanation: *Certain issues, such as lapsed insurance or outdated nominees, may only surface during a comprehensive annual review, showing why longer-term checks remain important even with strong daily habits.*

Question 466

What is the purpose of a "Final Financial Wellness Checklist"?

- **A.** To replace all previous, more specific checklists entirely
- **B.** To bring together key indicators across budgeting, banking, insurance, investment, and tax into one comprehensive annual review
- **C.** To track only daily UPI transactions
- **D.** To calculate a person's exact net worth to the rupee

Correct Answer: Option (B)

Short Explanation: *The Final Financial Wellness Checklist brings together key indicators across all major areas — budgeting, banking, insurance, investment, and tax — into one comprehensive, typically annual review.*

Question 467

Which of these best belongs on a "Daily Financial Safety Checklist"?

- **A.** Reviewing an annual tax filing
- **B.** Never sharing an OTP, PIN, or CVV with anyone that day
- **C.** Comparing FD interest rates across banks
- **D.** Filing an insurance claim

Correct Answer: Option (B)

Short Explanation: *Never sharing an OTP, PIN, or CVV is a daily safety habit, unlike annual or occasional tasks like tax filing or comparing FD rates.*

Question 468

Why is "financial discipline" often described as more important than a "perfect" one-time financial plan?

- **A.** A perfect plan requires no future adjustments ever
- **B.** Financial security is built through consistent behaviour over time, not a single flawless plan
- **C.** One-time plans always outperform ongoing habits
- **D.** Financial discipline has no measurable impact

Correct Answer: Option (B)

Short Explanation: *Financial security comes from consistent behaviour and habits maintained over time, rather than from a single, perfectly designed plan that isn't followed.*

Question 469

Which safety measure helps most directly prevent card skimming at an ATM?

- **A.** Using a debit card only for large amounts
- **B.** Covering the keypad while entering your PIN and checking for unusual attachments
- **C.** Never using your card outside your home branch
- **D.** Sharing your PIN only with close family members

Correct Answer: Option (B)

Short Explanation: *Covering the keypad while entering your PIN and inspecting the ATM for unusual attachments are simple, effective ways to prevent card skimming.*

Question 470

Why might a lender offer a lower interest rate to a borrower with a CIBIL score of 780 compared to one with a score of 620?

- **A.** Interest rates are unrelated to credit scores
- **B.** A higher score signals lower credit risk to the lender, often resulting in more favourable loan terms
- **C.** Lower scores always receive better rates as compensation
- **D.** This practice is illegal and never actually happens

Correct Answer: Option (B)

Short Explanation: *A higher CIBIL score signals lower credit risk to lenders, who often reward this with more favourable interest rates compared to borrowers with lower scores.*

Question 471

A household spends first and saves only whatever happens to be left at month-end. What is this pattern likely to result in?

- **A.** Consistently high savings
- **B.** Little or no savings, due to the "save what's left" trap
- **C.** Automatic financial independence
- **D.** Guaranteed investment growth

Correct Answer: Option (B)

Short Explanation: *Spending first and saving only what's left over is an unreliable pattern that usually results in little or no actual savings.*

Question 472

What is the general risk of taking a personal loan to purchase a rapidly depreciating item, like the latest phone?

- **A.** There is no financial risk in this scenario
- **B.** The total cost (including interest) may exceed the item's value faster than it depreciates, creating a poor financial trade-off
- **C.** This is always a financially sound decision
- **D.** Depreciating items cannot legally be financed with personal loans

Correct Answer: Option (B)

Short Explanation: *Borrowing to buy a rapidly depreciating item can mean the total repayment cost (with interest) outweighs the item's remaining value, a poor financial trade-off.*

Question 473

What is the correct understanding of "social engineering" in the context of financial fraud?

- **A.** A legitimate marketing technique used by banks
- **B.** Psychological manipulation used to bypass normal caution, rather than technical hacking
- **C.** A method for improving cybersecurity software
- **D.** A type of government financial scheme

Correct Answer: Option (B)

Short Explanation: *Social engineering refers to psychological manipulation — exploiting trust, fear, or urgency — used to bypass a person's normal caution, rather than relying on technical hacking.*

Question 474

What long-term outcome is most associated with consistently tying savings to specific, named goals rather than saving vaguely?

- **A.** Reduced motivation to continue saving
- **B.** Higher likelihood of successfully reaching the intended goal without diverting the funds
- **C.** Guaranteed higher investment returns
- **D.** No measurable difference in outcomes

Correct Answer: Option (B)

Short Explanation: *Savings tied to specific, named goals are less likely to be diverted to other spending and more likely to successfully reach their intended purpose.*

Question 475

A person has not reviewed their bank passbook or statement in several months. What checklist habit does this violate?

- **A.** Investment Readiness Checklist
- **B.** Banking Security Checklist, which includes regularly reviewing statements for unauthorised transactions
- **C.** Tax Readiness Checklist
- **D.** Financial Goal Tracker

Correct Answer: Option (B)

Short Explanation: *Regularly reviewing bank statements or passbooks for unauthorised transactions is part of the Banking Security Checklist, a recommended recurring habit.*

Question 476

How does India's Digital Rupee pilot relate to its overall digital payments ecosystem, given its interoperability with UPI QR codes?

- **A.** It operates in complete isolation from UPI, with no integration
- **B.** Its interoperability with UPI QR codes allows it to be used within existing merchant payment infrastructure, easing gradual adoption
- **C.** It has replaced UPI entirely as of 2026
- **D.** It can only be used for international transactions

Correct Answer: Option (B)

Short Explanation: *The Digital Rupee's interoperability with UPI QR codes allows it to work within the existing merchant payment infrastructure, easing its gradual adoption alongside UPI rather than requiring separate systems.*

Question 477

What is the significance of TransUnion CIBIL and other credit bureaus like Experian and Equifax?

- **A.** They set India's income tax rates
- **B.** They maintain credit histories and generate credit scores used by lenders
- **C.** They regulate the stock market
- **D.** They issue PAN cards

Correct Answer: Option (B)

Short Explanation: *Credit bureaus like TransUnion CIBIL, Experian, and Equifax maintain individuals' credit histories and generate the credit scores lenders use to assess risk.*

Question 478

Why is it recommended to set aside savings "before" spending on wants, rather than after?

- **A.** Because wants should never be budgeted for
- **B.** Because saving what's left over often results in inconsistent or no savings at all
- **C.** Because banks require it by law
- **D.** Because it eliminates the need for a budget

Correct Answer: Option (B)

Short Explanation: *Saving first ensures a portion of income is consistently protected, whereas saving what's left over is unreliable and often results in little savings.*

Question 479

What is the biggest risk of confusing "wants" with "needs" in daily spending?

- **A.** It has no financial impact
- **B.** It typically leads to overspending and reduced ability to save
- **C.** It automatically improves your credit score
- **D.** It guarantees higher investment returns

Correct Answer: Option (B)

Short Explanation: *Treating wants as needs leads to unnecessary spending, which reduces the amount available for saving and achieving financial goals.*

Question 480

What is "financial discipline"?

- **A.** A one-time financial decision
- **B.** Consistently following a budget and savings plan over time
- **C.** Avoiding any form of budgeting
- **D.** A legal requirement imposed by banks

Correct Answer: Option (B)

Short Explanation: *Financial discipline is the ability to consistently stick to a budget and savings plan over time, even when it requires effort.*

Question 481

A "salary account" is best described as:

- **A.** A special type of Fixed Deposit
- **B.** A savings account opened by an employer to credit salaries, often with added benefits
- **C.** An account exclusively for business owners
- **D.** An account with no interest and mandatory high minimum balance

Correct Answer: Option (B)

Short Explanation: *A salary account is a savings account set up by an employer specifically to credit employee salaries, often including added banking benefits.*

Question 482

A person reviews their Banking Security Checklist and discovers an account that has been inactive for over two years. What should they do, based on earlier module content?

- **A.** Assume the account is permanently lost
- **B.** Contact the bank to reactivate the account, typically requiring updated KYC documents
- **C.** Open a new bank account instead of addressing the dormant one
- **D.** Ignore it, since dormant accounts require no further action

Correct Answer: Option (B)

Short Explanation: *A dormant account can typically be reactivated by contacting the bank and providing updated KYC documents, rather than assuming it is permanently lost.*

Question 483

What does "diversification" mean in investing?

- **A.** Putting all money into a single stock for maximum focus
- **B.** Spreading investments across different asset classes to reduce overall risk
- **C.** Avoiding investment entirely
- **D.** Investing only in government bonds

Correct Answer: Option (B)

Short Explanation: *Diversification means spreading investments across different asset classes (like equity, debt, and gold) to reduce the overall risk of the portfolio.*

Question 484

Which of these best reflects appropriate use of a bank's own mobile banking app versus a third-party UPI app?

- **A.** They serve identical purposes with no differences
- **B.** A bank's app often provides broader account management alongside UPI, while third-party apps focus mainly on payments and added services
- **C.** Third-party UPI apps cannot process any actual payments
- **D.** Mobile banking apps cannot be used for UPI at all

Correct Answer: Option (B)

Short Explanation: *A bank's own app typically offers broader account management (like FD/RD, statements) in addition to UPI, while third-party apps focus more narrowly on payments and added features.*

Question 485

Which of the following best reflects "smart" use of a financial bonus, based on financially literate decision-making?

- **A.** Spending the entire bonus immediately on wants
- **B.** Splitting the bonus between a savings goal and some discretionary spending
- **C.** Ignoring the bonus and leaving it unused indefinitely
- **D.** Using the entire bonus to buy a lottery ticket

Correct Answer: Option (B)

Short Explanation: *A financially literate approach splits a windfall like a bonus between savings/goals and some enjoyment, guided by an existing financial plan.*

Question 486

Which of the following is an example of a payment commonly delivered through Direct Benefit Transfer (DBT)?

- **A.** A private company's employee salary
- **B.** A cooking gas subsidy or farmer income support payment
- **C.** A personal loan EMI payment
- **D.** A credit card bill payment

Correct Answer: Option (B)

Short Explanation: *Subsidies like cooking gas support and welfare payments such as farmer income support (PM-KISAN) are commonly delivered directly into bank accounts via DBT.*

Question 487

What is the safest response to an unsolicited link received via WhatsApp claiming to offer a prize or refund?

- **A.** Click it immediately to claim the prize
- **B.** Avoid clicking the link and verify independently through official channels
- **C.** Forward it to as many contacts as possible
- **D.** Reply with personal banking details to confirm eligibility

Correct Answer: Option (B)

Short Explanation: *Unsolicited links promising prizes or refunds are a common fraud tactic; the safe response is to avoid clicking and verify independently through official channels.*

Question 488

What is the most effective long-term defence against the wide variety of financial fraud patterns described in this category?

- **A.** Relying entirely on banks to prevent all fraud without individual vigilance
- **B.** A combination of awareness of common patterns, cautious verification habits, and prompt reporting if something goes wrong
- **C.** Avoiding all digital financial services entirely
- **D.** Sharing personal information freely, since fraud cannot be fully prevented anyway

Correct Answer: Option (B)

Short Explanation: *A combination of pattern awareness, cautious verification before acting, and prompt reporting if fraud occurs together forms the most effective long-term defence.*

Question 489

What trend was observed alongside rising household savings in India, based on recent data?

- **A.** Household financial liabilities and credit card debt have also been rising
- **B.** All forms of household debt have completely disappeared
- **C.** Savings and liabilities always move in exactly opposite directions
- **D.** There is no meaningful trend in household liabilities

Correct Answer: Option (A)

Short Explanation: *Even as household savings have grown, household financial liabilities and credit card outstanding balances have also risen steadily, showing mixed financial trends.*

Question 490

What is a key item on a "Tax Readiness Checklist"?

- **A.** Comparing FD interest rates across banks
- **B.** Comparing tax liability under both the new and old tax regimes before filing
- **C.** Reviewing a vehicle insurance policy's exclusions
- **D.** Setting a UPI transaction limit

Correct Answer: Option (B)

Short Explanation: *Comparing tax liability under both regimes before filing is a core Tax Readiness Checklist item, helping ensure the most beneficial option is chosen.*

Question 491

Which of these is an example of a long-term financial goal?

- **A.** Saving for a festival next month
- **B.** Building an emergency fund this year
- **C.** Saving for retirement over 25 years
- **D.** Paying next month's electricity bill

Correct Answer: Option (C)

Short Explanation: *Long-term goals typically span 5 or more years, and retirement planning over decades is a classic example.*

Question 492

What is "discretionary spending"?

- **A.** Mandatory spending on rent or EMIs
- **B.** Optional spending on wants rather than needs
- **C.** Spending required by law
- **D.** Spending exclusively on insurance premiums

Correct Answer: Option (B)

Short Explanation: *Discretionary spending refers to optional spending on wants — like entertainment or dining out — rather than essential needs.*

Question 493

A depositor withdraws a Fixed Deposit before its maturity date. What is the most likely consequence?

- **A.** No consequence; full interest is still paid
- **B.** A penalty and typically a reduced interest rate compared to the original agreed rate
- **C.** The principal amount is forfeited entirely
- **D.** The bank doubles the applicable interest

Correct Answer: Option (B)

Short Explanation: *Premature withdrawal of an FD usually results in a penalty and a reduced interest rate compared to what was originally promised for the full tenure.*

Question 494

Why might a fraudster claim "personal details you already know, like your name and address" as proof of legitimacy?

- **A.** Because only genuine bank staff have access to such details
- **B.** Because personal details are often available through data leaks and are used to make scams sound more convincing
- **C.** Because this always guarantees the caller is trustworthy
- **D.** Because banks require this information to be shared over calls

Correct Answer: Option (B)

Short Explanation: *Personal details like name and address are often available through data leaks, and fraudsters use this knowledge to make their scams sound more convincing and legitimate.*

Question 495

Which of the following best explains why linking a bank account, Aadhaar, and mobile number correctly is important for receiving government benefits?

- **A.** It has no bearing on receiving DBT payments
- **B.** Correct linkage ensures DBT payments reach the right account without delays or mismatches
- **C.** Linkage is only required for opening a bank account, not for benefits
- **D.** Only mobile number linkage matters; bank and Aadhaar linkage is optional

Correct Answer: Option (B)

Short Explanation: *Correctly linking a bank account, Aadhaar, and mobile number ensures DBT payments are directed accurately and without delays or mismatches.*

Question 496

What is the fundamental purpose of insurance?

- **A.** To guarantee investment returns
- **B.** To transfer the financial risk of a large, unpredictable loss to an insurer for a manageable premium
- **C.** To avoid paying any taxes
- **D.** To replace the need for a bank account

Correct Answer: Option (B)

Short Explanation: *Insurance transfers the financial risk of a serious, unpredictable loss from the individual to the insurer, in exchange for a manageable, predictable premium.*

Question 497

Which of the following best describes why PMJDY is considered foundational to the JAM Trinity?

- **A.** PMJDY has no connection to the JAM Trinity
- **B.** PMJDY provides the bank account ("J" for Jan Dhan), which, combined with Aadhaar and mobile, enables direct benefit delivery
- **C.** PMJDY only provides mobile connectivity, not bank accounts
- **D.** PMJDY replaces the need for Aadhaar entirely

Correct Answer: Option (B)

Short Explanation: *PMJDY provides the foundational bank account (the "J" in JAM), which, combined with Aadhaar (identity) and mobile (connectivity), enables the full JAM Trinity system.*

Question 498

A household consistently reviews its budget and adjusts spending each month based on actual results. What financial concept does this best demonstrate?

- **A.** Financial independence
- **B.** Financial discipline through regular review and adjustment
- **C.** Tax planning
- **D.** Asset liquidation

Correct Answer: Option (B)

Short Explanation: *Regularly reviewing and adjusting a budget based on real spending reflects financial discipline, a key habit in sound money management.*

Question 499

What is the main advantage of an SIP compared to a lump sum investment?

- **A.** SIPs guarantee higher returns than lump sum investments
- **B.** SIPs spread purchases over time, reducing the risk associated with market timing
- **C.** SIPs require no ongoing commitment
- **D.** SIPs are only available for gold investments

Correct Answer: Option (B)

Short Explanation: *SIPs spread purchases over time, averaging out the purchase cost and reducing the risk of investing a large amount at a single, potentially unfavourable market point.*

Question 500

Which of the following best reflects responsible use of vehicle insurance?

- **A.** Driving without any insurance to save on premiums
- **B.** Maintaining at least valid third-party insurance as legally required, and considering comprehensive cover for added protection
- **C.** Cancelling insurance immediately after the first year
- **D.** Only insuring vehicles used for business purposes

Correct Answer: Option (B)

Short Explanation: *Maintaining at least the legally required third-party insurance, and considering comprehensive cover for added protection, reflects responsible vehicle insurance practice.*